Regulations are current to 2026-09-30 and last amended on 2024-09-30.

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Clean Fuel Regulations

SOR (Statutory Orders and Regulations)/2022-140

CANADIAN ENVIRONMENTAL PROTECTION ACT, 1999

Registration 2022-06-21

Clean Fuel Regulations

P.C. 2022-704 2022-06-20

Whereas, under subsection 332(1)[a] of the *Canadian Environmental Protection Act, 1999*[b], the Minister of the Environment published in the *Canada Gazette*, Part I, on December 19, 2020, a copy of the proposed *Clean Fuel Regulations*, substantially in the annexed form, and persons were given an opportunity to file comments with respect to the proposed Regulations or to file a notice of objection requesting that a board of review be established and stating the reasons for the objection;

[a] S.C. 2004, c. 15, s. 31

[b] S.C. 1999, c. 33

Whereas the Governor in Council is of the opinion that the proposed Regulations could make a significant contribution to the prevention of, or a reduction in, air pollution resulting, directly or indirectly, from the combustion of liquid fossil fuels;

And whereas, under subsection 140(4) of that Act, before recommending the proposed Regulations, the Minister of the Environment offered to consult with the governments of the provinces and the members of the National Advisory Committee who are representatives of Aboriginal governments;

Therefore, Her Excellency the Governor General in Council, on the recommendation of the Minister of the Environment, makes the annexed *Clean Fuel Regulations* under sections 140[c] and 326 and subsection 330(2) of the *Canadian Environmental Protection Act, 1999*[b] and subsection 5(1) of the *Environmental Violations Administrative Monetary Penalties Act*[d].

[c] S.C. 2008, c. 31, s. 2

[d] S.C. 2009, c. 14, s. 126

Interpretation

Definitions

1 (1) The following definitions apply in these Regulations.

account holder, with respect to any account opened under section 28, means the primary supplier or registered creator for whom the Minister opened the account. (*titulaire*)

Act means the *Canadian Environmental Protection Act, 1999*. (*Loi*)

authorized agent means,

(a) in respect of a corporation, any officer of the corporation who is authorized to act on its behalf;

(b) in respect of an individual, that individual or any person authorized to act on behalf of that individual; and

(c) in respect of any other entity, any person authorized to act on behalf of that entity. (*agent autorisé*)

baseline carbon intensity means the weighted average carbon intensity of the gasoline or diesel used in Canada for the year 2016, as set out in subsection 5(3). (*intensité en carbone de base*)

biogas means a gaseous mixture that is recovered from the anaerobic decomposition of biomass and that consists primarily of methane and carbon dioxide and contains other constituents that prevent it from meeting the standard for injection into the nearest natural gas pipeline. (*biogaz*)

biomass means the biodegradable fraction of products, waste and residues of a biological origin — including plant and animal substances — originating from agriculture, forestry and other industries, such as fishing and aquaculture, as well as the fraction of waste, including industrial and municipal waste, of a biological origin. (*biomasse*)

carbon intensity, in relation to a fuel, energy source, or material input that is renewable natural gas, biogas, renewable propane or hydrogen, means the quantity in grams of CO_2e per megajoule of energy contained in that fuel, energy source or material input that is released over the life cycle of that fuel, energy source or material input, including during the activities carried out during the stages of the life cycle, such as

(a) the extraction or production of the feedstock used to produce the fuel, energy source or material input;

(b) the processing, refining or upgrading of the feedstock to produce the fuel, energy source or material input;

(c) the transportation or distribution of the feedstock, of intermediary products or of the fuel, energy source or material input; and

(d) the combustion of the fuel. (*intensité en carbone*)

carbon-intensity contributor means a person who applies for the approval of a carbon intensity under subsection 80(1) for a set of activities carried out over the life cycle of a fuel in the liquid class or a low-carbon-intensity fuel with the intention to transfer the approved

carbon intensity to a registered creator or foreign supplier or to another carbon-intensity contributor. (*contributeur à l'intensité en carbone*)

charging-network operator means a person who operates a communication platform that collects data on the electricity supplied by a charging station and who is the owner of that data. (*exploitant d'un réseau de recharge*)

charging-site host means a person who owns or leases a charging station and who has the legal right to have the charging station installed. (*hôte d'une station de recharge*)

charging station means a device that is used in Canada to charge the battery on board an electric vehicle by supplying electricity to the electric vehicle and that is capable of communicating with a server, whether through the Internet or using a cellular signal or connected vehicle communications, to report the quantity of electricity supplied and the time at which it is supplied. (*borne de recharge*)

CO_2e means the quantity of carbon dioxide, expressed in grams or tonnes, that would be required to produce a warming effect equivalent to another greenhouse gas over a particular period of time, as set out in the Fuel LCA Model. (*CO_2e*)

compliance-credit transfer system means the system administered by the Minister for the transfer of credits in accordance with sections 105 to 112. (*mécanisme de cession des unités de conformité*)

compliance period means

(a) the period that begins on the day on which these Regulations are registered and ends on December 31, 2022;

(b) the period that begins on January 1, 2023 and ends on June 30, 2023;

(c) the period that begins on July 1, 2023 and ends on December 31, 2023; or

(d) after December 31, 2023, each calendar year. (*période de conformité*)

co-processed low-carbon-intensity fuel means the portion of a fuel that is produced from a mixture of a petroleum feedstock and a non-petroleum feedstock that are used simultaneously in the same processing unit of a petroleum refinery or upgrader facility and that is a low-carbon-intensity fuel derived from a non-petroleum feedstock. (*combustible cotraité à faible intensité en carbone*)

co-processed low-carbon-intensity propane means a co-processed low-carbon-intensity fuel that is a mixture that is gaseous at standard conditions and consists primarily of propane. (*propane cotraité à faible intensité en carbone*)

crop includes a woody biomass crop with a rotational period that is not more than 25 years. (*culture*)

deferred portion of the reduction requirements, with respect to a compliance period, means the portion of the sum of the reduction requirements in respect of gasoline and diesel for that compliance period that has been deferred by a primary supplier in accordance with section 16, as increased in accordance with section 17 and as reduced in accordance with section 18. (*partie reportée des exigences de réduction*)

diesel means liquid petroleum fuel that

(a) is sold or represented as diesel or as a fuel suitable for use in a diesel engine; or

(b) evaporates at atmospheric pressure, has a boiling point between 130°C and 400°C and is suitable for use in a diesel engine. (*diesel*)

diesel replacement means a liquid low-carbon-intensity fuel that is suitable for use in a diesel engine, furnace or open flame burner or that is used in aviation. (*substitut du diesel*)

electric vehicle means a vehicle that is propelled by an electric motor whose source of electricity is a rechargeable battery that is charged from a source of electricity that is not on board the vehicle. It includes a plug-in hybrid electric vehicle. (*véhicule électrique*)

eligible feedstock means a feedstock that is eligible under section 46 and meets the requirements set out in sections 48 to 52, except if it is exempted under any of sections 53 to 55, as well as the requirements set out in section 57. (*charge d'alimentation admissible*)

EPA means the United States Environmental Protection Agency. (*EPA*)

foreign supplier means the owner of a facility outside Canada at which a low-carbon-intensity fuel is produced or the person who leases, operates, controls or manages such a facility. (*fournisseur étranger*)

Fuel LCA Model means the fuel life-cycle assessment model that is developed by the Minister in accordance with ISO Standard 14040 and that consists of the procedures that must be followed to determine the carbon intensity of a fuel, energy source or material input using life-cycle inventories for various pathways. (*modèle ACV des combustibles*)

fuelling station means a facility in Canada at which vehicles are supplied with fuel or with hydrogen used as an energy source and includes a mobile facility. (*station de ravitaillement*)

gaseous class means a class of fuel consisting of propane and natural gas. (*catégorie des combustibles gazeux*)

gasoline means liquid petroleum fuel that

(a) is sold or represented as gasoline, as a fuel suitable for use in a spark-ignition engine or as a fuel requiring only the addition of a low-carbon-intensity fuel or an oxygenate to make it suitable for use in a spark-ignition engine; or

(b) is suitable for use in a spark-ignition engine and has, as determined by the applicable test method listed in National Standard of Canada CAN/CGSB-3.5-2021, entitled *Automotive*

Gasoline, the following characteristics:

(i) a vapour pressure of no less than 38 kPa,

(ii) an anti-knock index of no less than 80,

(iii) a distillation temperature at which 10% of the fuel has evaporated of no less than 35°C and no more than 70°C, and

(iv) a distillation temperature at which 50% of the fuel has evaporated of no less than 65°C and no more than 120°C. (*essence*)

gasoline replacement means a liquid low-carbon-intensity fuel that is suitable for use in a spark-ignition engine. (*substitut de l'essence*)

GPS means global positioning system. (*GPS*)

hydrogen fuel cell vehicle means a vehicle propelled solely by an electric motor that uses electricity produced by an electrochemical cell from hydrogen. (*véhicule à pile à hydrogène*)

ISO/IEC Standard 17011 means International Standard ISO/IEC 17011, entitled *Conformity assessment — Requirements for accreditation bodies accrediting conformity assessment bodies*, published by the International Organization for Standardization. (*norme ISO/IEC 17011*)

ISO/IEC Standard 17021-1 means the International Standard ISO/IEC 17021-1, entitled *Conformity assessment — Requirements for bodies providing audit and certification of management systems — Part 1: Requirements*, published by the International Organization for Standardization (*norme ISO/IEC 17021-1*)

ISO/IEC Standard 17065 means the International Standard ISO/IEC 17065, entitled *Conformity assessment — Requirements for bodies certifying products, processes and services*, published by the International Organization for Standardization. (*norme ISO/IEC 17065*)

ISO Standard 14040 means the International Standard ISO 14040, entitled *Environmental management — Life cycle assessment — Principles and framework*, published by the International Organization for Standardization. (*norme ISO 14040*)

ISO Standard 14044 means the International Standard ISO 14044, entitled *Environmental management — Life cycle assessment — Requirements and guidelines*, published by the International Organization for Standardization. (*norme ISO 14044*)

ISO Standard 14064-2 means the International Standard ISO 14064-2, entitled *Greenhouse gases — Part 2: Specification with guidance at the project level for quantification, monitoring and reporting of greenhouse gas emission reductions or removal enhancements*, published by the International Organization for Standardization. (*norme ISO 14064-2*)

ISO Standard 14064-3:2019 means the International Standard ISO 14064-3:2019, entitled *Greenhouse gases — Part 3: Specification with guidance for the verification and validation of greenhouse gas statements*, published by the International Organization for Standardization, as it read on May 1, 2019. (*norme ISO 14064-3:2019*)

ISO Standard 19011 means the International Standard ISO 19011, entitled *Guidelines for auditing management systems*, published by the International Organization for Standardization. (*norme ISO 19011*)

liquid class means a class of fuel consisting of the fossil fuels that are liquid at standard conditions. (*catégorie des combustibles liquides*)

low-carbon-intensity fuel means a liquid or gaseous fuel that is not a fuel in the liquid class or gaseous class and that has a carbon intensity, for the compliance period during which the fuel was produced or imported, that does not exceed

(a) 90% of the reference carbon intensity set out for that compliance period in item 1, column 2, of Schedule 1, in the case of a fuel that is in the liquid state at standard conditions;

(b) the reference carbon intensity set out for that compliance period in item 2, column 2, of Schedule 1, in the case of compressed renewable natural gas and liquefied renewable natural gas referred to in subsection 99(1), renewable natural gas referred to in subsection 100(1) or hydrogen referred to in paragraph 104(1)(b);

(c) the reference carbon intensity set out for that compliance period in item 3, column 2, of Schedule 1, in the case of renewable propane referred to in subsection 99(1) or 100(1) and co-processed low-carbon-intensity propane referred to in subsection 99(1);

(d) 90% of the reference carbon intensity set out for that compliance period in item 2, column 2, of Schedule 1, in the case of biogas or in the case of renewable natural gas and hydrogen that is not referred to in paragraph (b); or

(e) 90% of the reference carbon intensity set out for that compliance period in item 3, column 2, of Schedule 1, in the case of renewable propane and co-processed low-carbon-intensity propane that is not referred to in paragraph (c). (*combustible à faible intensité en carbone*)

marine vessel means any boat, ship or other vessel that is designed, used or capable of being used for navigation in, on or through water but is not designed for self-propulsion out of water. (*navire*)

Methods for Verification and Certification means the document entitled *Methods for Verification and Certification — Clean Fuel Regulations* that is developed and published by the Minister. (*Méthodes de vérification et de certification*)

misstatement means an error, ommission or misreporting, as defined in Methods for Verification and Certification, in an application or report referred to in these Regulations. (*déclaration erronée*)

participant means a primary supplier who is registered with the Minister in accordance with subsection 10(1) or a registered creator who participates in the compliance-credit transfer system. (*participant*)

petroleum feedstock means crude oil or a substance derived from crude oil or natural gas, if it is primarily used as a feedstock to produce a fossil fuel in a petroleum refinery or upgrader facility, but it does not include any feedstock that is derived from petrochemicals or other hydrocarbon streams that have undergone additional processing, such as gas-to-liquid processing. (*charge d'alimentation à base de pétrole*)

primary supplier means a person who

(a) owns, leases, operates, controls or manages a fuel production facility in Canada at which gasoline or diesel is produced; or

(b) imports gasoline or diesel into Canada. (*fournisseur principal*)

provisional compliance credit means a compliance credit referred to in subsection 23(1). (*unité de conformité provisoire*)

reduction requirement means the reduction requirement determined in accordance with section 9. (*exigence de réduction*)

registered creator means a person registered with the Minister in accordance with subsection 25(1). (*créateur enregistré*)

renewable natural gas means gas that meets the standard for injection into the closest natural gas pipeline and that is either synthetic natural gas derived from biomass or gas derived from the processing of biogas. (*gaz naturel renouvelable*)

renewable propane means a mixture that is gaseous at standard conditions, is recovered from the processing of biomass and consists primarily of propane, but it does not include co-processed low-carbon-intensity propane. (*propane renouvelable*)

residue means a substance that is produced in a production process but whose production is not a primary aim of the process. It does not include any substance that the process has been deliberately modified to produce. (*résidu*)

scheme owner has the same meaning as in subclause 3.11 of ISO/IEC Standard 17065. (*propriétaire du régime*)

Specifications for Fuel LCA Model CI Calculations means the specifications that are developed and published by the Minister in respect of the calculation of the carbon intensity of a fuel, energy source or material input using the Fuel LCA Model. (*spécifications pour le calcul de l'IC au moyen du modèle ACV des combustibles*)

standard conditions means a temperature of 15°C (59°F) and a pressure of 101.325 kPa (14.696 psia). (*conditions normales*)

total reduction requirement means the sum of the reduction requirements in respect of gasoline and diesel for the compliance period that ended most recently, and the deferred portion of the reduction requirements for each preceding compliance period. (*exigence de réduction totale*)

verification body means a verification body referred to in section 137. (*organisme de vérification*)

Hydrogen used as energy source

(2) For the purposes of these Regulations, hydrogen referred to in paragraph 104(1)(a) is deemed to be a low-carbon-intensity fuel if the carbon intensity of the hydrogen, for the compliance period during which the hydrogen is used, does not exceed the reference carbon intensity set out for that compliance period in item 2, column 2, of Schedule 1.

Compressed gas and liquefied gas

(3) In these Regulations,

(a) a reference to hydrogen includes compressed hydrogen and liquefied hydrogen;

(b) a reference to natural gas includes compressed natural gas and liquefied natural gas; and

(c) a reference to renewable natural gas includes compressed renewable natural gas and liquefied renewable natural gas.

Co-processed low-carbon-intensity fuel

(4) The following provisions do not apply in respect of a co-processed low-carbon-intensity fuel:

(a) paragraphs 19(1)(b) and (c);

(b) paragraphs 20(b) and (c);

(c) paragraphs 57(1)(b) and (2)(d);

(d) subsection 59(2);

(e) section 75;

(f) section 76;

(g) subsection 86(2) and (8);

(h) section 91;

(i) section 94;

(j) section 95;

(k) subsection 97(2);

(l) section 100;

(m) section 108;

(n) section 123;

(o) sections 5 and 6 of Schedule 3; and

(p) sections 1 to 6 of Schedule 14; and

(q) section 8 of Schedule 15.

Incorporation by reference

2 (1) A standard or method that is incorporated by reference in these Regulations, other than ISO Standard 14064-3:2019, is incorporated as amended from time to time.

Interpretation of documents incorporated by reference

(2) For the purpose of interpreting any document that is incorporated by reference in these Regulations, a reference to “should” in the English version of the document is to be read as “must” and any recommendation or suggestion is to be read as an obligation unless the context requires otherwise. For greater certainty, in the case of the accuracy or precision of a measurement, the context never requires otherwise.

Inconsistencies with these Regulations

(3) In the event of an inconsistency between a provision in a document incorporated by reference into these Regulations and any provision of these Regulations, the provision of these Regulations prevails to the extent of the inconsistency.

Standard conditions

3 Unless otherwise specified, a reference in these Regulations to a volume or quantity of gas or liquid that is expressed in cubic metres is a reference to the volume or quantity of that gas or liquid at standard conditions.

Application

Exemption — primary suppliers

4 (1) A primary supplier who produces in Canada or imports into Canada a volume of less than 400 m^3 of gasoline or a volume of less than 400 m^3 of diesel during a compliance period is exempt from the application of these Regulations with respect to that fuel for that compliance period.

Non-application — certain fuels

(2) These Regulations do not apply in respect of gasoline or diesel that is

(a) aviation gasoline;

(b) exported from Canada;

(c) used for scientific research, other than research on consumer preferences in respect of various properties of fuels or market research; or

(d) sold or delivered for the purpose of supplying the engine of a vehicle, including a marine vessel, that is used exclusively for competition.

Exception

(3) However, a primary supplier who, during a compliance period, produces in Canada or imports into Canada a volume of 400 m^3 or more of gasoline or diesel must record the volume of every fuel referred to in paragraphs (2)(a) to (d) that is produced or imported during that compliance period and must include that information in the compliance report submitted to the Minister under section 127.

Clarification

(4) For greater certainty, the fuels referred to in paragraphs (2)(a) to (d) are not included when determining, for the purposes of subsection (1), the volume of fuel that is produced in Canada or imported into Canada by a primary supplier.

Requirements for Liquid Fuels

Carbon-Intensity Limits

Requirement — carbon intensity

5 (1) For the purposes of section 139 of the Act, a primary supplier's pool — as determined in accordance with section 8 — of a liquid fossil fuel that is set out in column 1 of the table to this subsection must not

have a carbon intensity that is greater than the corresponding limit set out in column 2 for the corresponding compliance period.

TABLE

Fuel Carbon-Intensity Limits

	Column 1	Column 2							
		Limit for Each Compliance Period (gCO_2e/MJ)							
Item	Liquid Fossil Fuel	2023	2024	2025	2026	2027	2028	2029	2030 and after
1	Gasoline	91.5	90.0	88.5	87.0	85.5	84.0	82.5	81.0
2	Diesel	89.5	88.0	86.5	85.0	83.5	82.0	80.5	79.0

Lowering of carbon intensity

(2) A primary supplier must comply with subsection (1) with respect to a fuel for a compliance period by lowering the carbon intensity of their pool of that fuel for that compliance period by an amount that is equal to the difference between the baseline carbon intensity for that fuel and the limit set out in the table to subsection (1) for that fuel and that compliance period. The carbon intensity must be lowered by using compliance credits in accordance with section 11 to satisfy the reduction requirement for that compliance period.

Baseline carbon intensity

(3) For the purposes of subsection (2), the baseline carbon intensity of gasoline is 95 gCO_2e/MJ and the baseline carbon intensity of diesel is 93 gCO_2e/MJ.

Non-application

(4) Subsection (1) does not apply in respect of a fuel that is produced in Canada or imported into Canada before July 1, 2023.

Volumetric requirement — gasoline

6 (1) For the purposes of section 139 of the Act, at least 5% of the volume of a primary supplier's pool of gasoline — as determined in accordance with section 8 — must, for each compliance period, be displaced by an equivalent volume of a gasoline replacement.

Exception — Newfoundland and Labrador

(2) For the purposes of subsection (1), the primary supplier may, for a compliance period, subtract from their pool of gasoline determined in accordance with section 8 any volume of gasoline that, during the compliance period, the primary supplier produced in or imported into Newfoundland and Labrador and sold or delivered for use in that province, if the primary supplier records information that establishes that the volume of gasoline met those conditions.

Non-application

(3) Subsection (1) does not apply in respect of gasoline that is produced in Canada or imported into Canada before July 1, 2023.

Volumetric requirement — diesel

7 (1) For the purposes of section 139 of the Act, at least 2% of the volume of a primary supplier's pool of diesel — as determined in accordance with section 8 — must, for each compliance period, be displaced by an equivalent volume of a diesel replacement.

Exception — Newfoundland and Labrador

(2) For the purposes of subsection (1), the primary supplier may, for a compliance period, subtract from their pool of diesel determined in accordance with section 8 any volume of diesel that, during the compliance period, the primary supplier produced in or imported into Newfoundland and Labrador and sold or delivered for use in that province, if the primary supplier records information that establishes that the volume of diesel met those conditions.

Non-application

(3) Subsection (1) does not apply in respect of diesel that is produced in Canada or imported into Canada before July 1, 2023.

Pool of liquid fuel — volume

8 (1) A primary supplier must, for each compliance period, determine the total volume, expressed in cubic metres, of their pool of gasoline or diesel, as the case may be, that was

(a) produced by the primary supplier at a fuel production facility in Canada and, during the compliance period, either

(i) dispatched from the fuel production facility, or

(ii) used to fuel a vehicle or other mobile equipment at the fuel production facility; or

(b) imported by the primary supplier into Canada during the compliance period.

Subtraction from pool

(2) However, a primary supplier may, for each compliance period, subtract from their pool of gasoline or diesel, as the case may be, any volume of that fuel, if the primary supplier, before the August 1 of the calendar year that follows the end of the compliance period, records information that establishes that the volume of fuel met any of the following conditions during the compliance period:

(a) it was sold or delivered for a use other than combustion;

(b) it was sold or delivered for use in a marine vessel that had a non-Canadian port as its destination;

(c) it was sold or delivered for use for non-industrial purposes in a geographic area that is served by neither an electrical distribution network that is subject to the standards of the North American Electric Reliability Corporation nor a natural gas distribution system;

(d) it was sold or delivered for the purpose of space heating;

(e) it was sold or delivered for use in the generation of electricity in a geographic area that is served by neither an electrical distribution network that is subject to the standards of the North American Electric Reliability Corporation nor a natural gas distribution system.

Reduction Requirement

Reduction in tonnes

9 The carbon intensity of a pool of gasoline or diesel for a compliance period is considered to be lowered for the purposes of subsection 5(2) if the number of tonnes of CO_2e released over the life cycle of that fuel is reduced by the value of the reduction requirement for that compliance period, as determined by the formula

$$\mathbf{CI_{diff} \times (Q \times D) \times 10^{-6}}$$

where

CI_{diff} is the difference, expressed in gCO_2e/MJ, between the baseline carbon intensity of that fuel, as set out in subsection 5(3), and the limit for that fuel for that compliance period, as set out in column 2 of the table to subsection 5(1);

Q is the volume of that pool for the compliance period, as determined in accordance with section 8 and expressed in cubic metres; and

D is, at the election of the primary supplier, the energy density of the fuel as set out in column 2 of Schedule 2 or as set out in the Specifications for Fuel LCA Model CI Calculations.

Registration as Primary Supplier

Registration report

10 (1) A primary supplier must register with the Minister by submitting a registration report to the Minister that contains the information referred to in sections 1 to 3 of Schedule 3 no later than 45 days after

the day on which they have produced in Canada or imported into Canada, during a compliance period, a total volume of 400 m^3 or more of gasoline or a total volume of 400 m^3 or more of diesel.

Exception — registration within 90 days

(2) However, the registration report may be submitted at any time during the period that begins on the day on which these Regulations are registered and ends 90 days after that day.

Change of information

(3) If there are any changes in the information referred to in section 1 of Schedule 3 that is provided in the registration report, the primary supplier must send a notice to the Minister that provides the updated information within 30 days after the day on which the change occurs.

Notice of cancellation

(4) A primary supplier who is not required by subsection (1) to be registered for a given compliance period and who has complied with the requirements set out in these Regulations for all of the previous compliance periods, including the volumetric requirements set out in subsections 6(1) and 7(1) and the reduction requirement, may cancel their registration as a primary supplier by sending a notice to that effect to the Minister.

Cancellation by Minister

(5) If, after receiving the notice referred to in subsection (4), the Minister is satisfied that the primary supplier has complied with these Regulations for all previous compliance periods, the Minister must

(a) if the primary supplier is not a registered creator, cancel any compliance credits in their accounts opened under section 28;

(b) cancel their registration as a primary supplier; and

(c) send a notice to the primary supplier informing them that their registration has been cancelled.

Clarification

(6) For greater certainty, subsection (1) applies to a primary supplier whose registration was cancelled by the Minister under subsection (5).

Compliance Credits

Use

Satisfaction of reduction requirement

11 (1) A primary supplier must use the compliance credits that they create under sections 19 and 20, or that are transferred to them under the compliance-credit transfer system, to satisfy the total reduction requirement.

Deemed reduction

(2) The use of one compliance credit by a primary supplier for gasoline or diesel that is produced in Canada or imported into Canada during a compliance period is deemed to reduce by one tonne the quantity of CO_2e released over the life cycle of that fuel during that compliance period.

Prior creation of provisional credit

(3) The primary supplier must use only the compliance credits that are created as provisional compliance credits before the end of a compliance period or the compliance credits that they create under subsection 19(2) to satisfy the reduction requirement for that compliance period.

Cancellation after use

(4) The Minister must cancel a compliance credit immediately after it is used.

Deemed compliance — gasoline

12 (1) For the purposes of subsection 6(1), a compliance credit that was created under paragraph 19(1)(a), (b) or (c) by producing in Canada or importing into Canada a volume of a gasoline replacement, and that is used by a primary supplier in accordance with section 11 for a compliance period, is deemed to displace, for that compliance period, the use of an equivalent volume of the primary supplier's pool of gasoline.

Deemed compliance — diesel

(2) For the purposes of subsection 7(1), a compliance credit that was created under paragraph 19(1)(a), (b) or (c) by producing in Canada or importing into Canada a volume of a diesel replacement, and that was used by a primary supplier in accordance with section 11 for a compliance period, is deemed to displace, for that compliance period, the use of an equivalent volume of the primary supplier's pool of diesel.

Prior creation of provisional credit

(3) The primary supplier must use only the compliance credits that are created as provisional compliance credits before the end of a compliance period to comply with the volumetric requirements set out in subsections 6(1) and 7(1) for that compliance period.

July 31 — gasoline

13 (1) For the purposes of subsection 12(1), a primary supplier must, no later than the July 31 that follows the end of a compliance period, use — in accordance with subsection 12(3) — the compliance credits that are in their account opened under paragraph 28(a), until

(a) the volumetric requirement set out in subsection 6(1) is met for that compliance period; or

(b) no such compliance credits remain in that account.

July 31 — diesel

(2) For the purposes of subsection 12(2), a primary supplier must, no later than the July 31 that follows the end of a compliance period, use — in accordance with subsection 12(3) — the compliance credits that are in their account opened under paragraph 28(a), until

(a) the volumetric requirement set out in subsection 7(1) is met for that compliance period; or

(b) no such compliance credits remain in that account.

July 31 — contribution to funding program

(3) For the purposes of section 11 and subject to subsection 15(1), a primary supplier must, no later than the July 31 that follows the end of a compliance period, use all of the compliance credits that they created by contributing to a registered emission-reduction funding program in accordance with paragraph 118(1)(a) to satisfy the reduction requirement for that compliance period.

July 31 — reduction requirement

(4) For the purposes of section 11 and subject to subsections 15(2) and (3), a primary supplier must, no later than the July 31 that follows the end of a compliance period, use the compliance credits that are in their accounts opened under section 28, until

(a) the reduction requirement is satisfied for that compliance period; or

(b) no such compliance credits remain in those accounts.

Choice of compliance credits

(5) Subject to subsections (1) and (2), if the circumstances described in paragraph (4)(a) occur before the circumstances described in paragraph (4)(b), the primary supplier must satisfy the reduction

requirement by using compliance credits that are chosen by them and indicated in the report submitted under subsection 127(1).

August 1 — cancellation of credits

(6) On the August 1 that follows the end of a compliance period, if any of the compliance credits referred to in subsection (3) have not been used by the primary supplier, the Minister must cancel those credits.

Non-application — subsections (1) to (4)

(7) Subsections (1) to (4) do not apply in respect of any compliance period that ends before July 1, 2023.

December 15 — gasoline

14 (1) For the purposes of subsection 12(1), if a primary supplier, on the August 1 that follows the end of a compliance period, has not complied with the volumetric requirement set out in subsection 6(1) for that compliance period, the primary supplier must, no later than the following December 15, comply with that requirement by using the compliance credits transferred to them under section 112.

December 15 — diesel

(2) For the purposes of subsection 12(2), if a primary supplier, on the August 1 that follows the end of a compliance period, has not complied with the volumetric requirement set out in subsection 7(1) for that compliance period, the primary supplier must, no later than the following December 15, comply with that requirement by using the compliance credits transferred to them under section 112.

Other credits

(3) For the purposes of section 11 and subject to subsection 15(1), if a primary supplier, on the August 1 that follows the end of a compliance period, has not satisfied the reduction requirement for that compliance period, the primary supplier must, no later than the December 15 that follows the end of that compliance period, use the compliance credits

that were transferred to them under section 112, or that they created by contributing to a registered emission-reduction funding program in accordance with paragraph 118(1)(b), to satisfy that reduction requirement.

Compliance — December 15

(4) Subject to sections 16 to 18, a primary supplier must, no later than the December 15 that follows the end of a compliance period, use the compliance credits in their accounts opened under section 28 to satisfy the total reduction requirement and comply with the volumetric requirements set out in subsections 6(1) and 7(1) for that compliance period.

December 16 — cancellation

(5) On the December 16 that follows the expiry of a compliance period, if any of the compliance credits that are referred to in subsection (3) have not been used by the primary supplier, the Minister must cancel those credits.

Non-application — subsections (1) to (4)

(6) Subsections (1) to (4) do not apply in respect of any compliance period that ends before July 1, 2023.

Limits on credit use — funding program

15 (1) The primary supplier must ensure that the total number of compliance credits created under subsection 19(2) — that are used in accordance with subsections 13(3) and 14(3), paragraph 18(1)(a) and subsection 18(3) during the calendar year that follows the end of a compliance period — does not exceed 10% of the primary supplier's total reduction requirement.

Limit — paragraph 28(b)

(2) The primary supplier must ensure that the total number of compliance credits in their account opened under paragraph 28(b) — that are used in accordance with subsection 13(4) and paragraph 18(1)(b) during the calendar year that follows the end of a compliance period — does not exceed 10% of the primary supplier's total reduction requirement.

Limit — generic quantification method

(3) The primary supplier must ensure that the total number of compliance credits created under paragraph 19(1)(a) in respect of a project for which a generic emission-reduction quantification method is applicable — that are used in accordance with subsection 13(4) and paragraphs 18(1)(b) and (c) during the calendar year that follows the end of a compliance period — does not exceed 10% of the primary supplier's total reduction requirement.

Deferral of reduction requirements

16 (1) A primary supplier may, no later than the December 15 that follows the end of a compliance period, defer satisfaction of their reduction requirements for that compliance period by any number of compliance credits that does not exceed the greater of zero and the result of the formula

$$10\% \times R_{current} - R_{deferred}$$

where

$R_{current}$ is the sum of their reduction requirements in respect of gasoline and diesel for that compliance period; and

$R_{deferred}$ is the sum of all deferred portions of the reduction requirements in respect of gasoline and diesel for previous compliance periods.

Conditions for deferral

(2) The primary supplier may defer a portion of their reduction requirements for a compliance period under subsection (1) only if

(a) the Minister has sent a notice in accordance with subsection 111(2) for that compliance period or the primary supplier has acquired by transfer through the compliance-credit clearance mechanism the number of compliance credits determined in accordance with paragraph 112(5)(b) for that compliance period; and

(b) the primary supplier has created enough compliance credits by contributing to a registered emission-reduction funding program to satisfy 10% of the total reduction requirement for that compliance period in respect of all types of fuels.

Compliance required after five years

(3) A primary supplier who defers under subsection (1) a portion of their reduction requirements for a compliance period must satisfy the deferred portion no later than the December 15 that follows the fifth anniversary of the end of that compliance period.

Increase to deferred portion

17 On each December 16 that follows the end of a compliance period for which a portion of the reduction requirements is deferred under subsection 16(1) and that precedes the fifth anniversary of the end of that compliance period, the deferred portion of the reduction requirements is to be multiplied by 1.05.

Reduction — July 31

18 (1) In order to reduce a deferred portion of the reduction requirements in accordance with section 11, the primary supplier must, during the period that begins on the day after a compliance period expires and ends on the July 31 that follows that day, use the following

compliance credits that are in their accounts opened under section 28 and that exceed the number required to satisfy the reduction requirements for the compliance period that ended most recently:

(a) subject to subsection 15(1), all of the compliance credits that they created by contributing to a registered emission-reduction funding program in accordance with paragraph 118(1)(a);

(b) subject to subsections 15(2) and (3), any compliance credits in their account opened under paragraph 28(b); and

(c) subject to subsection 15(3), any compliance credits in their account opened under paragraph 28(a).

Election

(2) If the primary supplier has more credits than the number required to satisfy the deferred portion of the reduction requirements in accordance with subsection (1), they may elect to use any number of compliance credits referred to in paragraphs (1)(b) and (c) to satisfy the deferred portion of the reduction requirements.

Reduction — December 15

(3) Subject to subsection 15(1), if a primary supplier, on the August 1 that follows the end of a compliance period, has not satisfied the deferred portion of the reduction requirements for a previous compliance period in accordance with subsection (2), the primary supplier must, no later than the following December 15, reduce the deferred portion of the reduction requirements by using all of the compliance credits in their account opened under paragraph 28(a) — that were transferred to them through the compliance-credit clearance mechanism under section 112 or that they created by contributing to a registered emission-reduction funding program in accordance with paragraph 118(1)(b) — that exceed the number of compliance credits required to satisfy their reduction requirements for the compliance period that ended most recently.

Multiple compliance periods

(4) If a primary supplier has not satisfied the deferred portion of the reduction requirements for more than one previous compliance period, they must not use any compliance credits to reduce the deferred portion of the reduction requirements in accordance with subsection (1) or (3) for a particular compliance period unless they have satisfied the deferred portion of the reduction requirements for every compliance period that precedes that particular compliance period.

Non-application

(5) Subsections (1) to (4) do not apply before January 1, 2025.

Creation

Reduction of CO_2e Emissions

Liquid class

19 (1) A registered creator may create a compliance credit in respect of the liquid class in the following cases:

(a) the registered creator, or a person with whom they have entered into an agreement under section 21, lowers the carbon intensity of a fuel in the liquid class by carrying out, in respect of that fuel, a CO_2e-emission-reduction project that is described in section 30 and that is recognized under subsection 35(1), 36(1), 37(3), 39(1) or 40(3), as the case may be;

(b) the registered creator imports into Canada a quantity of low-carbon-intensity fuel to which may be attributed a reduction in the number of tonnes of CO_2e that would otherwise have been emitted by the use of a fuel in the liquid class, if the low-carbon-intensity fuel

(i) is in the liquid state at standard conditions,

(ii) is one referred to in section 94,

(iii) is used or sold for use as a fuel in Canada whether as neat fuel or as part of a blend, and

(iv) meets the requirements set out in section 56;

(c) the registered creator, or a person with whom they have entered into an agreement under section 21, produces in Canada a quantity of low-carbon-intensity fuel to which may be attributed a reduction in the number of tonnes of CO_2e that would otherwise have been emitted by the use of a fuel in the liquid class, if the low-carbon-intensity fuel

(i) is in the liquid state at standard conditions,

(ii) is one referred to in section 94,

(iii) is used or sold for use as a fuel in Canada whether as neat fuel or as part of a blend, and

(iv) meets the requirements set out in section 56; or

(d) the registered creator, or a person with whom they have entered into an agreement under section 21, reduces the number of tonnes of CO_2e emissions by displacing the use in Canada of a quantity of fuel in the liquid class as a fuel for a vehicle with the use in Canada of

(i) a quantity of propane, compressed natural gas or liquefied natural gas as a fuel for a vehicle, in accordance with section 98,

(ii) a quantity of renewable propane, co-processed low-carbon-intensity propane, compressed renewable natural gas or liquefied renewable natural gas that meets the requirements set out in section 56 as a fuel for a vehicle, in accordance with section 99,

(iii) a quantity of renewable propane or renewable natural gas that meets the requirements set out in section 56 as a fuel for a vehicle, in accordance with section 100,

(iv) a quantity of electricity as an energy source for an electric vehicle, in accordance with sections 101 and 102, or

(v) a quantity of hydrogen that meets the requirements set out in section 56, in accordance with section 104,

(A) as an energy source for a hydrogen fuel cell vehicle, or

(B) as a fuel for a vehicle other than a hydrogen fuel cell vehicle.

Contribution to funding program

(2) A primary supplier may create a compliance credit in respect of the liquid class if they make a contribution to a registered emission-reduction funding program in accordance with section 118.

Gaseous class

20 A registered creator may create a compliance credit in respect of the gaseous class in the following cases:

(a) the registered creator, or a person with whom they have entered into an agreement under section 21, lowers the carbon intensity of a fuel in the gaseous class by carrying out, in respect of that fuel, a CO_2e-emission-reduction project described in paragraph 30(d) that reduces the carbon intensity of a fuel in the liquid class and is recognized under subsection 36(1), 37(3), 39(1) or 40(3), as the case may be;

(b) the registered creator imports into Canada a quantity of low-carbon-intensity fuel to which may be attributed a reduction in the number of tonnes of CO_2e that would otherwise have been emitted

by the use of a fuel in the gaseous class, if the low-carbon-intensity fuel

(i) is biogas, renewable natural gas, renewable propane or hydrogen,

(ii) is one referred to in section 95,

(iii) is used or sold for use as a fuel in Canada whether as neat fuel or as part of a blend, and

(iv) meets the requirements set out in section 56; or

(c) the registered creator, or a person with whom they have entered into an agreement under section 21, produces in Canada a quantity of low-carbon-intensity fuel to which may be attributed a reduction in the number of tonnes of CO_2e that would otherwise have been emitted by the use of a fuel in the gaseous class, if the low-carbon-intensity fuel

(i) is biogas, renewable natural gas, renewable propane or hydrogen,

(ii) is one referred to in section 95 or 96, as the case may be,

(iii) is used or sold for use as a fuel in Canada whether as neat fuel or as part of a blend, and

(iv) meets the requirements set out in section 56.

Agreement to create credits

21 (1) A registered creator may, before they have created any provisional compliance credits, enter into an agreement to create compliance credits for a compliance period

(a) with a person who is carrying out a CO_2e-emission-reduction project described in section 30 or a person who is referred to in subsection 98(1), 99(1), 101(1), 102(1) or 104(1); or

(b) with a producer who is referred to in subsection 94(1), 95(1), 96(1) or 100(1), if the agreement applies only to the creation of compliance credits through the production of a quantity of low-carbon-intensity fuel in Canada.

Validity of agreement — requirements

(2) The agreement is not valid unless it is signed by the authorized agents of each of the parties to the agreement and contains the following information:

(a) with respect to each party to the agreement,

(i) their name, civic address, postal address, telephone number and, if any, email address,

(ii) the name, title, civic address, postal address, telephone number and, if any, email address of their authorized agent, and

(iii) the name, title, civic address, postal address, telephone number and, if any, email address of a contact person, unless the contact person is the authorized agent;

(b) an indication of the compliance period to which the agreement relates;

(c) if the agreement relates to a CO_2e-emission-reduction project described in section 30,

(i) the name of the facility at which the project is carried out or, if the equipment with which it is carried out is not within a facility, the name of that equipment,

(ii) the GPS coordinates to the fifth decimal place and, if any, civic address of that facility or equipment, and

(iii) an indication of the type of co-processed low-carbon-intensity fuel produced at the facility, if applicable;

(d) if the agreement relates to the production of the fuel referred to in subsection 94(1), 95(1), 96(1) or 100(1) in a facility, with respect to each facility where the fuel is produced,

(i) the name, GPS coordinates to the fifth decimal place and, if any, civic address of that facility, and

(ii) an indication of the type of fuel produced at the facility;

(e) if the agreement relates to the supply of a fuel referred to in subsection 98(1) or 99(1) at fuelling stations, with respect to each fuelling station,

(i) the name, GPS coordinates to the fifth decimal place and, if any, civic address of the fuelling station, and

(ii) an indication of the type of fuel supplied by the fuelling station;

(f) if the agreement is with a charging-network operator referred to in subsection 102(1), with respect to each charging station in the charging-network operator's network,

(i) an indication of the province in which it is located, and

(ii) an indication of whether it is intended primarily for use by the occupants of a private dwelling-place, for use by the public or for another use;

(g) if the agreement is with a charging-site host referred to in subsection 101(1), with respect to each charging station that the charging-site host owns or leases,

(i) an indication of the province in which it is located, and

(ii) the name of the charging-network operator, if any, who operates the communication platform that collects data from the charging station; and

(h) if the agreement is with an owner or operator referred to in subsection 104(1) of one or more hydrogen fuelling stations, the name, GPS coordinates to the fifth decimal place and, if any, civic address of each fuelling station.

Submission to Minister

22 (1) A registered creator who enters into an agreement referred to in section 21 must submit the agreement to the Minister and, subject to subsection (2), must not create provisional compliance credits under the agreement until the day after the day on which it is submitted.

Exception — submission within first 60 days

(2) If the agreement is submitted to the Minister during the first 60 days of the compliance period to which the agreement relates, the registered creator may create provisional compliance credits under the agreement as of the first day of that compliance period unless the agreement provides for a later date.

Creation of Provisional Compliance Credits

Creation of provisional compliance credits

23 (1) Any compliance credit created under subsection 19(1) or section 20 is considered to be a provisional compliance credit at the time that it is created.

No use of provisional credit

(2) A primary supplier must not use a provisional compliance credit to satisfy a total reduction requirement or to comply with any of the volumetric requirements set out in subsections 6(1) and 7(1) and must not transfer a provisional compliance credit under the compliance-credit transfer system.

Single use for creation of provisional credits

(3) A quantity of a fuel or an energy source that has been used by a person to create provisional compliance credits under subsection 94(1), 95(1), 96(1), 98(1), 99(1), 100(1), 101(1), 102(1) or 104(1) must not be used by another person to create compliance credits under the same subsection, and any quantity that is used more than once under the same subsection is deemed not to create any provisional compliance credits.

Loss of provisional status

(4) A provisional compliance credit that is the subject of a credit-creation report submitted under section 120 or 121 ceases to be provisional when the Minister deposits it into a compliance-credit account under subsection 24(1) or (2).

Ownership of provisional credits

(5) On creation, a provisional compliance credit is owned by the registered creator who created it.

Single owner

(6) At any given time, a provisional compliance credit may only have a single owner.

Deposit into account

24 (1) The compliance credits that are the subject of a credit-creation report submitted under section 120 or 121 must be deposited by the Minister as soon as feasible after the reception of the report into the registered creator's account that was opened under

(a) paragraph 28(a), in the case of a compliance credit created under subsection 19(1); and

(b) paragraph 28(b), in the case of a compliance credit created under section 20.

Deposit — adjustment of credits

(2) The compliance credits created under section 88, 89 or 90 that are the subject of a credit-creation report submitted under section 120 or a credit-adjustment report submitted under section 122 must be deposited by the Minister as soon as feasible after the reception of the report into any of the registered creator's compliance-credit accounts opened under section 28.

Identification number

(3) The Minister must assign an identification number to each compliance credit when it is deposited into a compliance-credit account.

Registration as Registered Creator

Registration report

25 (1) A person who wishes to create compliance credits under subsection 19(1) or section 20 or under an agreement referred to in section 21 may register with the Minister as a registered creator by submitting to the Minister a registration report containing the information referred to in section 1 of Schedule 3 and any applicable information referred to in sections 4 to 12 of that Schedule.

Registration before creation

(2) A registered creator must not create provisional compliance credits under subsection 19(1) or section 20 until the day after the day on which they become a registered creator.

Exception — registration within 60 days

(3) However, a person who submits a registration report to the Minister during the period that begins on the day on which these Regulations are registered and ends 60 days after that day may create provisional compliance credits as of that day.

Change of information

26 (1) If there are any changes in the information referred to in section 1 of Schedule 3 that is provided in the registration report, the registered creator must send a notice to the Minister that provides the updated information within 30 days after the day on which the change occurs.

Sections 4 to 12 of Schedule 3

(2) If there are any changes in the information referred to in sections 4 to 12 of Schedule 3 that is provided in the registration report, the registered creator must send a notice to the Minister that provides the updated information no later than on the next day on which they are required to submit a report under subsection 120(1) or 121(1).

New agreement

(3) A registered creator who enters into an agreement under section 21 must send a notice to the Minister that contains, in respect of the activities carried out by the person with whom they have entered into the agreement, the information referred to in section 1 of Schedule 3 and any applicable information referred to in sections 4 to 12 of that Schedule.

Cancellation of registration

27 (1) A registered creator may cancel their registration as a registered creator if they

(a) send to the Minister a notice that indicates their intention to cancel their registration; and

(b) submit to the Minister any report or send any notice that they are required by these Regulations to submit or send.

Cancellation by Minister

(2) If, after receiving the notice referred to in paragraph (1)(a), the Minister is satisfied that the registered creator has complied with these Regulations, the Minister must

(a) in the case of a registered creator who is not a primary supplier, cancel any compliance credits in any of the registered creator's accounts opened under section 28;

(b) cancel the registered creator's registration as a registered creator; and

(c) send a notice to the registered creator informing them that their registration is cancelled.

Compliance-Credit Accounts

Opening

28 On the registration of a primary supplier under subsection 10(1) or a registered creator under subsection 25(1), the Minister must open the following accounts for the primary supplier or the registered creator in the compliance-credit transfer system:

(a) a liquid-fuel-compliance-credit account; and

(b) a gaseous-fuel-compliance-credit account.

Credit remains in account

29 A compliance credit that is deposited into an account must remain in that account until the compliance credit is cancelled or transferred.

CO_2e-Emission-Reduction Project

Series of activities

30 A CO_2e-emission-reduction project must consist of a series of activities that, when carried out, result in

(a) a reduction of the number of tonnes of CO_2e emissions that are released during the activities carried out over the life cycle of a fossil fuel in the liquid state at standard conditions, including all emissions associated with the extraction of the hydrocarbons used to produce the fuel, with the processing, refining or upgrading of

those hydrocarbons to produce the fuel, with the transportation or distribution of those hydrocarbons or the fuel and with the combustion of the fuel;

(b) the sequestration of any CO_2e emissions that are released during the activities carried out over the life cycle of a fossil fuel in the liquid state at standard conditions, including all emissions associated with the extraction of the hydrocarbons used to produce the fuel, with the processing, refining or upgrading of those hydrocarbons to produce the fuel, with the transportation or distribution of those hydrocarbons or the fuel and with the combustion of the fuel;

(c) the use of any CO_2e emissions that are released during the activities carried out over the life cycle of a fossil fuel in the liquid state at standard conditions, including all emissions associated with the extraction of the hydrocarbons used to produce the fuel, with processing, refining or upgrading those hydrocarbons to produce the fuel, with the transportation or distribution of those hydrocarbons or the fuel and with the combustion of the fuel; or

(d) the production of a quantity of co-processed low-carbon-intensity fuel to which may be attributed a reduction in the number of tonnes of CO_2e that would otherwise have been emitted by the use of a fuel in the liquid class or gaseous class, if the co-processed low-carbon-intensity fuel

(i) is used or sold for use as a fuel in Canada whether as neat fuel or as part of a blend, and

(ii) meets the requirements set out in section 56.

Generic quantification method

31 (1) The Minister may establish a generic emission-reduction quantification method that is applicable to any project for which no specific emission-reduction quantification method is applicable on the

day on which the project is recognized under subsection 35(1) or 39(1).

Conditions

(2) The generic emission-reduction quantification method must

(a) be consistent with ISO Standard 14064-2;

(b) establish a period of 10 years, beginning on the later of the day on which the Minister recognizes a project to which it is applicable and any preferred day referred to in paragraph 34(2)(b), at the end of which the carrying out of the project ceases to create compliance credits; and

(c) indicate that it is applicable to projects carried out in Canada or indicate that it is applicable to projects carried out in a specified foreign country or subdivision of a foreign country that has an agreement with Canada referred to in paragraph 39(1)(b).

Specific quantification method

32 (1) The Minister may establish a specific emission-reduction quantification method that is applicable to a project of a specific type.

Conditions

(2) The specific emission-reduction quantification method must

(a) be consistent with ISO Standard 14064-2;

(b) be based on data that are verifiable for a specified period

(c) be based on emission factors that are considered by generally recognized scientific sources

(i) to be appropriate for the quantification of the reduction, sequestration or use of CO_2e emissions for the project, and

(ii) to not result in an overestimate of that quantification;

(d) establish a period of no less than 10 years, beginning on the later of the day on which the Minister recognizes the project and any preferred day referred to in paragraph 34(2)(b), at the end of which the carrying out of the project ceases to create compliance credits;

(e) identify the data that are necessary to determine the number of compliance credits created under paragraph 19(1)(a) or 20(a) by the carrying out of the project for a specified period; and

(f) indicate that it is applicable to projects carried out in Canada or indicate that it is applicable to projects carried out in a specified foreign country or subdivision of a foreign country that has an agreement with Canada referred to in paragraph 39(1)(b).

Exception

33 Despite sections 31 and 32, no emission-reduction quantification method is applicable to, and no compliance credits are created under paragraph 19(1)(a) or 20(a) by any of the following types of projects:

(a) projects that include an operational or physical change that is solely for the purpose of reducing the production of fuel;

(b) projects that are maintenance activities;

(c) projects that include a reduction in the number of tonnes of CO_2e emissions by displacing the use of a type of crude oil processed by a facility with the use of another type of crude oil;

(d) projects that consist of current practices that would be carried out in the ordinary course of business;

(e) projects that include a reduction in the number of tonnes of CO_2e emissions that are released during the extraction of the hydrocarbons used to produce a fuel, during the processing, refining or upgrading of those hydrocarbons to produce the fuel, during the transportation or distribution of those hydrocarbons or

the fuel and during the combustion of the fuel by displacing the use of that fuel with the use of fuel, hydrogen or electricity for which compliance credits may be created under any of sections 94, 96, 98 to 102 and 104.

Application for recognition

34 (1) A registered creator may apply to the Minister for the recognition of a CO_2e-emission-reduction project described in section 30 as a project that may create compliance credits when carried out in Canada.

Contents of application

(2) The application must be signed by the authorized agent of the registered creator and contain

(a) the information referred to in Schedule 4;

(b) if the registered creator prefers that the carrying out of the project may create provisional compliance credits only as of a particular day, which must be no later than 18 months after the day on which the application is made, an indication of that preferred day; and

(c) an indication that the registered creator is applying to use a generic emission-reduction quantification method or a specific emission-reduction quantification method, whichever is applicable to the project, and the name of that method.

Recognition — generic quantification method

35 (1) In the case of an application under subsection 34(1) for the recognition of a CO_2e-emission-reduction project and the use of a generic emission-reduction quantification method that is applicable to the project, the Minister must recognize the project as a project that

may create compliance credits when carried out if the Minister is satisfied, based on the information provided by the registered creator, that

(a) the activities that result in the reduction, sequestration or use of CO_2e emissions will be carried out in Canada;

(b) the project's reduction, sequestration or use of CO_2e emissions will be determined using the generic emission-reduction quantification method;

(c) the activity specified in the generic emission-reduction quantification method that allows the project to begin to reduce, sequester or use CO_2e emissions was or will be carried out on or after July 1, 2017;

(d) the specified activities that would have been carried out if not for the implementation of the project and the CO_2e emissions that would have resulted from those activities, as well as the greenhouse gas sources and sinks that have been selected by the applicant to determine those CO_2e emissions,

(i) are functionally equivalent to the project, in terms of the type and level of activity of products provided,

(ii) are in accordance with ISO Standard 14064-2 and with the generic emission-reduction quantification method, and

(iii) do not result in an overestimation of CO_2e emissions resulting from those specified activities that would have been carried out by the applicant; and

(e) the greenhouse gas sources and sinks that have been selected by the applicant and are relevant to the project meet the following conditions:

(i) they are in accordance with ISO Standard 14064-2 and with the generic emission-reduction quantification method, and

(ii) they do not result in an underestimation of CO_2e emissions released during the project.

Unique alphanumeric identifier

(2) The Minister must assign a unique alphanumeric identifier to a CO_2e-emission-reduction project recognized under subsection (1).

Number of compliance credits

(3) The number of provisional compliance credits that are created for each compliance period by the carrying out of a project recognized under subsection (1) is determined — in accordance with the generic emission-reduction quantification method — based on the proportion of the quantity of crude oil or liquid fossil fuel that is not exported from Canada and that has a reduced carbon intensity as a result of the activities carried out for the project.

End of project

(4) The carrying out of a project recognized under subsection (1) ceases to create compliance credits as of the end of the period referred to in paragraph 31(2)(b) or, if applicable, the end of the five-year period referred to in subsection 42(1).

Recognition — specific quantification method

36 (1) In the case of an application under subsection 34(1) for the recognition of a CO_2e-emission-reduction project and the use of a specific emission-reduction quantification method that is applicable to the project, the Minister must recognize the project as a project that may create compliance credits when carried out if the Minister is satisfied, based on the information provided to the Minister by the registered creator, that

(a) the activities that result in the reduction, sequestration or use of CO_2e emissions will be carried out in Canada;

(b) the project's reduction, sequestration or use of CO_2e emissions will be determined using the specific emission-reduction quantification method; and

(c) the activity specified in the specific emission-reduction quantification method that allows the project to begin to reduce, sequester or use CO_2e emissions was or will be carried out on or after July 1, 2017, unless the method provides that the activity may be carried out before that date.

Unique alphanumeric identifier

(2) The Minister must assign a unique alphanumeric identifier to a CO_2e-emission-reduction project recognized under subsection (1).

Number of compliance credits

(3) The number of provisional compliance credits that are created for each compliance period by the carrying out of a project recognized under subsection (1) is determined — in accordance with the specific emission-reduction quantification method — based on the proportion of the quantity of crude oil or liquid fossil fuel that is not exported from Canada and that has a reduced carbon intensity as a result of the activities carried out for the project.

End of project

(4) The carrying out of a project recognized under subsection (1) ceases to create compliance credits as of the end of the period referred to in paragraph 32(2)(d) or, if applicable, the end of the five-year period referred to in subsection 42(1).

Application for recognition — change of method

37 (1) If, after the recognition of a CO_2e-emission-reduction project under subsection 35(1) but before the end of the period referred to in paragraph 31(2)(b) or, if applicable, the five-year period referred to in subsection 42(1), the Minister establishes a specific emission-reduction

quantification method under subsection 32(1) that is applicable to the project, the registered creator may apply to the Minister for the recognition of the project as a project that may create compliance credits when carried out in Canada using that method.

Contents of application

(2) The application must be signed by the authorized agent of the registered creator and contain

(a) if the information contained in the original application for recognition under subsection 34(1), other than the information referred to in paragraph 2(d) of Schedule 4, has changed, the updated information;

(b) an indication that the registered creator is applying to use the specific emission-reduction quantification method and the name of that method;

(c) the information referred to in paragraph 2(d) of Schedule 4 in respect of that method; and

(d) if the registered creator prefers that the carrying out of the project may create provisional compliance credits only as of a particular day, an indication of that preferred day, which must be

(i) no later than 18 months after the day on which the application is made, and

(ii) before the end of the period referred to in paragraph 31(2)(b) or, if applicable, the five-year period referred to in subsection 42(1).

Recognition by the Minister

(3) The Minister must recognize the CO_2e-emission-reduction project as a project that may create compliance credits when carried out if the Minister is satisfied, based on the information provided by the

registered creator, that the project meets the criteria set out in paragraphs 36(1)(a) to (c).

Unique alphanumeric identifier

(4) The Minister must assign a unique alphanumeric identifier to a CO_2e-emission-reduction project recognized under subsection (3).

Period — creation of compliance credits

(5) Subject to subsection 42(4), the period during which the carrying out of the project may create provisional compliance credits begins on the later of the day on which it is recognized under subsection (3) and the preferred day referred to in paragraph (2)(d) and is determined by the formula

$$S - D$$

where

S is the period referred to in paragraph 32(2)(d) and established in the specific emission-reduction quantification method that is applicable to the project, expressed as a number of days; and

D is the number of days — during the period referred to in paragraph 31(2)(b) — on which the carrying out of the project has created provisional compliance credits using the generic emission-reduction quantification method.

Number of compliance credits

(6) The number of provisional compliance credits that are created for the period determined under subsection (5) or, if applicable, subsection 42(4) by the carrying out of a project that is recognized under subsection (3) is determined — in accordance with the specific emission-reduction quantification method — based on the proportion of the quantity of crude oil or liquid fossil fuel that is not exported from Canada and that has a reduced carbon intensity as a result of the activities carried out for the project.

End of project — generic method

(7) The carrying out of a project that is recognized under subsection (3) ceases to create compliance credits under section 35 as of the day before the day on which the period determined under subsection (5) begins.

End of project — specific method

(8) The carrying out of a project that is recognized under subsection (3) ceases to create compliance credits under subsection (6) as of the end of the period determined under subsection (5) or, if applicable, the end of the five-year period referred to in subsection 42(1).

Application for recognition — project in foreign country

38 (1) A registered creator may apply to the Minister for the recognition of a CO_2e-emission-reduction project that is described in section 30 and carried out in a foreign country or subdivision of a foreign country as a project that may create compliance credits when carried out in the foreign country or subdivision, if there is an agreement referred to in paragraph 39(1)(b) between Canada and that foreign country or subdivision and the agreement is applicable to that type of project.

Contents of application

(2) The application must be signed by the authorized agent of the registered creator and must contain

(a) the information referred to in Schedule 4;

(b) if the registered creator prefers that the carrying out of the project may create provisional compliance credits only as of a particular day, which must be no later than 18 months after the day on which the application is made, an indication of that preferred day; and

(c) an indication that the registered creator is applying to use the applicable generic emission-reduction quantification method or specific emission-reduction quantification method that is indicated in the agreement referred to in subsection (1) and the name of that method.

Recognition — project in foreign country

39 (1) The Minister must recognize a CO_2e-emission-reduction project carried out in a foreign country or subdivision of a foreign country as a project that may create compliance credits when carried out if the Minister is satisfied that

(a) based on the information provided to the Minister by the registered creator, the project meets the criteria set out in subsection (2) or (3), as the case may be; and

(b) Canada has an agreement with the foreign country or the subdivision that meets the requirements set out in subsection (4).

Generic quantification method

(2) In the case of an application under subsection 38(1) for the recognition of a CO_2e-emission-reduction project and the use of a generic emission-reduction quantification method that is applicable to the project, the project must meet the following criteria:

(a) the activities carried out outside Canada during the project that result in the reduction, sequestration or use of CO_2e emissions are comparable in effectiveness with projects that are carried out in Canada with respect to the reduction, sequestration or use of CO_2e emissions released during the activities carried out over the life cycle of a fossil fuel that is in the liquid state at standard conditions;

(b) the activity specified in the generic emission-reduction quantification method that allows the project to begin to reduce, sequester or use CO_2e emissions was or will be carried out on or

after July 1, 2017;

(c) the reduction, sequestration or use of CO_2e emissions resulting from the project is determined using the generic emission-reduction quantification method;

(d) the specified activities that would have been carried out if not for the implementation of the project and the CO_2e emissions that would have resulted from those activities, as well as the greenhouse gas sources and sinks that have been selected by the applicant to determine those CO_2e emissions,

(i) are functionally equivalent to the project, in terms of the type and level of activity of products provided,

(ii) are in accordance with ISO Standard 14064-2 and with the generic emission-reduction quantification method, and

(iii) do not result in an overestimation of CO_2e emissions resulting from those specified activities that would have been carried out by the applicant; and

(e) the greenhouse gas sources and sinks that have been selected by the applicant and are relevant to the project meet the following conditions:

(i) they are in accordance with ISO Standard 14064-2 and with the generic emission-reduction quantification method, and

(ii) they do not result in an underestimation of CO_2e emissions released during the project.

Specific quantification method

(3) In the case of an application under subsection 38(1) for the recognition of a CO_2e-emission-reduction project and the use of a specific emission-reduction quantification method that is applicable to the project, the project must meet the following criteria:

(a) the activities carried out outside Canada during the project that result in the reduction, sequestration or use of CO_2e emissions are comparable in effectiveness with projects that are carried out in Canada with respect to the reduction, sequestration or use of CO_2e emissions released during the activities carried out over the life cycle of a fossil fuel that is in the liquid state at standard conditions;

(b) the activity specified in the specific emission-reduction quantification method that allows the project to begin to reduce, sequester or use CO_2e emissions was or will be carried out on or after July 1, 2017, unless the method provides that the activity may be carried out before that date; and

(c) the reduction, sequestration or use of CO_2e emissions resulting from the project is determined using the specific emission-reduction quantification method.

Agreement with foreign country or subdivision

(4) An agreement referred to in paragraph (1)(b) with a foreign country or a subdivision of a foreign country must

(a) specify any generic emission-reduction quantification methods and specific emission-reduction quantification methods that are applicable to projects of specific types that are carried out in the foreign country or subdivision;

(b) recognize that the emission reductions that result from those specific types of projects do not result from current practices that would be carried out in the ordinary course of business;

(c) recognize that the emission reductions that result from those specific types of projects are permanent;

(d) recognize that there are environmental laws that are in force in, and enforceable by, the foreign country or the subdivision that are applicable to those specific types of projects and that are

comparable to environmental laws in force in Canada in terms of effectiveness;

(e) recognize that there are laws related to the requirement set out in paragraph (c) that are in force in, and enforceable by, the foreign country or the subdivision and that are comparable to environmental laws in force in Canada in terms of effectiveness;

(f) set out how the foreign country or the subdivision will carry out enforcement activities, including the conduct of inspections, compliance verifications and investigations of suspected violations, and how it will enforce compliance with the laws referred to in paragraphs (d) and (e) in a manner that is equivalent to the level of enforcement in Canada; and

(g) set out how the foreign country or the subdivision will cooperate and share information with Canada to assist in the administration and enforcement of these Regulations.

Unique alphanumeric identifier

(5) The Minister must assign a unique alphanumeric identifier to a CO_2e-emission-reduction project recognized under subsection (1).

End of project

(6) The carrying out of a project that is recognized under subsection (1) ceases to create compliance credits under section 41 on the earlier of

(a) the end of the period referred to in paragraph 31(2)(b) or, if applicable, the end the five-year period referred to in subsection 42(1), and

(b) the day on which Canada no longer has an agreement with the foreign country or subdivision of a foreign country in which the project is carried out.

Application for recognition — change of method

40 (1) If, after the recognition of a CO_2e-emission-reduction project under subsection 39(1) as a project that may create compliance credits using a generic emission-reduction quantification method, but before the end of the period referred to in paragraph 31(2)(b) or, if applicable, the five-year period referred to in subsection 42(1), the Minister establishes a specific emission-reduction quantification method under subsection 32(1) that is applicable to the project and the agreement referred to in paragraph 39(1)(b) is amended to permit the use of that specific emission-reduction quantification method for that type of project, the registered creator may apply to the Minister for the recognition of the project as a project that may create compliance credits when carried out using that specific emission-reduction quantification method.

Contents of application

(2) The application must be signed by the authorized agent of the registered creator and must contain

(a) if the information contained in the original application for recognition of the project under subsection 38(1), other than the information referred to in paragraph 2(d) of Schedule 4, has changed, the updated information;

(b) an indication that the registered creator is applying to use the specific emission-reduction quantification method and the name of that method;

(c) the information referred to in paragraph 2(d) of Schedule 4 in respect of that method; and

(d) if the registered creator prefers that the carrying out of the project may create provisional compliance credits only as of a particular day, an indication of the preferred day, which must be

(i) no later than 18 months after the day on which the application is made, and

(ii) before the end of the period referred to in paragraph 31(2)(b) or , if applicable, the five-year period referred to in subsection 42(1).

Recognition by the Minister

(3) The Minister must recognize the CO_2e-emission-reduction project as a project that may create compliance credits when carried out if the Minister is satisfied, based on the information provided by the registered creator, that the project meets the criteria set out in paragraph 39(1)(b) and subsection 39(3).

Unique alphanumeric identifier

(4) The Minister must assign a unique alphanumeric identifier to a CO_2e-emission-reduction project recognized under subsection (3).

Creation of compliance credits

(5) Subject to subsection 42(4), the period during which the carrying out of the project may create provisional compliance credits begins on the later of the day on which the project is recognized under subsection (3) and the preferred day referred to in paragraph (2)(d) and is determined by the formula

S – D

where

S is the period referred to in paragraph 32(2)(d) and established in the specific emission-reduction quantification method that is indicated in the agreement referred to in paragraph 39(1)(b) and that is applicable to the project, expressed as a number of days; and

D is the number of days — during the period referred to in paragraph 31(2)(b) — on which the carrying out of the project has created provisional compliance credits using the generic emission-reduction quantification method.

End of project — generic method

(6) The carrying out of a CO_2e-emission-reduction project that is recognized under subsection (3) ceases to create compliance credits under section 39 on the earlier of

(a) the day before the day on which the period determined under subsection (5) begins, and

(b) the day on which Canada no longer has an agreement with the foreign country or subdivision of a foreign country in which the project is carried out.

End of project — specific method

(7) The carrying out of a project that is recognized under subsection (3) ceases to create compliance credits under section 41 as of the end of the period determined under subsection (5) or, if applicable, the end of the five-year period referred to in subsection 42(1).

Number of compliance credits — projects in foreign country

41 The number of provisional compliance credits that are created by the carrying out of a CO_2e-emission-reduction project recognized under subsection 39(1) or 40(3) is determined — in accordance with the emission-reduction quantification method that is indicated in the agreement referred to in paragraph 39(1)(b) and that is applicable to the project — based on the proportion of the quantity of crude oil or liquid fossil fuel that is imported into Canada and that has a reduced carbon intensity as a result of the activities carried out for the project.

Extension of period — five years

42 (1) Subject to subsection (3), during the year that precedes the end of the period referred to in paragraph 31(2)(b) or 32(2)(d) or determined under subsection 37(5) or 40(5), as the case may be, a registered creator may apply to the Minister to extend that period for a single period of five years.

Application — contents

(2) The application for extension must be signed by the authorized agent of the registered creator and, if there are any changes in the information provided in the original application for recognition of the CO_2e-emission-reduction project, the application for extension must provide the updated information.

No extension

(3) In the case of a CO_2e-emission-reduction project that was recognized under subsection 35(1) or 39(1) as a project that may create compliance credits when carried out using a generic emission-reduction quantification method, no application for extension may be made if, during the year that precedes the end of the period established under paragraph 31(2)(b), the Minister establishes a specific emission-reduction quantification method under subsection 32(1) that is applicable to the project.

Extension after change of method

(4) If, during the five-year extension period granted by the Minister in respect of a CO_2e-emission-reduction project that was recognized under subsection 35(1) or 39(1) as a project that may create compliance credits when carried out using a generic emission-reduction quantification method, the Minister recognizes the project under subsection 37(3) or 40(3) as a project that may create compliance credits when carried out using a specific emission-reduction quantification method, the period during which the project may create provisional compliance credits begins on the later of the day on which the project is recognized under subsection 37(3) or 40(3) and the preferred day referred to in paragraph 37(2)(d) or 40(2)(d), as the case may be, and is determined by the formula

$$\mathbf{P - D}$$

where

P is the five-year extension period granted by the Minister, expressed as a number of days; and

D is the number of days — during the period P — on which the carrying out of the project has created provisional compliance credits using the generic emission-reduction quantification method.

Federal or provincial laws

43 If an activity that is carried out as part of a CO_2e-emission-reduction project ceases to be additional to what is required by the laws of Canada or of a province — other than any laws relating to greenhouse gas emission pricing mechanisms, the reduction of the carbon intensity of fuel or the use of low-carbon-intensity fuel — the number of provisional compliance credits that are created under subsections 35(3), 36(3) and 37(6) and section 41 by the carrying out of the project is reduced in proportion to the reduction of CO_2e emissions that results from that activity.

Failure to comply with record requirements

44 If a registered creator fails to comply with any of the requirements set out in sections 166 and 168 in relation to a CO_2e-emission-reduction project, any compliance credits that are created by carrying out the project during the period of non-conformity with those requirements are not valid and are considered to be excess compliance credits that may be suspended by the Minister under section 158 or cancelled by the Minister under section 160.

Displacement of Fossil Fuel Usage

Land-Use and Biodiversity Criteria for Low-Carbon-Intensity Fuels

Maximum quantity

45 (1) The maximum quantity of a low-carbon-intensity fuel that is produced at a facility by a producer in Canada or foreign supplier during each period referred to in subsection (3) for which compliance

credits may be created by the carrying out of a CO_2e-emission-reduction project described in paragraph 30(d) or be created under any of sections 94 to 96, 99, 100 and 104 is determined by the formula

$$\mathbf{Q_{fuel} \times Q_{eligible} \div (Q_{eligible} + Q_{ineligible})}$$

where

Q_{fuel} is the quantity of the low-carbon-intensity fuel that is produced at the facility during the period, expressed in kilograms or cubic metres, as applicable;

$Q_{eligible}$ is the quantity of eligible feedstock that meets the requirements set out in section 47 that was used at the facility by the producer in Canada or foreign supplier to produce the low-carbon-intensity fuel during the period, expressed in kilograms or cubic metres, as applicable; and

$Q_{ineligible}$ is the quantity of feedstock, other than eligible feedstock, that was used at the facility by the producer in Canada or foreign supplier to produce the low-carbon-intensity fuel during the period, expressed in kilograms or cubic metres, as applicable.

Carbon intensity

(2) For the purposes of subsection (1), a low-carbon-intensity fuel is a fuel that

(a) has a carbon intensity to which an alphanumeric identifier has been assigned under subsection 85(2); or

(b) has the default carbon intensity referred to in paragraph 75(1)(a) or determined in accordance with the emission-reduction quantification method that is applicable to a project described in paragraph 30(d).

Periods

(3) The periods for producing low-carbon-intensity fuels are, for any compliance period that ends after January 1, 2024,

(a) the period beginning on the January 1 and ending on the March 31 of the compliance period;

(b) the period beginning on the April 1 and ending on the June 30 of the compliance period;

(c) the period beginning on the July 1 and ending on the September 30 of the compliance period; and

(d) the period beginning on the October 1 and ending on the December 31 of the compliance period.

Exclusive use

(4) A person who uses a quantity of low-carbon-intensity fuel produced from an eligible feedstock to create credits in a jurisdiction outside Canada or to comply with a requirement relating to greenhouse gas emissions that is set by a jurisdiction outside Canada must not use that quantity of low-carbon-intensity fuel to create compliance credits by the carrying out of a CO_2e-emission-reduction project referred to in paragraph 30(d) or under any of sections 94 to 96, 99, 100 and 104.

Eligibility requirements

46 (1) Subject to subsection (2) and sections 48 to 55, 57 and 58, the following feedstock is eligible:

(a) feedstock that is not derived from biomass;

(b) feedstock that is derived from

(i) forest biomass derived from fire prevention and protection activities or from clearing activities that are not related to harvesting, such as infrastructure installation, pest and disease control and road maintenance,

(ii) crop residues or damaged crops,

(iii) secondary forest residues that are by-products of industrial wood-processing operations,

(iv) used or inedible organics from a residential area, retail store, restaurant, caterer or food processing plant,

(v) used fat or used vegetable oil,

(vi) used animal litter,

(vii) animal materials, including manure,

(viii) industrial effluents,

(ix) municipal wastewater, or

(x) used construction or demolition materials; and

(c) feedstock that is derived from agricultural or forest biomass but is not derived from a material or source referred to in paragraph (b).

Intentionally used feedstock

(2) A feedstock that is derived from agricultural or forest biomass and that is intentionally altered in order to meet any of the conditions set out in paragraph (1)(b) is considered not to be an eligible feedstock for the purposes of that paragraph.

Quantity of eligible feedstock

47 (1) The quantity of an eligible feedstock of a particular type that, after December 31, 2023, is removed from the site where it was harvested, mixed, processed, divided or obtained must not be greater than the quantity determined by the formula

$$Q_{inventory} + Q_{incoming}$$

where

$Q_{inventory}$ is the quantity of eligible feedstock of that type that was at the site after the previous time that a quantity of eligible feedstock of that type was removed from the site, expressed in kilograms or cubic metres, as applicable; and

$Q_{incoming}$ is the quantity of eligible feedstock of that type that was harvested at or brought to the site since the previous time that a quantity of eligible feedstock of that type was removed from the site, expressed in kilograms or cubic metres, as applicable.

Production of fuel

(2) For each period referred to in subsection 45(3), the total of the quantity of eligible feedstock of a particular type that is used to produce a low-carbon-intensity fuel at a facility and the quantity of eligible feedstock of that type that is at the facility at the end of the period must not be greater than the quantity determined by the formula

$$Q_{inventory} + Q_{incoming}$$

where

$Q_{inventory}$ is the quantity of eligible feedstock of that type that was at the facility at the beginning of the period, expressed in kilograms or cubic metres, as applicable; and

$Q_{incoming}$ is the quantity of eligible feedstock of that type that was brought to the facility during the period, expressed in kilograms or cubic metres, as applicable.

Wildlife habitat

48 (1) It is not permitted to harvest feedstock referred to in paragraph 46(1)(c) from land located in an area that provides a habitat for any rare, vulnerable or threatened species.

Exception

(2) However, the Minister may, on application from a person who harvests a feedstock referred to in paragraph 46(1)(c) or who produces fuel from that feedstock, authorize the use of a feedstock obtained from rehabilitation or habitat-improvement activities carried out on

land located in an area that provides a habitat referred to in subsection (1) if the Minister is satisfied that those activities do not adversely affect that habitat.

Application

(3) The application must

(a) describe the activities that the person who harvests the feedstock has carried out or intends to carry out in the area; and

(b) demonstrate that the activities will not adversely affect the habitat.

Damaging agents

49 A feedstock referred to in paragraph 46(1)(c) must be harvested and transported in accordance with measures that monitor, prevent and control the introduction, spread and establishment of damaging agents, such as pests, invasive species and disease.

Crops — indirect changes to land use

50 (1) A feedstock referred to in any of subparagraphs 46(1)(b)(ii) to (vi) or paragraph 46(1)(c) that is a crop, crop by-product or crop residue must be produced in a manner that does not create a high risk of an indirect change to land use that adversely affects the environment.

European Commission Delegated Regulation

(2) For the purposes of subsection (1), there is a high risk that the production of a feedstock will cause an indirect change to land use that adversely affects the environment if the value specified for that feedstock in the Annex to the *Commission Delegated Regulation (EU) 2019/807 of 13 March 2019* is greater than

(a) 1% in the column entitled “Average annual expansion of production area since 2008 (%)”; and

(b) 10% in the column entitled “Share of expansion into land referred to in Article 29(4)(b) and (c) of Directive (EU) 2018/2001”.

Crops — excluded land

51 (1) It is not permitted to harvest feedstock referred to in paragraph 46(1)(c) that is a crop from land that

(a) has an area greater than 1 ha and was, at any time on or after July 1, 2020,

(i) a forest that contains trees that are or are capable of reaching a height of 5 m and provide or are capable of providing a canopy cover of more than 10%,

(ii) a wetland that is periodically saturated with water for a period that is long enough to promote biological activity that is adapted to a wet environment, or

(iii) a grassland that is dominated by herbaceous or shrub vegetation that has not been cultivated for 10 years or more; or

(b) was never cultivated before July 1, 2020 and was, at any time on or after that day, in a riparian zone.

Definition of *riparian zone*

(2) In subsection (1), ***riparian zone*** means land that is located within 30 m, measured on a slope distance following the topography of the land, of

(a) the high-water mark of a watercourse that is more than 3 m wide; or

(b) the shores of a lake or permanent wetland that has an area greater than 5 ha.

Forest-based feedstock

52 The harvesting of any feedstock referred to in paragraph 46(1)(c) that is derived from forest biomass must be carried out in accordance with a forest management plan that meets the following requirements:

(a) it must be possible for a verification body to evaluate it;

(b) it must be implemented, monitored and kept up to date, based on monitoring results, to promote adaptive management, by the person who is responsible for harvesting the feedstock; and

(c) it must specify the practices to be followed to ensure that

(i) the management of the land where the feedstock is harvested is carried out in a manner that promotes timely forest regeneration of that land to its pre-harvesting condition using species of trees that are ecologically suited to the site and drawn, if possible, from native species or local genotypes,

(ii) adverse effects are prevented on naturally regenerated stands containing multi-layered canopies with trees near their maximum longevity as well as standing and fallen dead trees and forest debris at varying stages of decomposition,

(iii) forest management and related activities in the areas where the feedstock is harvested are carried out in a manner that prevents or mitigates adverse effects on the quantity and quality of the soil, on the quantity and quality of surface and ground water resources and on biodiversity, and

(iv) forest management and related activities in the areas where the feedstock is harvested are carried out in a manner that maintains the connectivity of watercourses.

Exemption — approval by EPA

53 (1) The Minister may exempt a feedstock that is a crop from the application of section 51 if

(a) the country from which the feedstock originates is the United States or is a country that is covered by the aggregate compliance approach referred to in section 80.1457 of Subchapter C of Chapter I of Title 40 of the United States *Code of Federal Regulations*; and

(b) the Minister is satisfied that section 80.1457 of Subchapter C of Chapter I of Title 40 of the United States *Code of Federal Regulations* provides a sufficient level of environmental protection with respect to the land on which the feedstock is harvested.

Effective date of exemption

(2) The exemption takes effect, in the case of the United States, on the day on which this section comes into force or, in the case of any other country, on the later of

(a) the day on which the EPA decides that the country is covered by the aggregate compliance approach, and

(b) the day on which this section comes into force.

Period of validity

(3) The exemption ceases to be valid on the earlier of

(a) in the case of the United States, the day on which the EPA publishes a finding that the 2007 baseline amount of agricultural land in the United States has been exceeded or, in the case of any other country, the day on which the EPA withdraws its approval for that country to be covered by the aggregate compliance approach, and

(b) the day on which the Minister determines that, following the granting of the exemption, amendments have been made to section 80.1457 of Subchapter C of Chapter I of Title 40 of the United States *Code of Federal Regulations* and, taking into account

those amendments, the Minister is no longer satisfied that there is a sufficient level of environmental protection with respect to the land on which the feedstock is harvested.

Exemption — no net expansion

54 (1) The Minister may, on application from the national level of government of a country, exempt a feedstock that is a crop from the application of section 51 if the Minister is satisfied that the country from which the feedstock originates has not, since July 1, 2020, undergone a net expansion of agricultural land, taking into account the following factors:

(a) any net expansion since July 1, 2020 to the national borders within which agricultural land is measured;

(b) the total amount of land within those national borders that was agricultural land on July 1, 2020;

(c) data from the preceding year on the harvesting of land, including satellite data, aerial photography, census data and agricultural survey data;

(d) data on the use of land to harvest crops between July 1, 2020 and the beginning of the preceding year, including satellite data, aerial photography, census data and agricultural survey data;

(e) any factors that have had or may have an effect on the use of agricultural land within those national borders, including agricultural practices, economic considerations and the content, efficacy and enforcement of applicable laws;

(f) the method of identifying which entity will gather and analyze data and submit it to the Minister, as well as the reliability and credibility of that entity;

(g) evidence with respect to whether the data and methods used to evaluate the net expansion of agricultural land are reliable and transparent;

(h) any comments from the public that the Minister receives; and

(i) any information that is necessary to determine whether the country from which the feedstock originates has, since July 1, 2020, undergone a net expansion of agricultural land.

Conditions

(2) The exemption must not be granted by the Minister unless

(a) the national level of government of the country from which the feedstock originates has provided to the Minister, in English or French, information in respect of the factors referred to in paragraphs (1)(a) to (g) and (i);

(b) the national level of government of the country from which the feedstock originates has provided to the Minister a letter, in English or French, that is signed by an individual with a role comparable to a Minister who is responsible for the part of the government with primary expertise in agricultural land-use patterns and agricultural practices, data and statistics and, in the letter, the individual confirms that

(i) all supporting data for the factors referred to in paragraphs (1)(a) to (g) and (i) have been reviewed by that part of the government, and

(ii) the data supports the conclusion that the country from which the feedstock originates has not, since July 1, 2020, undergone a net expansion of agricultural land; and

(c) information in respect of the factors referred to in paragraphs (1)(a) to (g) and (i) has been published on the Department of the Environment's website and the public has been given an

opportunity to submit comments with respect to that information and the proposed exemption for a period of at least 60 days.

Period of validity

(3) The exemption takes effect on the day on which it is granted and ceases to be valid one year after that day, unless the Minister grants a subsequent exemption under subsection (1).

Publication

(4) The Minister must publish on the Department of the Environment's website, for each exemption that is granted under subsection (1) with respect to a feedstock, a notice of the exemption that sets out the name of the country from which the feedstock originates and the date on which the exemption takes effect.

Exemption — other laws

55 (1) The Minister may, on application from a national or subnational level of government of a country, exempt a feedstock that originates from that country from the application of subsection 48(1), section 49 or subparagraph 52(c)(i), (ii), (iii) or (iv) if the Minister is satisfied that the feedstock is

(a) in the case of subsection 48(1), subject to laws that effectively prohibit the harvesting of the feedstock in any area that provides a habitat for any rare, vulnerable or threatened species;

(b) in the case of section 49, subject to laws that effectively require it to be harvested and transported in accordance with measures to monitor, prevent and control the introduction, spread and establishment of damaging agents, such as pests, invasive species and disease;

(c) in the case of subparagraph 52(c)(i), subject to laws that

(i) effectively promote timely forest regeneration of the land where the feedstock is harvested to its pre-harvesting condition using species of trees that are ecologically suited to the site and drawn, if possible, from native species or local genotypes, and

(ii) include enforcement requirements for forest regeneration on the land where the feedstock is harvested;

(d) in the case of subparagraph 52(c)(ii), subject to laws that

(i) effectively prevent adverse effects on naturally regenerating stands containing multi-layered canopies with trees near their maximum longevity as well as standing and fallen dead trees and forest debris at varying stages of decomposition, and

(ii) include enforcement requirements for the purpose of protecting stands described in subparagraph 52(c)(ii);

(e) in the case of subparagraph 52(c)(iii) as it relates to soil, subject to laws that

(i) effectively require that forest management and related activities be carried out on the land where the feedstock is harvested in a manner that prevents adverse effects on the quantity and quality of the soil and mitigates any adverse effects that do occur, and

(ii) include enforcement requirements for the purpose of preventing adverse effects on the quantity and quality of the soil;

(f) in the case of subparagraph 52(c)(iii) as it relates to surface and ground water resources, subject to laws that

(i) effectively require that forest management and related activities be carried out on the land where the feedstock is harvested in a manner that prevents adverse effects on the

quantity and quality of surface and ground water resources and mitigates any adverse effects that do occur, and

(ii) include enforcement requirements for the purpose of preventing adverse effects on the quantity and quality of surface and ground water resources;

(g) in the case of subparagraph 52(c)(iii) as it relates to biodiversity, subject to laws that

(i) effectively require that forest management and related activities be carried out on the land where the feedstock is harvested in a manner that prevents adverse effects on biodiversity and mitigates any adverse effects that do occur, and

(ii) include enforcement requirements for the purpose of preventing adverse effects on biodiversity; and

(h) in the case of subparagraph 52(c)(iv), subject to laws that

(i) effectively require that forest management and related activities be carried out on the land where the feedstock is harvested in a manner that maintains the connectivity of watercourses, and

(ii) include enforcement requirements for the purpose of maintaining the connectivity of watercourses.

Language of documents

(2) Any information or document that is relevant to the Minister's decision regarding whether to exempt a feedstock under subsection (1) must be provided to the Minister in English or French.

Period of validity

(3) An exemption granted under subsection (1) ceases to be valid on the ier of

(a) the day that is seven years after the day on which the exemption is granted by the Minister, and

(b) the day on which the Minister determines that, following the granting of the exemption, amendments have been made to the laws applicable to the exempted feedstock and, taking into account such amendments, the Minister is no longer satisfied that the laws meet the conditions referred to in subsection (1).

Publication

(4) The Minister must publish on the Department of the Environment's website, for each exemption that is granted under subsection (1) with respect to a feedstock, a notice of the exemption that sets out the title of the laws to which the feedstock is subject and the date on which the exemption takes effect.

Low-carbon-intensity fuel

56 A person must not use a quantity of low-carbon-intensity fuel to create compliance credits by carrying out a CO_2e-emission-reduction project described in paragraph 30(d) or to create compliance credits under any of sections 94 to 96, 99, 100 and 104, unless

(a) the fuel is produced from a quantity of an eligible feedstock that is referred to in paragraph 46(1)(a) and the conditions set out in subsection 57(1) are met in respect of the feedstock; or

(b) the fuel is produced from a quantity of an eligible feedstock that is referred to in paragraph 46(1)(b) or (c), the conditions set out in subsection 57(2) are met in respect of the feedstock and the registered creator who produced the fuel or the foreign supplier ensures that, for each period referred to in subsection 45(3), the quantity of the eligible feedstock that is used at each of their facilities to produce the fuel is less than or equal to the quantity determined by the formula set out in subsection 47(2).

Producer or importer — paragraph 46(1)(a)

57 (1) A feedstock referred to in paragraph 46(1)(a) is not eligible unless

(a) the registered creator ensures that any person who produces a low-carbon-intensity fuel using the feedstock retains the following records:

(i) delivery records, contracts and invoices with respect to each quantity of the feedstock that is brought to any of their facilities,

(ii) sales records for all low-carbon-intensity fuel, other than co-processed low-carbon-intensity fuel, that was produced using all or any portion of a quantity of the feedstock, and

(iii) records for all co-processed low-carbon-intensity fuel that demonstrate that it was produced using all or any portion of a quantity of eligible feedstock; and

(b) the registered creator who imports into Canada a quantity of a low-carbon-intensity fuel produced using the feedstock retains the following records with respect the quantity of low-carbon-intensity fuel:

(i) delivery records, contracts and invoices, and

(ii) sales records.

Eligibility — paragraph 46(1)(b) or (c)

(2) A feedstock referred to in paragraph 46(1)(b) or (c) is not eligible unless

(a) declarations are made by the following persons in accordance with any of subsections 58(1) to (4) at least once every year:

(i) every person who possesses all or any portion of a quantity of the feedstock when it is mixed with another quantity of any feedstock,

(ii) every person who possesses all or any portion of a quantity of the feedstock when it is processed,

(iii) every person who possesses all or any portion of a quantity of the feedstock when it is divided into multiple portions,

(iv) the person who is responsible for obtaining all or any portion of a quantity of the feedstock from its first point of use or disposal, in the case of a feedstock referred to in paragraph 46(1)(b), and

(v) the person who is responsible for harvesting all or any portion of a quantity of the feedstock, in the case of a feedstock referred to in paragraph 46(1)(c);

(b) the registered creator or foreign supplier ensures that any person who harvests, mixes, processes, divides or obtains all or any portion of a quantity of the feedstock retains

(i) the declaration that they made under paragraph (a),

(ii) a copy of the declaration made under paragraph (a), if any, by the person who possessed that quantity immediately before they did, and

(iii) records that establish the quantity of the feedstock that enters and is removed from the site where it is harvested, mixed, processed, divided or obtained;

(c) the registered creator or foreign supplier retains records in accordance with subsection 59(1);

(d) the registered creator who imports into Canada a low-carbon-intensity fuel that was produced using the feedstock retains records in accordance with subsection 59(2); and

(e) the registered creator or foreign supplier has a methodology in place to determine whether, each time a quantity of the feedstock is removed from the site where it is harvested, mixed, processed, divided or obtained, the quantity that is removed from the site is less than or equal to the quantity determined by the formula set out in subsection 47(1).

Declaration by harvester

58 (1) A declaration made by a person referred to in subparagraph 57(2)(a)(v) must contain the following information:

(a) their name, civic address, postal address, telephone number and, if any, email address;

(b) if an authorized agent is making the declaration on behalf of the person, the name, civic address, postal address, telephone number and, if any, email address of the authorized agent;

(c) the GPS coordinates to the fifth decimal place and, if any, civic address of the site where the feedstock that is the subject of the declaration was harvested;

(d) an indication of whether any part of that site is on land referred to in subsection 48(1) and, if so, confirmation that they have a record of the Minister's authorization under subsection 48(2);

(e) if the feedstock is sold, the name and civic and postal address of the person to whom it is sold;

(f) the type of the feedstock;

(g) the quantity of the feedstock that is sold, expressed in kilograms or cubic metres, as applicable;

(h) a confirmation that the requirements set out in section 48 are met with respect to the feedstock or that the feedstock is the subject of an exemption granted under paragraph 55(1)(a);

(i) a confirmation that the requirements set out in section 49 are met with respect to the feedstock or that feedstock is the subject of an exemption granted under paragraph 55(1)(b);

(j) if the feedstock is a crop, a confirmation that it was not harvested on land described in section 51 or is the subject of an exemption granted under subsection 53(1) or 54(1);

(k) if the feedstock is derived from forest biomass, a confirmation that

(i) it was harvested in accordance with the requirements set out in paragraph 52(c)(i) or is the subject of an exemption granted under paragraph 55(1)(c),

(ii) it was harvested in accordance with the requirements set out in subparagraph 52(c)(ii) or is the subject of an exemption granted under paragraph 55(1)(d),

(iii) it was harvested in accordance with the requirements set out in subparagraph 52(c)(iii) as it relates to soil or is the subject of an exemption granted under paragraph 55(1)(e),

(iv) it was harvested in accordance with the requirements set out in subparagraph 52(c)(iii) as it relates to surface and ground water resources or is the subject of an exemption granted under paragraph 55(1)(f),

(v) it was harvested in accordance with the requirements set out in subparagraph 52(c)(iii) as it relates to biodiversity or is the subject of an exemption granted under paragraph 55(1)(g), and

(vi) it was harvested in accordance with the requirements set out in subparagraph 52(c)(iv) or is the subject of an exemption granted under paragraph 55(1)(h);

(l) if the feedstock is a crop, a confirmation that it meets the requirements set out in section 50;

(m) the unique identifier for the declaration that they use for their internal accounting purposes;

(n) the date on which the declaration is made; and

(o) the signature of the person or their authorized agent.

Certification

(2) If a feedstock referred to in paragraph 46(1)(c) is certified by a certification body in accordance with section 61, the declaration must be accompanied by a copy of the certificate and contain

(a) an indication of the requirements set out in sections 48 to 52 that the certified feedstock meets;

(b) the name of the certification scheme under which it was certified;

(c) the name of the certification body that certified the feedstock; and

(d) the day referred to in paragraph 70(2)(c) or (d) on which the certificate is expected to cease to be valid.

Declaration — foreign supplier

(3) A declaration made by a foreign supplier must contain the following information:

(a) the name, civic address, postal address, telephone number and, if any, email address of the foreign supplier;

(b) if an authorized agent is making the declaration on behalf of the foreign supplier, the name, civic address, postal address, telephone number and, if any, email address of the authorized agent;

(c) the GPS coordinates to the fifth decimal place and, if any, civic address of the site where the mixing, processing or division, as the case may be, of the quantity of the feedstock was carried out or of

the site where the quantity was obtained;

(d) the type of the feedstock that is used;

(e) the quantity of the feedstock that is used at the site referred to in paragraph (c) by the person mixing, processing, dividing or obtaining feedstock to produce low-carbon-intensity fuel, expressed in kilograms or cubic metres, as applicable;

(f) a confirmation that the requirements set out in subsection 47(2) were met with respect to any portion of the quantity of feedstock that was used to produce low-carbon-intensity fuel and that the foreign supplier has retained evidence of the compliance at the site where the low-carbon-intensity fuel was produced;

(g) a confirmation that the requirements set out in sections 48 to 52 are met with respect to the feedstock except if it is exempted under any of sections 53 to 55;

(h) the total quantity of low-carbon-intensity fuel that the foreign supplier produced outside Canada and that they sold for import into Canada;

(i) a confirmation that the foreign supplier is in compliance with subsection 59(1);

(j) in the case of a person who is the producer of the low-carbon-intensity fuel made using the feedstock, any alphanumeric identifier assigned to the fuel's carbon intensity;

(k) the unique identifier for the declaration that the foreign supplier uses for their internal accounting purposes;

(l) the date on which the declaration is made; and

(m) the signature of the foreign supplier or their authorized agent.

Declaration by other person

(4) A declaration made by a person referred to in any of subparagraphs 57(2)(a)(i) to (iv), other than a registered creator or foreign supplier, must contain the following information:

(a) the name, civic address, postal address, telephone number and, if any, email address of the person;

(b) if an authorized agent is making the declaration on behalf of the person, the name, civic address, postal address, telephone number and, if any, email address of the authorized agent;

(c) the GPS coordinates to the fifth decimal place and, if any, civic address of the site where the mixing, processing or division, as the case may be, of the quantity of the feedstock was carried out or of the site where the quantity was obtained;

(d) if the feedstock is sold, the name and civic and postal address of the person to whom it was sold;

(e) the type of the feedstock;

(f) the quantity of the feedstock that is removed from the site referred to in paragraph (c), expressed in kilograms or cubic metres, as applicable;

(g) a confirmation that, when the feedstock was removed from that site or was mixed, divided or obtained at that site, the requirements set out in subsection 47(1) were met with respect to the feedstock and that the person who mixed, divided or obtained the feedstock has retained evidence of compliance at that site;

(h) a confirmation that the requirements set out in sections 48 to 52 are met with respect to the feedstock except if it is exempted under any of sections 53 to 55;;

(i) in the case of a declaration referred to in subparagraph 57(2)(a)(iv) with respect to a quantity of a feedstock that is referred to in any of subparagraphs 46(1)(b)(ii) to (vi), a confirmation that the

feedstock meets the requirements set out in section 50;

(j) in the case of a declaration referred to in subparagraph 57(2)(a)(iv), a confirmation that they have retained at the site referred to in paragraph (c), for each quantity of feedstock referred to in any of subparagraphs 46(1)(b)(iv) to (vi), delivery records, contracts and invoices that describe the location where that feedstock was first used;

(k) the unique identifier for the declaration that they use for their internal accounting purposes;

(l) the date on which the declaration is made; and

(m) the signature of the person or their authorized representative.

Unique identifier

(5) The unique identifier referred to in paragraphs (1)(m), (3)(k) and (4)(k) must be unique to each declaration and indicate the lot number of the feedstock to which it applies. It must be used in all records related to material balances at the site to which it applies.

Producer records

59 (1) A person who produces a quantity of low-carbon-intensity fuel using a feedstock referred to in paragraph 46(1)(b) or (c) must retain the following:

(a) delivery records, contracts and invoices with respect to each quantity of the feedstock that is brought to any of their facilities;

(b) the sales records for all low-carbon-intensity fuel, other than co-processed low-carbon-intensity fuel, that was produced using all or any portion of a quantity of the feedstock;

(c) records for all co-processed low-carbon-intensity fuel that demonstrate that it was produced using all or any portion of a quantity of eligible feedstock;

(d) a copy of the declaration made under paragraph 57(2)(a) by each person who possessed all or any portion of a quantity of the feedstock immediately before them;

(e) any information used to make the calculations referred to in subsections 45(1) and 47(2), the evidence that supports that information and the results of those calculations; and

(f) a copy of the certificate referred to in subsection 70(1), if any, that is issued with respect to the feedstock.

Importer records

(2) A person who imports into Canada a quantity of low-carbon-intensity fuel must retain the following:

(a) delivery records, contracts and invoices with respect to the quantity of low-carbon-intensity fuel;

(b) the sales records for that quantity of low-carbon-intensity fuel; and

(c) if the low-carbon-intensity fuel is produced using an eligible feedstock referred to in paragraph 46(1)(b) or (c), a copy of the declaration made under subsection 58(3) by the foreign supplier of the fuel.

Non-application

60 Sections 48, 49, 51 to 59 do not apply before January 1, 2024.

Certification

61 An eligible feedstock referred to in paragraph 46(1)(c) may be certified only by a certification body that is eligible under section 63 and that conducts the certification in accordance with sections 64 to 74 and under a certification scheme that is approved by the Minister under section 62.

Approval by Minister

62 (1) The Minister may approve a certification scheme if the following conditions are met:

(a) the Minister is satisfied that the applicable requirements set out in sections 48 to 52 will be met in respect of all of the feedstock certified using the certification scheme's procedures;

(b) the certification scheme is developed and maintained by a person who is the scheme owner and that person

(i) has structures in place for operating and managing the certification scheme,

(ii) creates, maintains and has control of adequate documentation for the operation, maintenance and improvement of the certification scheme,

(iii) has measures in place to respond to complaints with respect to the certification scheme,

(iv) has measures in place to retain records securely for 10 years,

(v) creates, maintains and has control of an information management system,

(vi) protects the confidentiality of information provided by the parties involved in the certification scheme, and

(vii) has developed requirements that comply with sections 63 to 67 for certification bodies, as well as requirements regarding the specific competencies required of certification bodies and the way in which certification bodies are to demonstrate their compliance with those requirements;

(c) in the case where the feedstock is harvested in accordance with a forest management plan referred to in section 52, the certification scheme provides that the management plan must be assessed by a

specialist in forestry;

(d) a plan is in place to review the certification scheme at planned intervals;

(e) procedures are in place to review the certification scheme when

(i) there is a significant change to the certification scheme, or

(ii) a complaint is received that indicates that a review is necessary;

(f) procedures, including for considering comments from stakeholders, are in place to ensure that the integrity, exhaustiveness and effectiveness of the certification scheme is verified during reviews;

(g) the certification scheme includes procedures to ensure that the following are publicly available:

(i) the most recent versions of the certification scheme and documentation for the scheme that are in the common language of each region to which the certification scheme applies,

(ii) a list, current to the day, of the feedstock harvesters that are certified under the certification scheme,

(iii) a list of certification bodies that are authorized to conduct audits under the certification scheme,

(iv) a list of certification bodies that were previously authorized to conduct audits under the certification scheme, including an indication as to whether those bodies are no longer authorized on a permanent or temporary basis, and

(v) contact information for the scheme owner;

(h) the certification scheme provides that a list of persons who have not complied with the certification scheme must be submitted, on request, to the Minister;

(i) in the case of a certification scheme that permits a group of producers to be certified together, the certification scheme requires that

(i) the producers in the group use similar production systems and information management systems and harvest feedstock of the same type and in areas that are near each other and have similar climatic conditions, and

(ii) there be clear conditions and procedures for a producer to join the group;

(j) the certification scheme sets out the measures that a certification body must take if a feedstock producer fails to comply with the certification scheme, including

(i) the denial of an application for certification or the revocation of a certificate in accordance with section 71, or the denial of an application for certification or the suspension of a certificate in accordance with section 72, in the circumstances indicated by the certification scheme, and

(ii) the establishment of procedures in respect of corrective actions that must be taken with respect to the circumstances of non-conformity referred to in section 73;

(k) the certification scheme includes conditions on the ways in which a feedstock harvester may use certificates issued under it; and

(l) the certification scheme owner monitors the use of certificates issued under the certification scheme.

End of approval

(2) A certification scheme ceases to be approved on the earlier of

(a) sixty days after the day on which there is a change to the scope of the scheme, unless the scheme owner notifies the Minister of the change and the Minister determines that, despite the change, the scheme continues to meet the conditions for approval,

(b) sixty days after the day on which there is a change to any procedure set out in the scheme on which the Minister's approval was based, unless the scheme owner notifies the Minister of the change and the Minister determines that, despite the change, the scheme continues to meet the conditions for approval,

(c) the first anniversary of the day on which the scheme was most recently approved by the Minister unless, before that anniversary, the scheme owner submits a report that contains the information referred to in Schedule 5 to the Minister concerning the operation of the certification scheme during the preceding year,

(d) the first anniversary of the day on which the scheme owner most recently submitted a report that contains the information referred to in Schedule 5 to the Minister concerning the operation of the certification scheme within the preceding year, and

(e) the fifth anniversary of the day on which the scheme was most recently approved by the Minister.

Eligibility conditions for accreditation

63 (1) A person is eligible to be accredited as a certification body by the Standards Council of Canada, the American National Standards Institute (ANSI) National Accreditation Board or a designated accreditation body if the person

(a) meets the applicable requirements set out in ISO/IEC Standard 17065 or, in the case of a certification body that assesses a forest management plan referred to in section 52, meets the applicable

requirements set out in ISO/IEC Standard 17021-1; and

(b) demonstrates that they comply with the competency requirements of the certification scheme for which they are to be accredited.

Designation of accreditation body

(2) The Minister may designate an accreditation body as a designated accreditation body if it is a member of the International Accreditation Forum or an equivalent body and meets the requirements set out in ISO/IEC Standard 17011.

Suspended or revoked accreditation

(3) The certification of a feedstock must not be conducted by a certification body whose accreditation is suspended or revoked.

No outsourcing

64 It is not permitted to outsource any of the activities that are carried out as part of the certification of a feedstock.

Consecutive certifications

65 The certification of a feedstock must be conducted by a team that does not include any individual who has contributed to the certification of the feedstock for five consecutive compliance periods, unless three compliance periods have elapsed since the most recent of those consecutive compliance periods.

Certification team — members

66 (1) A certification team must consist only of members who meet the requirements of clause 7 of ISO Standard 19011 and must include the following individuals:

(a) a team leader who is competent with respect to the feedstock being certified;

(b) if it is relevant to the feedstock being certified, at least one specialist in forestry or agriculture, as the case may be, who is recognized as a forestry engineer, professional forester, agricultural engineer or agrologist by

(i) a Canadian professional association, in the case of forestry or agriculture that occurs in Canada, and

(ii) a relevant national authority of the country in which the forestry or agriculture occurs, in any other case; and

(c) if it is relevant to the feedstock being certified, at least one specialist in biodiversity who holds a bachelor's degree in biology, natural sciences or environmental sciences granted by a Canadian university, or an equivalent degree granted by a university outside Canada.

Person responsible for making decision

(2) The person responsible for making a certification decision must have, at a minimum, the same competencies as those set out for an audit team leader in subclause 7.2.3.4 of ISO Standard 19011.

Applicable standards for certification

67 (1) A certification body must conduct a certification in accordance with the Methods for Verification and Certification and with

(a) ISO/IEC Standard 17065 or, in the case where the feedstock is harvested in accordance with a forest management plan referred to in section 52, ISO/IEC Standard 17021-1; and

(b) ISO Standard 19011.

Interpretation of ISO/IEC Standard 17065

(2) For the purposes of ISO/IEC Standard 17065

(a) a reference to a “product requirement” in subclause 3.8 of that Standard is to be read as a reference to the requirements set out in sections 48 to 52 of these Regulations; and

(b) a reference to a “location” in that Standard is to be read as a reference to a farm, forest or any other place where the feedstock is harvested.

Interpretation of ISO/IEC Standard 17021-1

(3) For the purposes of ISO/IEC Standard 17021-1,

(a) a reference to an “audit criteria” in subclause 9.2.1 of that Standard is to be read as a reference to the requirements set out in section 52 of these Regulations; and

(b) a reference to a “site” in that Standard is to be read as a reference to a farm, forest or any other place where the feedstock is harvested.

Annual surveillance audit

68 The certification of a feedstock conducted by a certification body must include an annual surveillance audit to ensure that the feedstock is harvested in accordance with the requirements of sections 48 to 52.

Site visits

69 (1) The certification of a feedstock conducted by a certification body must include a site visit if it is the first certification of the feedstock or if, in the case of any subsequent audit, the risk of any non-conformity with the certification scheme is high.

Remote audits

(2) A site visit is not required during the conduct of a surveillance audit if

(a) the collection of data may be done remotely in a manner that reduces, to a reasonable level, the risk of failing to detect any non-conformity with the certification scheme; or

(b) the risk of any non-conformity with the certification scheme is low.

Unambiguous identification

70 (1) A certificate issued by a certification body must unambiguously identify the feedstock to which it applies.

End of certification

(2) The certificate ceases to be valid on the earlier of

(a) the day on which a certification body, on the basis of an audit it conducted, is no longer satisfied that the applicable requirements set out in sections 48 to 52 are met,

(b) the day that is the first anniversary of the day on which the most recent audit was conducted by the certification body,

(c) the day that is the fifth anniversary of the day on which the certificate was issued, and

(d) the day specified by the certification scheme under which the certification body conducts the certification.

Denial or revocation

71 (1) If any of the following circumstances occur with respect to a feedstock, an application for the certification of the feedstock must be denied or, in the case where a certificate has been issued for the feedstock, the certificate must be revoked:

(a) the applicable requirements set out in sections 48 to 52 are not met with respect to the feedstock and the situation cannot be rectified by corrective action;

(b) the producer of the feedstock fails to comply with the certification scheme and the situation cannot be rectified by taking corrective action;

(c) the producer of the feedstock fails to comply with the certification scheme in a manner that undermines the integrity of the certification scheme.

New application for certification

(2) The producer of a feedstock in respect of which an application for certification has been denied, or a certificate has been revoked, under subsection (1) may submit a new application for certification of the feedstock after the end of the period specified by the certification scheme.

Denial or suspension of certification

72 (1) If any of the following circumstances occur with respect to a feedstock, an application for the certification of the feedstock must be denied or, in the case where a certificate has been issued for the feedstock, the certificate must be suspended:

(a) the applicable requirements set out in sections 48 to 52 are not met with respect to the feedstock and the situation can be rectified by taking corrective action;

(b) the producer of the feedstock repeatedly fails to comply with the certification scheme, including in the following cases:

(i) more than 5% of the evidence that is provided to the certification body and included in a representative sample contains gaps or errors,

(ii) the producer fails to disclose their participation in other certification schemes during the certification process, or

(iii) the producer fails to provide the certification body with any relevant information.

Duration of suspension

(2) The suspension of the certificate begins on the day on which the producer of the feedstock is notified of the suspension and ends after 90 days.

Revocation

(3) The certificate must be revoked at the end of the 90-day suspension period if the producer of the feedstock has not taken corrective action with respect to the situation that resulted in the suspension.

Other circumstances of non-conformity

73 (1) A certification scheme may, if a producer of a feedstock has not complied with the scheme in circumstances other than those referred to in subsections 71(1) and 72(1), provide for a period during which the producer must take corrective action with respect to the circumstances of non-conformity.

Time limit for corrective action

(2) The period within which the producer must take the corrective action ends on the earlier of

(a) the day on which the next surveillance audit of the feedstock is to be conducted,

(b) the day on which the certification is renewed,

(c) the day that is 12 months after the day on which the producer of the feedstock is notified of the non-conformity by the certification body, and

(d) the day specified by the certification scheme.

Prior certification under another certification scheme

74 An application for the certification of a feedstock must contain the following information:

(a) a statement as to whether the feedstock has, in the previous five years, been the subject of a certification under another certification scheme;

(b) all relevant information relating to a certification of the feedstock under another certification scheme, including audit reports and any decisions to suspend or revoke the certification during the previous five years, as well as the reasons for any suspension or revocation; and

(c) a statement specifying the reasons for which any producer of the feedstock withdrew from another certification scheme before the first surveillance audit.

Determination of Carbon Intensity

Low-carbon-intensity fuel

75 (1) The carbon intensity of a low-carbon-intensity fuel, other than hydrogen produced from a fossil fuel, and the carbon intensity of a material input that is a renewable natural gas, biogas, renewable propane or hydrogen, other than hydrogen produced from a fossil fuel, is, at the election of the registered creator or foreign supplier,

(a) the default carbon intensity referred to in section 1 of Schedule 6; or

(b) determined by the formula

$$\mathbf{CI_f + CI_p + CI_{cl} + CI_e + CI_{td} + CI_c}$$

where

CI_f is the quantity of CO_2e emissions set out in section 2 of Schedule 6 that represents the quantity of CO_2e that is associated with the extraction or production, as the case may

be, of the feedstock from which the fuel or material input is produced, per megajoule of energy produced,

CI_p is the quantity of CO_2e emissions set out in section 3 of Schedule 6 that represents the quantity of CO_2e that is released during the production of the fuel or material input from the feedstock, the transportation of the feedstock and intermediary products used to produce the fuel or material input and the distribution of the fuel or material input to end users, per megajoule of energy produced,

CI_{cl} is the quantity of CO_2e emissions set out in section 4 of Schedule 6 that represents the quantity of CO_2e that is released during the compression or liquefaction of the fuel or material input, per megajoule of energy produced,

CI_e is the quantity of CO_2e emissions set out in section 5 of Schedule 6 that represents the additional quantity of CO_2e that is associated with the production of electricity used during the production of the fuel or material input, per megajoule of energy produced,

CI_{td} is the quantity of CO_2e emissions set out in section 6 of Schedule 6 that represents the additional quantity of CO_2e that is released during the transportation of the feedstock and intermediary products used to produce the fuel or material input and the distribution of the fuel or material input to end users, per megajoule of energy produced, in the case of a total transportation distance of no less than 1500 km, and

CI_c is the quantity of CO_2e emissions set out in section 7 of Schedule 6 that represents the quantity of CO_2e that is released during the combustion of the fuel or the use of the material input, per megajoule of energy produced.

Use limited to 12 months

(2) The default carbon intensity referred to in paragraph (1)(a) must not be used to create compliance credits for a period of more than 12 consecutive months or more than 12 months during two consecutive compliance periods, unless the Minister, at the written request of the registered creator, approves the use of that carbon intensity for any longer period specified by the Minister.

Use pending approval

(3) However, in the case of an application under subsection 80(1) for the approval of a carbon intensity determined in accordance with paragraph (1)(b) or subsection 76(1), the applicant may use the default carbon intensity referred to in paragraph (1)(a) to create compliance credits during the period beginning on the day on which the application is made and ending on the day on which the carbon intensity is approved under subsection 85(1), even if that period is longer than 12 consecutive months.

Input data for less than three months

(4) A registered creator or foreign supplier may elect to use the carbon intensity referred to in paragraph (1)(b) if they have input data, for a period of less than three consecutive months, derived from the activities referred to in the definition *carbon intensity* in subsection 1(1) that are carried out over the life cycle of the fuel or the life cycle of the material input, as the case may be.

Use limited to three compliance periods

(5) The carbon intensity referred to in paragraph (1)(b) must not be used to create credits other than for a period of no more than three consecutive compliance periods.

Fossil fuels

(6) For the purposes of subsections 98(2), 99(3) and (4) and 104(2), the carbon intensity of a fuel that is hydrogen, propane, natural gas, liquefied natural gas and compressed natural gas is, at the election of

the registered creator, the amount set out in

(a) section 8 of Schedule 6; or

(b) the Specifications for Fuel LCA Model CI Calculations.

Electricity

(7) The carbon intensity of electricity for a province in which a charging station is located is, at the election of the registered creator, the amount set out for that province in

(a) section 9 of Schedule 6; or

(b) the Specifications for Fuel LCA Model CI Calculations.

Fuel LCA Model — registered creator or foreign supplier

76 (1) A registered creator or foreign supplier may elect to determine the carbon intensity of a low-carbon-intensity fuel, or the carbon intensity of a material input that is a renewable natural gas, biogas, renewable propane or hydrogen, using the Fuel LCA Model in accordance with the option set out in either paragraph (3)(a) or (b), if they have input data, for a period of 24 consecutive months during the period of 30 months that immediately precedes the day on which they make the election, derived from the activities referred to in the definition *carbon intensity* in subsection 1(1) that are carried out over the life cycle of the fuel or material input, as the case may be.

Carbon-intensity contributor

(2) A carbon-intensity contributor may elect to determine the carbon intensity of a low-carbon-intensity fuel or material input that is a renewable natural gas, biogas, renewable propane or hydrogen in accordance with the option set out in either paragraph (3)(a) or (b), if they have input data, for a period of 24 consecutive months during the period of 30 months that immediately precedes the day on which they

make the election, derived from the activities referred to in the definition *carbon intensity* in subsection 1(1) that are carried out over the life cycle of the fuel or material input, as the case may be.

Options on election

(3) The carbon intensity may be determined based on the input data referred to in subsection (1) or (2) in accordance with either of the following options:

(a) an existing pathway from the Fuel LCA Model; or

(b) a new pathway created by the registered creator, carbon-intensity contributor or foreign supplier from the Fuel LCA Model, in the case where

(i) the fuel or material input is not indicated in the Fuel LCA Model,

(ii) the feedstock used to produce the fuel or material input is not indicated in the Fuel LCA Model, or

(iii) the criteria provided in the Specifications for Fuel LCA Model CI Calculations for creating a new pathway are met.

Fuel LCA Model — co-processed low-carbon-intensity fuel

77 A registered creator or foreign supplier must determine the carbon intensity of a co-processed low-carbon-intensity fuel using the Fuel LCA Model in accordance with the applicable specific emission-reduction quantification method established under subsection 32(1) and either of the following options:

(a) an existing pathway from the Fuel LCA Model; or

(b) a new pathway created by the registered creator or foreign supplier from the Fuel LCA Model, in the case where

(i) the fuel is not indicated in the Fuel LCA Model,

(ii) the feedstock used to produce the fuel is not indicated in the Fuel LCA Model, or

(iii) the criteria provided in the Specifications for Fuel LCA Model CI Calculations for creating a new pathway are met.

Compressed and liquefied gases

78 (1) Instead of determining the carbon intensity of propane, liquefied natural gas or compressed natural gas in accordance with subsection 75(6), a registered creator may elect to make that determination using the Fuel LCA Model in accordance with the option set out in either paragraph (3)(a) or (b), if they have input data, for a period of 24 consecutive months during the period of 30 months that immediately precedes the day on which they make the election, respecting the operation of a fuelling station or the liquefaction process for propane, renewable propane, co-processed low-carbon intensity propane, compressed natural gas, renewable compressed natural gas, liquefied natural gas or renewable liquefied natural gas.

Renewable fuels

(2) In the case of renewable propane, co-processed low-carbon-intensity propane, renewable compressed natural gas and renewable liquefied natural gas, the determination is to be made as if

(a) the renewable propane or co-processed low-carbon-intensity propane were propane;

(b) the renewable compressed natural gas were compressed natural gas; or

(c) the liquefied renewable natural gas were liquefied natural gas.

Options on election

(3) The carbon intensity may be determined based on the input data referred to in subsection (1) in accordance with either of the following options:

(a) an existing pathway from the Fuel LCA Model; or

(b) a new pathway created by the registered creator or foreign supplier from the Fuel LCA Model, in the case where

(i) the fuel is not indicated in the Fuel LCA Model,

(ii) the feedstock used to produce the fuel is not indicated in the Fuel LCA Model, or

(iii) the criteria provided in the Specifications for Fuel LCA Model CI Calculations for creating a new pathway are met.

Electricity

79 (1) A registered creator or carbon-intensity contributor may elect to determine, in accordance with subsection (3), the carbon intensity of the electricity supplied to electric vehicles by a charging station that is not intended primarily for use by the occupants of a private dwelling-place if they have input data respecting the source and quantity of that electricity for a period of 24 consecutive months during the period of 30 months that immediately precedes the day on which they make the election.

Electricity — fuelling station or facility

(2) A registered creator or carbon-intensity contributor may elect to determine, in accordance with subsection (3), the carbon intensity of the electricity supplied to a fuelling station or facility if they have input data respecting the source and quantity of that electricity for a period of 24 consecutive months during the period of 30 months that immediately precedes the day on which they make the election.

Options on election

(3) The carbon intensity may be determined based on the input data referred to in subsection (1) or (2) in accordance with either of the following options:

(a) an existing pathway from the Fuel LCA Model; or

(b) a new pathway created by the registered creator or carbon-intensity contributor from the Fuel LCA Model, in the case where the source of the electricity is not indicated in the Fuel LCA Model or where the criteria indicated in the Specifications for Fuel LCA Model CI Calculations for creating a new pathway are met.

Application for approval of carbon intensity

80 (1) A registered creator, carbon-intensity contributor or foreign supplier may apply to the Minister for the approval of a carbon intensity determined in accordance with paragraph 75(1)(b) or any of sections 76 to 79, as the case may be.

Carbon-intensity additional value

(2) In the case of an application for the approval of a carbon intensity determined in accordance with section 76, 78 or 79, the registered creator, carbon-intensity contributor or foreign supplier may add an additional value to that carbon intensity, in which case the carbon intensity that is the subject of the application for approval would be the sum of the additional value and the carbon intensity determined using the Fuel LCA Model.

Imported fuel

(3) Despite subsection (1), in the case of a fuel produced outside Canada and imported into Canada in respect of which compliance credits are created under paragraph 19(1)(b) or 20(b) or when a CO_2e-emission-reduction project described in paragraph 30(d) is carried out, only the foreign supplier of the fuel may make the application for the approval of the carbon intensity.

Distinct application — each feedstock

(4) A distinct application for the approval of a carbon intensity is required for each type of feedstock that is used to produce a low-carbon-intensity fuel or a material input that is renewable natural gas, biogas, renewable propane or hydrogen, including in the case where two or more types of feedstock are used simultaneously to produce the low-carbon-intensity fuel or the material input.

Pathway approval

81 (1) Before making an application under subsection 80(1) for the approval of a carbon intensity based on a new pathway referred to in paragraph 76(3)(b), 77(b), 78(3)(b) or 79(3)(b), the registered creator, carbon-intensity contributor or foreign supplier must apply to the Minister for the approval of the new pathway.

Application

(2) The application for the approval of a new pathway must include the information referred to in Schedule 7.

Approval

(3) The Minister must approve the new pathway if the Minister is satisfied that the pathway is based on

(a) a plan to collect verifiable data and results;

(b) calculations that do not contain any error that attains any of the quantitative materiality thresholds referred to in paragraph 150(a);

(c) unit processes, modelling parameters, background data sets and a methodology that are appropriate for the pathway; and

(d) a methodology that is consistent with ISO Standard 14040, ISO Standard 14044 and the Specifications for Fuel LCA Model CI Calculations.

Unique alphanumeric identifier

(4) When the Minister approves the new pathway, the Minister must assign a unique alphanumeric identifier to it.

Information to be provided

82 (1) An application made under section 80 in respect of a carbon intensity determined in accordance with paragraph 75(1)(b) or section 76 or 77 must contain the information referred to in section 1 of Schedule 8.

Additional information — paragraph 75(1)(b)

(2) In the case of a carbon intensity determined in accordance with paragraph 75(1)(b), the application must also contain the information referred to in section 2 of Schedule 8.

Additional information — section 76

(3) In the case of a carbon intensity determined in accordance with section 76, the application must also contain the information referred to in sections 3 and 6 of Schedule 8, as well as any information specified in any applicable emission-reduction quantification method established under subsection 31(1) or 32(1).

Additional information — section 77

(4) In the case of a carbon intensity determined in accordance with section 77, the application must also contain the information referred to in sections 3 and 6 of Schedule 8, as well as any information specified in any applicable specific emission-reduction quantification method established under subsection 32(1).

Information to be provided — section 78

83 In the case of a carbon intensity determined in accordance with section 78, an application made under section 80 must contain the information referred to in sections 4 and 6 of Schedule 8.

Information to be provided — section 79

84 In the case of a carbon intensity determined in accordance with section 79, an application made under section 80 must contain the information referred to in sections 5 and 6 of Schedule 8.

Approval

85 (1) The Minister must approve a carbon intensity for which an application for approval is made under section 80 if the Minister is satisfied that the determination of the carbon intensity is based on

(a) data and results that are verifiable;

(b) calculations that do not contain any error that attains any of the quantitative materiality thresholds referred to in paragraph 150(a);

(c) unit processes, modelling parameters, background data sets and a methodology that are appropriate for that determination and do not result in an underestimation of the carbon intensity;

(d) in the case of a determination made in accordance with section 76 or 77, a methodology that is consistent with ISO Standard 14040, ISO Standard 14044 and the Specifications for Fuel LCA Model CI Calculations; and

(e) with respect to an application referred to in section 130, an unqualified opinion issued in accordance with paragraph 154(a) or a qualified opinion issued in accordance with paragraph 154(b).

Unique alphanumeric identifier

(2) When the Minister approves the carbon intensity, the Minister must assign it a unique alphanumeric identifier.

End of validity

86 (1) The approved carbon intensity of a low-carbon-intensity fuel or material input ceases to be valid if a change is made to the extraction or production processes for the feedstock used to produce the fuel or material input or the production processes and that change is not

consistent with the emission factors, input data, background data sets and methodology that were used to determine the carbon intensity and would result in,

(a) in the case where the carbon intensity was determined in accordance with paragraph 75(1)(b), production processes that are different than those used to determine the approved carbon intensity of the fuel or material input;

(b) in the case where the carbon intensity was determined in accordance with section 76, an actual carbon intensity of the fuel or material input — as specified in the carbon-intensity-pathway report referred to in subsection 123(1) — that is greater than the approved carbon intensity by at least

(i) 1 gCO_2e/MJ, if the absolute value of the approved carbon intensity is less than 20 gCO_2e/MJ,

(ii) 5%, if the absolute value of the approved carbon intensity is between 20 and 100 gCO_2e/MJ, and

(iii) 5 gCO_2e/MJ, if the absolute value of the approved carbon intensity is greater than 100 gCO_2e/MJ; and

(c) in the case where the carbon intensity was approved for a CO_2e-emission-reduction project described in paragraph 30(d), fuel production processes or conditions that are different than those indicated in the application made under subsection 80(1) for the approval of the carbon intensity.

Non-compliance with section 123

(2) The approved carbon intensity of a fuel or material input ceases to be valid if the registered creator, carbon-intensity contributor or foreign supplier who made the application for approval under subsection 80(1) fails to comply with the requirements set out in section 123.

Non-compliance with section 124

(3) The approved carbon intensity of a gaseous or liquid low-carbon-intensity fuel that was produced using a quantity of an eligible feedstock referred to in paragraph 46(1)(b) or (c) ceases to be valid if the registered creator or foreign supplier who made the application for approval under subsection 80(1) fails to comply with the requirements set out in section 124.

Non-compliance with specific quantification method

(4) The approved carbon intensity of a co-processed low-carbon-intensity fuel ceases to be valid if a registered creator or foreign supplier referred to in subsection 80(1) fails to comply with the applicable specific emission-reduction quantification method established under subsection 32(1).

Non-compliance with record requirements

(5) The approved carbon intensity of a low-carbon-intensity fuel or material input may be invalidated by the Minister if the registered creator, carbon-intensity contributor or foreign supplier who made the application for approval under subsection 80(1) fails to comply with any of the requirements set out in sections 166 and 168 in relation to the approved carbon intensity.

End of validity — certain gases

(6) The approved carbon intensity of propane, liquefied natural gas or compressed natural gas determined in accordance with section 78 ceases to be valid if a change is made to the compression or liquefaction process for the fuel and that change is not consistent with the emission factors, input data, background data sets and methodology that were used to determine the carbon intensity and would result in an actual carbon intensity of the fuel — as specified in the carbon-intensity-pathway report referred to in subsection 123(1) — that is greater than the approved carbon intensity by at least

(a) 1 gCO_2e/MJ, if the absolute value of the approved carbon intensity is less than 20 gCO_2e/MJ;

(b) 5%, if the absolute value of the approved carbon intensity is between 20 and 100 gCO_2e/MJ; and

(c) 5 gCO_2e/MJ, if the absolute value of the approved carbon intensity is greater than 100 gCO_2e/MJ.

End of validity — electricity

(7) The approved carbon intensity of electricity determined in accordance with section 79 ceases to be valid if a change is made to the source and quantity of electricity supplied to electric vehicles or facilities and that change would result in an actual carbon intensity of the electricity — as specified in the carbon-intensity-pathway report referred to in subsection 123(1) — that is greater than the approved carbon intensity by at least

(a) 1 gCO_2e/MJ, if the absolute value of the approved carbon intensity is less than 20 gCO_2e/MJ;

(b) 5%, if the absolute value of the approved carbon intensity is between 20 and 100 gCO_2e/MJ; and

(c) 5 gCO_2e/MJ, if the absolute value of the approved carbon intensity is greater than 100 gCO_2e/MJ.

Transferred carbon intensity

(8) The approved carbon intensity of a fuel or material input ceases to be valid if the registered creator, carbon-intensity contributor or foreign supplier who made the application for the approval of that carbon intensity under subsection 80(1) has determined it by using a carbon intensity that ceases to be valid under any of subsections (1) to (7).

End of validity — December 31, 2025

(9) A carbon intensity determined in accordance with any of sections 76 to 79 that was approved by the Minister before July 1, 2024 ceases to be valid on December 31, 2025. The registered creator, carbon-intensity contributor or foreign supplier may, on or after July 1, 2024, submit a new application to the Minister for the approval of the carbon intensity under subsection 80(1).

New application

87 (1) A registered creator or foreign supplier may apply to replace a carbon intensity approved by the Minister under subsection 85(1) with the actual carbon intensity determined in accordance with section 76, 78 or 79, in the case where the actual carbon intensity — as specified in the carbon-intensity-pathway report referred to in subsection 123(1) — is lower than the approved carbon intensity and the difference between the two intensities is at least

(a) 1 gCO_2e/MJ, if the absolute value of the approved carbon intensity is less than 20 gCO_2e/MJ;

(b) 5%, if the absolute value of the approved carbon intensity is between 20 and 100 gCO_2e/MJ; and

(c) 5 gCO_2e/MJ, if the absolute value of the approved carbon intensity is greater than 100 gCO_2e/MJ.

New application — carbon-intensity contributor

(2) A carbon-intensity contributor may apply to replace a carbon intensity that has been approved by the Minister under subsection 85(1) with the actual carbon intensity determined in accordance with section 76 or 79 in the case where the actual carbon intensity — as specified in the carbon-intensity-pathway report referred to in subsection 123(1) — is lower than the approved carbon intensity and the difference between the two intensities is at least

(a) 1 gCO_2e/MJ, if the absolute value of the approved carbon intensity is less than 20 gCO_2e/MJ;

(b) 5%, if the absolute value of the approved carbon intensity is between 20 and 100 gCO_2e/MJ; and

(c) 5 gCO_2e/MJ, if the absolute value of the approved carbon intensity is greater than 100 gCO_2e/MJ.

Adjustment of credits

88 (1) A registered creator may — in the first annual credit-creation report that they submit under section 120 or first credit-adjustment report that they submit under section 122 following the approval under subsection 85(1) of the carbon intensity of a fuel or energy source determined in accordance with section 76, 78 or 79 — request that compliance credits be created for the three compliance periods preceding the approval of the carbon intensity if

(a) the carbon intensity indicated in that credit-creation report or that credit-adjustment report was determined in accordance with section 75 or was temporarily approved under subsection 91(4);

(b) the fuel for which the carbon intensity was approved under subsection 85(1) is produced from the same type of feedstock and in the same production process as the fuel or electricity used during the preceding compliance periods for which a credit adjustment is requested; and

(c) the carbon intensity that was approved under subsection 85(1) was determined in accordance with section 76, 78 or 79 after July 1, 2024.

Number of adjusted compliance credits

(2) The number of compliance credits that may be created by a registered creator under subsection (1) is equal to the difference between

(a) the maximum number of compliance credits that would be created for the three compliance periods preceding the approval of the carbon intensity using the information contained in the report that they submit under section 120 or 122 in respect of those compliance periods and using the carbon intensity that was determined in accordance with section 76, 78 or 79, as the case may be, and

(b) the total number of compliance credits that were created by the registered creator for the three compliance periods preceding the approval of the carbon intensity using the carbon intensity that was determined in accordance with section 75 or that was temporarily approved under subsection 91(4), as the case may be.

Adjustment — actual carbon intensity

89 A registered creator may — in the credit-adjustment report that they submit under subsection 122(1) — request that any compliance credits that were created for a compliance period using the carbon intensity that was determined in accordance with section 76 and approved under subsection 85(1) be adjusted based on the actual carbon intensity of the fuel as specified in the carbon-intensity-pathway report that they submit under subsection 123(1) for that compliance period.

Adjustment after June 30, 2024

90 (1) If an approved carbon intensity determined in accordance with section 76, 77, 78 or 79 ceases to be valid on December 31, 2025 through the operation of subsection 86(9) and the registered creator, carbon-intensity contributor or foreign supplier made, before September 30, 2025, a new application to the Minister under subsection 80(1) for approval of the carbon intensity, the registered creator may — in the first annual credit-creation report that they submit under section 120 or first credit-adjustment report that they submit under section 122 following the approval under subsection

85(1) of the carbon intensity — request that compliance credits be created for the period beginning on the day on which they became eligible to create compliance credits under subsection 25(2) or 25(3) or paragraph 31(2)(b) or 32(2)(d), as the case may be, and ending on the day on which the new application is approved by the Minister.

Number of adjusted compliance credits

(2) The number of compliance credits that may be created under subsection (1) is equal to the difference between

(a) the maximum number of compliance credits that would be created by the registered creator for the period referred to in subsection (1) using the information contained in the report that they submit under section 120 or 121 in respect of the compliance periods that fall within that period and using the carbon intensity that was determined in accordance with any of sections 76 to 79, as the case may be, and

(b) the total number of compliance credits that were created by the registered creator for the period referred to in subsection (1) using the carbon intensity that they used to create compliance credits before June 30, 2024.

Application for temporary approval

91 (1) A registered creator or foreign supplier who has data on the operation of a facility for a period of 3 or more consecutive months, but no more than 24 consecutive months, with respect to the activities referred to in the definition *carbon intensity* in subsection 1(1) may apply for temporary approval of a carbon intensity.

Determination of carbon intensity

(2) The carbon intensity is to be determined in accordance with section 76, 78 or 79, as the case may be, using the data for the period referred to in subsection (1) instead of the data for 24 consecutive months that

is required by those sections.

Application

(3) The application must be made in accordance with sections 80 to 84.

Temporary approval

(4) The Minister must grant temporary approval of the carbon intensity if the Minister is satisfied that the determination of the carbon intensity is based on the factors set out in subsection 85(1).

Unique alphanumeric identifier

(5) The Minister must assign a unique alphanumeric identifier to the temporarily approved carbon intensity.

Equivalent to approved carbon intensity

(6) The temporarily approved carbon intensity is to be treated as if it were approved under subsection 85(1) until

(a) the day that is 24 months after the day on which the temporary approval is granted, in the case where the registered creator or foreign supplier who applied for temporary approval has not applied for approval of that carbon intensity under section 80; or

(b) the day on which the Minister approves the carbon intensity under subsection 85(1), in any other case.

Period of validity

(7) The temporarily approved carbon intensity ceases to be valid on the day referred to in paragraph (6)(a) or (b), as the case may be, or on any earlier day on which there is a change to the extraction or production processes for the feedstock used to produce the fuel or to the fuel production processes and the change is not consistent with the emission factors, input data, background data sets or methodology that were used to determine the temporarily approved carbon intensity.

Registration of foreign supplier

92 (1) A foreign supplier may register as a foreign supplier with the Minister by submitting to the Minister a registration report that contains the following information:

(a) their name, civic address, postal address, telephone number and, if any, email address;

(b) the name, title, civic address, postal address, telephone number and, if any, email address of their authorized agent;

(c) the name, title, civic address, postal address, telephone number and, if any, email address of a contact person, unless the contact person is the authorized agent; and

(d) with respect to each facility at which they produce low-carbon-intensity fuel,

(i) the name, GPS coordinates to the fifth decimal place and, if any, civic address of the facility, and

(ii) the type of low-carbon-intensity fuel produced at the facility.

Pre-condition for application

(2) A foreign supplier may make an application referred to in subsection 80(1), 81(1) or 91(1) only if they are registered as a foreign supplier with the Minister.

Registration — carbon-intensity contributor

93 (1) A carbon-intensity contributor may register as a carbon-intensity contributor with the Minister by submitting to the Minister a registration report that contains the following information:

(a) their name, civic address, postal address, telephone number and, if any, email address;

(b) the name, title, civic address, postal address, telephone number and, if any, email address of their authorized agent;

(c) the name, title, civic address, postal address, telephone number and, if any, email address of a contact person, unless the contact person is the authorized agent; and

(d) with respect to each facility at which renewable natural gas, renewable propane, electricity, biogas or hydrogen is produced,

(i) the name, GPS coordinates to the fifth decimal place and, if any, civic address of the facility, and

(ii) the type of fuel, energy source or material input produced at the facility.

Pre-condition for application

(2) A carbon-intensity contributor may make an application referred to in subsection 80(1), 81(1) or 91(1) only if they are registered as a carbon-intensity contributor with the Minister.

Low-Carbon-Intensity Fuels

Liquid class

94 (1) A person who, during a compliance period, produces in Canada or imports into Canada a quantity of liquid low-carbon-intensity fuel that displaces, or was sold to displace, the use of a quantity of fuel in the liquid class may create provisional compliance credits in respect of the liquid class for the compliance period.

Number of compliance credits

(2) The number of compliance credits that the person may create for a compliance period in respect of the liquid low-carbon-intensity fuel is determined by the formula

$$\mathbf{CI_{diff} \times (Q \times D) \times 10^{-6}}$$

where

CI_{diff} is the difference between the reference carbon intensity for the liquid class, as set out in item 1, column 2, of Schedule 1, and the carbon intensity of the low-carbon-intensity fuel that is the default carbon intensity referred to in paragraph 75(1)(a), the carbon intensity approved under subsection 85(1) or the actual carbon intensity specified in the carbon-intensity-pathway report referred to in subsection 123(1), as the case may be;

Q is, subject to subsection 45(1), the volume of the low-carbon-intensity fuel that the person produced in Canada using an eligible feedstock or imported into Canada during the compliance period that is used or sold for use in Canada as neat fuel or as part of a blend, expressed in cubic metres; and

D is, at the election of the person, the energy density of the low-carbon-intensity fuel as set out in column 2 of Schedule 2 or as set out in the Specifications for Fuel LCA Model CI Calculations.

Gaseous class

95 (1) A person who, during a compliance period, produces in Canada or imports into Canada a quantity of low-carbon-intensity fuel that is biogas, renewable natural gas, renewable propane or hydrogen and that displaces, or was sold to displace, the use of a volume of fuel in the gaseous class may create provisional compliance credits in respect of the gaseous class for the compliance period.

Excluded gases

(2) A person must not create provisional compliance credits under subsection (1) for a compliance period by producing or importing

(a) biogas that is converted into renewable natural gas;

(b) biogas, renewable natural gas, renewable propane or hydrogen for which provisional compliance credits were created by the carrying out of an emission-reduction project referred to in section

30;

(c) biogas for which provisional compliance credits were created under section 96; or

(d) renewable propane, renewable natural gas or hydrogen for which provisional compliance credits were created under section 100 or 104.

Exception — biogas used in equipment

(3) A person must not create provisional compliance credits under subsection (1) for a compliance period in respect of the use of biogas in equipment that produces electricity unless the amount determined by the following formula is greater than 0.7:

$$(E_{total} + H) \div (Q \times D)$$

where

E_{total} is the total quantity of electricity produced by the equipment, expressed in megajoules;

H is the heat energy produced by the equipment and used or sold, expressed in megajoules;

Q is the quantity of the biogas used in the equipment, expressed in cubic metres; and

D is, at the election of the person, the energy density of the biogas as set out in item 1, column 2, of Schedule 2, as set out in the Specifications for Fuel LCA Model CI Calculations or as measured in accordance with section 162.

Number of compliance credits

(4) The number of compliance credits that the person may create for a compliance period in respect of a particular fuel is determined by the formula

$$CI_{diff} \times (Q \times D) \times 10^{-6}$$

where

CI_{diff} is

(a) in the case of biogas, renewable natural gas or hydrogen, the difference between the reference carbon intensity of biogas, renewable natural gas and hydrogen, as set out in item 2, column 2, of Schedule 1, and the carbon intensity that is the default carbon intensity referred to in paragraph 75(1)(a), the carbon intensity approved under subsection 85(1) or the actual carbon intensity specified in the carbon-intensity-pathway report referred to in subsection 123(1), as the case may be, and

(b) in the case of renewable propane, the difference between the reference carbon intensity of renewable propane, as set out in item 3, column 2, of Schedule 1, and the carbon intensity that is the default carbon intensity referred to in paragraph 75(1)(a), the carbon intensity approved under subsection 85(1) or the actual carbon intensity specified in the carbon-intensity-pathway report referred to in subsection 123(1), as the case may be;

Q is, subject to subsection 45(1), the quantity of the biogas — other than biogas referred to in paragraph (2)(a) or (2)(c) — or renewable natural gas, renewable propane or hydrogen — other than renewable natural gas, renewable propane or hydrogen referred to in paragraph (2)(d) — that was produced using an eligible feedstock in Canada or imported into Canada by the person during the compliance period and that is used or sold for use in Canada as neat fuel or as part of a blend, expressed in cubic metres in the case of biogas, renewable natural gas or renewable propane and in kilograms in the case of hydrogen; and

D is, at the election of the person, the energy density of the biogas, renewable natural gas, renewable propane or hydrogen as set out in column 2 of Schedule 2, as set out in the Specifications for Fuel LCA Model CI Calculations or, in the case of biogas, as measured in accordance with section 162.

Biogas used to produce electricity

96 (1) A person who, during a compliance period, produces in Canada a quantity of biogas that is used in equipment to produce electricity and that displaces the use in Canada of a volume of fuel in the gaseous class in accordance with paragraph 20(b) or (c) may create provisional compliance credits in respect of the gaseous class for the compliance period.

Electricity produced from biogas

(2) The carbon intensity of the electricity that the person produces by using biogas in equipment is determined by the formula

$$\mathbf{CI_{biogas} \times (Q \times D) \div E_{total}}$$

where

CI_{biogas} is the carbon intensity of the biogas that is used to produce electricity and that is the default carbon intensity referred to in paragraph 75(1)(a), the carbon intensity approved under subsection 85(1) or the actual carbon intensity specified in the carbon-intensity-pathway report referred to in subsection 123(1), as the case may be;

Q is, subject to subsection 45(1), the quantity of the biogas that is produced using an eligible feedstock and used in the equipment and determined in accordance with the Specifications for Fuel LCA Model CI Calculations, expressed in cubic metres;

D is, at the election of the person, the energy density of the biogas as set out in item 1, column 2, of Schedule 2, as set out in the Specifications for Fuel LCA Model CI Calculations or as measured in accordance with section 162; and

E_{total} is the total quantity of electricity produced by the equipment from the biogas, expressed in megajoules.

Number of compliance credits

(3) The number of compliance credits that a person may create under subsection (1) for a compliance period is determined by the formula

$$\mathbf{CI_{diff} \times E \times 10^{-6}}$$

where

CI_{diff} is the difference between the carbon intensity of electricity for the province in which the equipment used to produce the electricity is located, as determined in accordance with subsection (4), and the carbon intensity of the electricity produced from biogas, as determined in accordance with subsection (2); and

E is the quantity of electricity that is produced, expressed in megajoules.

Carbon intensity — province

(4) The carbon intensity of electricity for the province in which the equipment that uses biogas to produce electricity is located is the lessor of the following amounts:

(a) the amount set out for that province in section 9 of Schedule 6;

(b) the amount set out for that province in the Specifications for Fuel LCA Model CI Calculations; and

(c) 96 g/MJ.

Multiple feedstocks

97 (1) A low-carbon-intensity fuel that is produced using more than one type of feedstock is considered to be multiple fuels for the purposes of paragraph 30(d) and sections 94 to 96, 100 and 104 and the quantity of each type of fuel is equal to the proportion of the low-carbon-intensity fuel that is produced using each type of feedstock.

Determination of proportion

(2) The registered creator must determine the proportion of a low-carbon-intensity fuel that is produced using each type of feedstock in accordance with the Specifications for Fuel LCA Model CI Calculations.

Co-processed low-carbon-intensity fuel

(3) The registered creator must determine the proportion of a co-processed low-carbon-intensity fuel that is produced using each type of feedstock in accordance with the applicable specific emission-reduction quantification method established under subsection 32(1).

Fuel or Other Energy Source for Vehicles

Gas for vehicles

98 (1) The owner or operator of a fuelling station who, during a compliance period, displaces the use of a fuel in the liquid class by supplying propane, compressed natural gas or liquefied natural gas for use in Canada as a fuel for a vehicle may create provisional compliance credits in respect of the liquid class for the compliance period.

Number of compliance credits

(2) The number of compliance credits that an owner or operator may create under subsection (1) for a compliance period is determined by the formula

$$\mathbf{CI_{diff} \times (Q \times D) \times 10^{-6}}$$

where

CI_{diff} is the difference between

(a) the reference carbon intensity for the liquid class, as set out in item 1, column 2, of Schedule 1, and

(b) the carbon intensity of the propane, compressed natural gas or liquefied natural gas that is determined in accordance with subsection 75(6), that is approved under subsection 85(1)

or that is the actual carbon intensity specified in the carbon-intensity-pathway report referred to in subsection 123(1), as the case may be;

Q is the difference between

(a) the total quantity of the fuel that contains propane, compressed natural gas or liquefied natural gas that is supplied for use as a fuel for a vehicle, as measured by a meter,

(i) expressed in cubic metres of fuel in the liquid state, in the case of fuel that contains propane,

(ii) expressed in cubic metres, in the case of fuel that contains compressed natural gas, and

(iii) expressed in kilograms, in the case fuel that contains liquefied natural gas; and

(b) the quantity of the following, as determined from the supporting documents referred to in subsection 99(2):

(i) renewable propane or co-processed low-carbon-intensity propane supplied for use as a fuel for a vehicle, expressed in cubic metres of fuel in the liquid state, if the fuel that is supplied contains propane, renewable propane or co-processed low-carbon-intensity propane, and

(ii) renewable natural gas supplied for use as a fuel for a vehicle, expressed in cubic metres, if the fuel that is supplied contains compressed natural gas, or

(iii) renewable natural gas supplied for use as a fuel for a vehicle, expressed in kilograms, if the fuel that is supplied contains liquefied natural gas; and

D is, at the election of the owner or operator, the energy density of the propane, compressed natural gas or liquefied natural gas, as the case may be, as set out in column 2 of Schedule 2 or as set out in the Specifications for Fuel LCA Model CI Calculations.

Renewable gaseous fuel

99 (1) The owner or operator of a fuelling station who, during a compliance period, displaces the use of a fuel in the liquid class by supplying low-carbon-intensity fuel that is renewable propane, co-processed low-carbon intensity propane, compressed renewable natural gas or liquefied renewable natural gas for use in Canada as a fuel for a vehicle must not create provisional compliance credits in respect of the liquid class for the compliance period unless they possess the supporting documents that are referred to in subsection (2).

Supporting documents

(2) The supporting documents must

(a) establish that the fuel was physically supplied to the fuelling station or was supplied to the fuelling station by means of a contractual agreement;

(b) indicate the quantity of the fuel that was produced, subject to subsection 45(1), using eligible feedstock that was supplied to the fuelling station by the producer of the fuel during the compliance period and indicate the name of the person from whom the fuel was purchased;

(c) if the carbon intensity of the fuel has been approved by the Minister under subsection 85(1), indicate that carbon intensity and the alphanumeric identifier assigned to that carbon intensity under subsection 85(2);

(d) if the carbon intensity of the fuel has not been approved by the Minister under subsection 85(1), indicate the name of the producer of the fuel, their civic address, postal address, telephone number and, if any, their email address and the name, GPS coordinates to the fifth decimal place and, if any, the civic address of the facility at which the fuel was produced; and

(e) if the fuel was supplied by means of a contractual agreement, establish that there is a physical connection between the fuelling station and the producer of the fuel and that the quantity of the fuel supplied to vehicles at the fuelling station during the compliance period does not exceed the quantity of the fuel produced by the producer of the fuel and injected in a pipeline during the compliance period.

Number of compliance credits

(3) The number of compliance credits that the owner or operator of a fuelling station that supplies a low-carbon-intensity fuel that is compressed renewable natural gas or liquefied renewable natural gas may create for a compliance period is determined by the formula

$$(CI_{diff1} + CI_{diff2}) \times (Q \times D) \times 10^{-6}$$

where

CI_{diff1} is the difference between

(a) the reference carbon intensity for the liquid class, as set out in item 1, column 2, of Schedule 1, and

(b) the carbon intensity of the compressed renewable natural gas or liquefied renewable natural gas that is determined in accordance with subsection 75(6), that is approved under subsection 85(1) or that is the actual carbon intensity specified in the carbon-intensity-pathway report referred to in subsection 123(1), as the case may be;

CI_{diff2} is the difference between

(a) the carbon intensity of natural gas that is determined in accordance with subsection 75(6), and

(b) the reference carbon intensity of renewable natural gas, as set out in item 2, column 2, of Schedule 1;

Q is, subject to subsection 45(1), the quantity of the renewable natural gas supplied to the vehicles, expressed in cubic metres in the case

of compressed renewable natural gas or in kilograms in the case of liquefied renewable natural gas, as determined from the supporting documents referred to in subsection (2); and

D is, at the election of the owner or operator, the energy density of renewable natural gas as set out in item 2, column 2, of Schedule 2 or as set out in the Specifications for Fuel LCA Model CI Calculations.

Renewable propane

(4) The number of compliance credits that the owner or operator of a fuelling station that supplies a low-carbon-intensity fuel that is renewable propane or co-processed low-carbon intensity propane may create for a compliance period is determined by the formula

$$(CI_{diff1} + CI_{diff2}) \times (Q \times D) \times 10^{-6}$$

where

CI_{diff1} is the difference between

(a) the reference carbon intensity for the liquid class, as set out in item 1, column 2, of Schedule 1, and

(b) the carbon intensity of the propane that is determined in accordance with subsection 75(6), that is approved under subsection 85(1) or that is the actual carbon intensity specified in the carbon-intensity-pathway report referred to in subsection 123(1), as the case may be;

CI_{diff2} is the difference between

(a) the carbon intensity of propane, as determined in accordance with subsection 75(6), and

(b) the reference carbon intensity of renewable propane, as set out in item 3, column 2, of Schedule 1;

Q is, subject to subsection 45(1), the quantity of the renewable propane or co-processed low-carbon intensity propane supplied to the vehicles, expressed in cubic metres of fuel in the liquid state, as

determined from the supporting documents referred to in subsection (2); and

D is, at the election of the owner or operator, the energy density of renewable propane as set out in item 7, column 2, of Schedule 2 or in the Specifications for Fuel LCA Model CI Calculations.

Creator — producer or importer

100 (1) A person who, during a compliance period, displaces the use of a fuel in the liquid class by producing in Canada or importing into Canada, a quantity of low-carbon-intensity fuel that is renewable propane or renewable natural gas for use in Canada as a fuel for a vehicle must not create provisional compliance credits in respect of the liquid class for the compliance period unless they possess supporting documents that

(a) establish that the fuel was physically supplied to a fuelling station or supplied to the fuelling station by means of a contractual agreement;

(b) indicate the name of the owner or operator of the fuelling station;

(c) indicate the quantity of the fuel that was supplied to the fuelling station during the compliance period;

(d) establish that the quantity of the fuel that was supplied by the producer to the fuelling station and used to create compliance credits during the compliance period does not exceed the quantity of the fuel that was supplied to vehicles at the fuelling station during the compliance period; and

(e) if the fuel was supplied to the fuelling station by means of a contractual agreement, establish that there is a physical connection between the fuelling station and the producer of the fuel.

Number of compliance credits

(2) The number of compliance credits that the person referred to in subsection (1) may create for a compliance period in respect of a particular fuel is determined by the formula

$$\mathbf{CI_{diff} \times (Q \times D) \times 10^{-6}}$$

where

CI_{diff} is

(a) in the case of renewable natural gas, the difference between the reference carbon intensity of renewable natural gas, as set out in item 2, column 2, of Schedule 1, and the carbon intensity of the renewable natural gas that is the default carbon intensity referred to in paragraph 75(1)(a), the carbon intensity approved under subsection 85(1) or the actual carbon intensity specified in the carbon-intensity-pathway report referred to in subsection 123(1), as the case may be, and

(b) in the case of renewable propane, the difference between the reference carbon intensity of renewable propane, as set out in item 3, column 2, of Schedule 1, and the carbon intensity of the renewable propane that is the default carbon intensity referred to in paragraph 75(1)(a), the carbon intensity approved under subsection 85(1) or the actual carbon intensity specified in the carbon-intensity-pathway report referred to in subsection 123(1), as the case may be;

Q is, subject to subsection 45(1), the quantity of the fuel supplied to the fuelling station, expressed in cubic metres, as determined from the supporting documents referred to in subsection (1); and

D is, at the election of the person, the energy density of the fuel as set out in column 2 of Schedule 2 or as set out in the Specifications for Fuel LCA Model CI Calculations.

Electricity — charging-site host

101 (1) A charging-site host may, for a compliance period, create provisional compliance credits in respect of the liquid class by displacing, during the compliance period, the use in Canada of a quantity of fuel in the liquid class with the use in Canada of electricity as an energy source for an electric vehicle of a class that is listed in the Specifications for Fuel LCA Model CI Calculations, if the electricity is supplied to that electric vehicle by a charging station other than any charging station referred to in subsection 102(1).

Number of compliance credits

(2) The number of compliance credits that the charging-site host may create under subsection (1) for a compliance period by supplying electricity of a particular carbon intensity to electric vehicles is determined by the formula

$$\mathbf{CI_{diff} \times (Q \times D) \times 10^{-6}}$$

where

CI_{diff} is the difference between the reference carbon intensity for the liquid class for the compliance period, as set out in item 1, column 2, of Schedule 1 and adjusted by the energy efficiency ratio of the electric vehicles, and the carbon intensity of the electricity used by those electric vehicles, as determined by the formula

$$\mathbf{(R_{ee} \times CI_{ref}) - CI_e}$$

where

R_{ee} is

(a) if the electricity is supplied by a charging station that is not accessible to electric marine vessels,

(i) in the case of light-duty electric vehicles, at the election of the registered creator, the energy efficiency ratio on the January 1 of the compliance

period for the light-duty class of electric vehicles, as set out in the Specifications for Fuel LCA Model CI Calculations, or an energy efficiency ratio of 2.5, or

(ii) in the case of any other class of electric vehicles, at the election of the registered creator, the energy efficiency ratio on the January 1 of the compliance period for the class of the electric vehicles, as set out in the Specifications for Fuel LCA Model CI Calculations, or an energy efficiency ratio of 2.5,

(b) if the electricity is supplied by a charging station that is accessible to electric marine vessels, at the election of the registered creator, the energy efficiency ratio on the January 1 of the compliance period for the class of the electric vehicles, as set out in the Specifications for Fuel LCA Model CI Calculations, or an energy efficiency ratio of 2.5, or

(c) if the electricity is supplied by a charging station that is accessible to more than one class of electric vehicles and it is not possible to differentiate between the quantity of electricity supplied to each class of electric vehicles, the energy efficiency ratio that is the lesser of the energy efficiency ratios determined under paragraph (a) and (b),

CI_{ref} is the reference carbon intensity for the liquid class for the compliance period, as set out in item 1, column 2, of Schedule 1, and

CI_e is the carbon intensity of the electricity supplied to the electric vehicles that is determined in accordance with subsection 75(7), that is approved under subsection 85(1) or that is the actual carbon intensity specified in the carbon-intensity-pathway report referred to in subsection 123(1), as the case may be;

Q is the quantity of electricity supplied to the electric vehicles, expressed in kilowatt-hours, as measured by charging stations other than those referred to in subsection 102(1), subject to any

measurement accuracy or load test tolerances for charging stations that are indicated in the document entitled *Specifications, Tolerances, and Other Technical Requirements for Weighing and Measuring Devices*, published by the United States National Institute of Standards and Technology; and

D is 3.6 megajoules per kilowatt-hour.

Electricity – charging-network operator

102 (1) A charging-network operator may, for a compliance period, create provisional compliance credits in respect of the liquid class by displacing, during the compliance period, the use in Canada of a quantity of fuel in the liquid class with the use in Canada of electricity as an energy source for an electric vehicle of a class that is listed in the Specifications for Fuel LCA Model CI Calculations, if

(a) the compliance period begins on or before January 1, 2035 and the electricity is supplied to that electric vehicle by a charging station that is owned and intended primarily for use by the occupants of a private dwelling-place and that is installed on or before December 31, 2030; or

(b) the electricity is supplied to that electric vehicle by a charging station that is intended primarily for use by the public and whose location is indicated on the website or mobile application of the charging-network operator.

Number of compliance credits

(2) The number of compliance credits that the charging-network operator may create under subsection (1) for a compliance period by supplying electricity of a particular carbon intensity is determined by the formula

$$\mathbf{CI_{diff} \times (Q \times D) \times 10^{-6}}$$

where

CI_{diff} is the difference between the reference carbon intensity for the liquid class for the compliance period, as set out in item 1, column 2, of Schedule 1 and adjusted by the energy efficiency ratio of the electric vehicles, and the carbon intensity of the electricity used by those vehicles, as determined by the formula

$$(R_{ee} \times CI_{ref}) - CI_e$$

where

R_{ee} is, at the election of the registered creator, the energy efficiency ratio for the light-duty class of the electric vehicles, as set out in the Specifications for Fuel LCA Model CI Calculations on the January 1 of the compliance period, or an energy efficiency ratio of 2.5,

CI_{ref} is the reference carbon intensity for the liquid class for the compliance period, as set out in item 1, column 2, of Schedule 1, and

CI_e is the carbon intensity of the electricity supplied to the electric vehicles that is determined in accordance with subsection 75(7), that is approved under subsection 85(1) or that is the actual carbon intensity specified in the carbon-intensity-pathway report referred to in subsection 123(1), as the case may be;

Q is the quantity of electricity supplied to the electric vehicles, expressed in kilowatt-hours, as measured by the charging stations referred to in subsection (1), subject to any measurement accuracy or load test tolerances for charging stations that are indicated in the document entitled *Specifications, Tolerances, and Other Technical Requirements for Weighing and Measuring Devices*, published by the United States National Institute of Standards and Technology; and

D is 3.6 megajoules per kilowatt-hour.

Use of revenue — electric vehicles

103 (1) A charging-network operator referred to in subsection 102(1), or a person with whom they have entered into an agreement under section 21, must not create compliance credits under section 102 during a compliance period unless all of the revenue that they receive from the transfer of compliance credits created under that section during all previous compliance periods is used within the time limit set out in subsection (3) for the purpose of carrying out, in Canada, either of the following activities:

(a) expanding electric vehicle charging infrastructure, including charging stations and electricity distribution infrastructure that supports electric vehicle charging, whether intended primarily for use by the occupants of a private dwelling-place or the public; or

(b) reducing the cost of electric vehicle ownership through financial incentives to purchase or operate an electric vehicle.

Allocation to activities

(2) The charging-network operator or person may, at their discretion, allocate the use of those revenues to either or both of those activities.

Period for use

(3) The revenues received by the charging-network operator or person, from the transfer of a compliance credit, must be used no later than the second anniversary of the end of the compliance period during which the compliance credit is transferred.

Cancellation of credits

(4) The Minister must cancel an equivalent number of compliance credits to the number of compliance credits that were transferred if the revenue from that transfer is not used in accordance with subsection (1).

Insufficient number of credits

(5) If the number of compliance credits that must be cancelled under subsection (4) is greater than the number of compliance credits in the account of the charging-network operator or person, the Minister must send a notice to them indicating the number of compliance credits that are missing.

Obligation to replace credits

(6) The charging-network operator or person must, within 90 days after the day on which the notice referred to in subsection (5) is sent, ensure that the number of compliance credits in the same account is equivalent to the number of compliance credits that are missing.

Notice to Minister

(7) The charging-network operator or person must, when their account contains the equivalent number of compliance credits required under subsection (6) and within the time limit set out in that subsection, send a notice to the Minister indicating that their account contains that equivalent number of compliance credits.

Cancellation of compliance credits

(8) On receipt of the notice referred to in subsection (7), the Minister must cancel the equivalent number of compliance credits that are indicated.

Hydrogen

104 (1) The owner or operator of a hydrogen fuelling station may, for a compliance period, create provisional compliance credits in respect of the liquid class by displacing, during the compliance period, the use in Canada of a quantity of fuel in the liquid class with the use in Canada of hydrogen, either as

(a) an energy source for a hydrogen fuel cell vehicle of a class that is listed in the Specifications for Fuel LCA Model CI Calculations; or

(b) a fuel for a vehicle, other than a hydrogen fuel cell vehicle, of a class that is listed in the Specifications for Fuel LCA Model CI Calculations.

Number of compliance credits

(2) The number of compliance credits that the owner or operator may create under subsection (1) for a compliance period by supplying hydrogen of a particular carbon intensity to vehicles is determined by the formula

$$\mathbf{CI_{diff} \times (Q \times D) \times 10^{-6}}$$

where

CI_{diff} is the difference between the reference carbon intensity for the liquid class, as set out in item 1, column 2, of Schedule 1 and adjusted by the energy efficiency ratio of the vehicles, and the carbon intensity of the hydrogen used by those vehicles, as determined by the formula

$$\mathbf{(R_{ee} \times CI_{ref}) - CI_h}$$

where

R_{ee} is

(a) in the case of the use referred to in paragraph (1)(a), at the election of the owner or operator, 1.5 or the energy efficiency ratio for the class of the hydrogen fuel cell vehicles, as set out in the Specifications for Fuel LCA Model CI Calculations, and

(b) in the case of the use referred to in paragraph (1)(b), at the election of the owner or operator, 0.9 or the energy efficiency ratio for the class of vehicles other than hydrogen fuel cell vehicles, as set out in the Specifications for Fuel LCA Model CI Calculations,

CI_{ref} is the reference carbon intensity for the liquid class, as set out in item 1, column 2, of Schedule 1, and

CI_h is the carbon intensity of the hydrogen supplied to the vehicles that is the default carbon intensity referred to in paragraph 75(1)(a), the carbon intensity determined in accordance with paragraph 75(1)(b) or subsection 75(6), the carbon intensity that is approved under subsection 85(1) or the actual carbon intensity specified in the carbon-intensity-pathway report referred to in subsection 123(1);

Q is, subject to subsection 45(1), the quantity of the hydrogen of the particular carbon intensity that is produced using an eligible feedstock and supplied to the vehicles, as measured by a meter and expressed in kilograms; and

D is, at the election of the owner or operator, the energy density of the hydrogen, as set out in item 4, column 2, of Schedule 2 or as set out in the Specifications for Fuel LCA Model CI Calculations.

Compliance-Credit Transfer System

General

Participating registered creator

105 (1) A registered creator who is not a registered primary supplier becomes a participant in the compliance-credit transfer system as of the first day on which they create a provisional compliance credit.

Participating primary supplier

(2) A primary supplier becomes a participant in the compliance-credit transfer system as of the day on which they register as a primary supplier under subsection 10(1).

Eligibility to transfer credits

106 (1) Only a participant may transfer a compliance credit and the transfer must be to another participant.

Transfer request

(2) A participant who wishes to transfer any compliance credits to another participant must submit a transfer request to the Minister that is signed by their authorized agent and contains the following information:

(a) the name, civic address and postal address of the transferor;

(b) the name, title, civic address, postal address, telephone number and, if any, email address of the transferor's authorized agent;

(c) the name, civic address and postal address of the transferee;

(d) the name, title, civic address, postal address, telephone number and, if any, email address of the transferee's authorized agent; and

(e) with respect to any compliance credits that are to be transferred, an indication of

(i) their number,

(ii) their specific type,

(iii) the year in which they were created,

(iv) the price, if any, to be paid to the transferor by the transferee for each compliance credit, and

(v) the volume and carbon intensity of the fuel used to create the compliance credits.

Types of compliance credits

(3) The specific types of compliance credits are the following:

(a) compliance credits in respect of the liquid class that are created under paragraph 19(1)(a)

(i) by carrying out a CO_2e-emission-reduction project described in paragraph 30(d) that results in the production of a co-processed low-carbon-intensity fuel that is a gasoline replacement referred to in subsection 6(1),

(ii) by carrying out a CO_2e-emission-reduction project described in paragraph 30(d) that results in the production of a co-processed low-carbon-intensity fuel that is a diesel replacement referred to in subsection 7(1),

(iii) by carrying out a CO_2e-emission-reduction project using a generic emission-reduction quantification method established under subsection 31(1), or

(iv) by carrying out a CO_2e-emission-reduction project described in section 30, other than one described in subparagraphs (i) to (iii);

(b) compliance credits in respect of the liquid class that are created under paragraph 19(1)(b)

(i) by importing a gasoline replacement referred to in subsection 6(1),

(ii) by importing a diesel replacement referred to in subsection 7(1), or

(iii) by importing any other liquid low-carbon-intensity fuel;

(c) compliance credits in respect of the liquid class that are created under paragraph 19(1)(c)

(i) by producing a gasoline replacement referred to in subsection 6(1),

(ii) by producing a diesel replacement referred to in subsection 7(1), or

(iii) by producing any other liquid low-carbon-intensity fuel;

(d) compliance credits in respect of the liquid class that are created under paragraph 19(1)(d);

(e) compliance credits in respect of the gaseous class that are created under paragraph 20(a) by carrying out a CO_2e-emission-reduction project described in paragraph 30(d);

(f) compliance credits in respect of the gaseous class that are created under paragraph 20(b) by importing a gaseous low-carbon-intensity fuel; and

(g) compliance credits in respect of the gaseous class that are created under paragraph 20(c) by producing a gaseous low-carbon-intensity fuel.

Confirmation by transferee

(4) The authorized agent of the transferee must sign the transfer request to confirm that the information is accurate and that the transferee accepts the transfer of the compliance credits.

Transfer of credits

(5) If the transfer request submitted to the Minister meets the requirements of subsections (2) to (4), the compliance credits described in the request must be withdrawn from the transferor's account opened under paragraph 28(a) or (b), as the case may be, and deposited into the account of the transferee that was opened under the same paragraph.

Exception — registered creator

(6) However, a participant must not transfer any compliance credit to a registered creator who is not a primary supplier and who

(a) has entered into an agreement under section 21 at any time during the ongoing compliance period or the two compliance periods that ended most recently if

(i) the registered creator is no longer a party to that agreement, and

(ii) the registered creator's registration report, as updated in accordance with section 26, does not indicate that they are carrying out any of the activities referred to in subsection 19(1) or section 20; or

(b) has not created compliance credits for the two compliance periods that ended most recently.

Fair market value

107 The price paid for the transfer of a compliance credit that is created under subsection 102(1) must not be less than its fair market value.

Transfer of Compliance Credits

Transfer on creation

108 (1) A registered creator who has created provisional compliance credits under paragraph 19(1)(b) or (c) or 20(b) or (c) by producing in Canada or importing into Canada a quantity of low-carbon-intensity fuel must not transfer those provisional compliance credits to a participant who is purchasing that low-carbon-intensity fuel unless the registered creator and the transferee submit a transfer request to the Minister that is signed by the authorized agent of the registered creator as well as the authorized agent of the transferee and contains the information referred to in subsection (2).

Request to transfer — form

(2) The registered creator must indicate in the transfer request their intention to have the compliance credits that have been deposited into their account under subsection 24(1) or (2) immediately transferred to the transferee and must include the following information in the transfer request:

(a) the name, civic address and postal address of the registered creator;

(b) the name, title, civic address, postal address, telephone number and, if any, email address of the registered creator's authorized agent;

(c) the name, civic address and postal address of the transferee;

(d) the name, title, civic address, postal address, telephone number and, if any, email address of the transferee's authorized agent;

(e) the type of low-carbon-intensity fuel used to create the compliance credits;

(f) the carbon intensity of the low-carbon-intensity fuel used to create the compliance credits and any alphanumeric identifier assigned to it; and

(g) the compliance period to which the transfer relates.

Immediate transfer

109 After the Minister receives the transfer request, any compliance credits deposited by the Minister during the compliance period referred to in paragraph 108(2)(g) into the registered creator's account opened under paragraph 28(a) or (b), as the case may be, must be immediately withdrawn from that account and deposited into the transferee's account opened under the same paragraph.

Compliance-Credit Clearance Mechanism

Pledging credits to mechanism

110 (1) A participant may, in a report submitted under subsection 126(1) or 127(1), pledge to offer to transfer through the compliance-credit clearance mechanism any compliance credits that

(a) are in an account that was opened under paragraph 28(a);

(b) were created as provisional compliance credits on or before the last day of the compliance period to which the report relates; and

(c) are not suspended under section 158.

Restriction

(2) During the period beginning on the day on which a report referred to in subsection (1) is submitted and ending on the following October 31 or, if a notice is sent in accordance with subsection 111(1), ending on the day on which that notice is sent, a participant must not use a compliance credit that a participant has pledged to offer to transfer and must not transfer that compliance credit except through the compliance-credit clearance mechanism.

No clearance mechanism

111 (1) If the compliance reports submitted under subsection 127(1) for a compliance period indicate that all primary suppliers have satisfied the total reduction requirements, the Minister must, before the following August 31, send a notice to each participant who has pledged to offer to transfer compliance credits under subsection 110(1) that informs them that there will be no compliance-credit clearance mechanism for that compliance period.

No pledge to transfer credits

(2) If no participant pledges, in a report submitted under subsection 126(1) or 127(1) for a compliance period, to offer to transfer a compliance credit through the compliance-credit clearance mechanism, the Minister must, before the following August 31, send a notice to each primary supplier who has not satisfied the total reduction requirement that informs them that there will be no compliance-credit clearance mechanism for that compliance period.

Notice to participants

(3) If subsections (1) and (2) do not apply, the Minister must, before the August 31 that follows the end of the compliance period, send a notice to each participant who has pledged to offer to transfer compliance credits under subsection 110(1) and to each primary

supplier who has not yet satisfied the total reduction requirement that informs them that a compliance-credit clearance mechanism will take place for that compliance period. The notice must include the following information:

(a) the total number of compliance credits for all participants in respect of which a pledge to offer to transfer has been made under subsection 110(1);

(b) the names of all participants who have pledged to offer to transfer compliance credits under subsection 110(1); and

(c) the value of the total reduction requirement that has not been satisfied by all primary suppliers.

Transfer through clearance mechanism

112 (1) A participant must not transfer any compliance credits through the compliance-credit clearance mechanism to a primary supplier unless the transfer request referred to in subsection 106(2) has been submitted to the Minister, along with a compliance report under subsection 127(1) indicating that the primary supplier has not satisfied the total reduction requirement for the compliance period to which the report relates by using all their compliance credits in accordance with subsection 13(1), (2) or (4). The transfer of compliance credits to that primary supplier must occur during the period beginning on the August 31 that follows the end of that compliance period and ending on the following October 31.

Acquisition of compliance credits by primary supplier

(2) A primary supplier who has submitted a report under subsection 127(1) indicating that they have not satisfied the total reduction requirement for the compliance period to which the report relates by using all their compliance credits in accordance with subsection 13(1),

(2) or (4) must acquire, by transfer through the compliance-credit clearance mechanism, the number of compliance credits determined in accordance with subsection (5) for that compliance period.

Maximum price

(3) A participant who has pledged to offer to transfer a compliance credit must accept an offer to acquire the compliance credit by transfer through the compliance-credit clearance mechanism if the compliance credit is in their account and the price offered for the transfer is equal to or less than the amount determined by the formula

$$\$300 \times (CPI_A \div CPI_B)$$

where

CPI_A is the average Consumer Price Index for the calendar year to which the compliance period relates, as published by Statistics Canada under the *Statistics Act*; and

CPI_B is the average Consumer Price Index for the 12 months of the year 2022, as published by Statistics Canada under the *Statistics Act*.

Prohibition

(4) A participant who has pledged to offer to transfer a compliance credit must not accept an offer to acquire the compliance credit by transfer through the compliance-credit clearance mechanism if the amount offered for the transfer is higher than the amount determined in accordance with subsection (3).

Credits per primary supplier

(5) A primary supplier must not acquire a greater number of compliance credits by transfer through the compliance-credit clearance mechanism than the lesser of

(a) the total number of compliance credits that they require in order to satisfy the total reduction requirement as indicated in the compliance report that they submitted under subsection 127(1), and

(b) the number determined by the formula

$$C \times (R_p \div R_t)$$

where

C is the total number of compliance credits from all participants that are subject to any pledges made under subsection 110(1),

R_p is the total number of compliance credits that the primary supplier requires in order to satisfy the total reduction requirement, and

R_t is the total number of compliance credits that all primary suppliers require in order to satisfy the total reduction requirement.

Registered Emission-Reduction Funding Program

Registration

113 Subject to section 115, the Minister may register a funding program whose purpose is the reduction of CO_2e emissions

(a) on application by a person under section 114 to register the emission-reduction funding program, if the conditions set out in that section are met; or

(b) on the Minister's own initiative, if the emission-reduction funding program is established under an Act of Parliament and operates in Canada.

Application for registration

114 (1) A person who administers an emission-reduction funding program may apply to the Minister to register the program if

(a) the person is an agent of Her Majesty in right of Canada or an agent or mandatary of Her Majesty in right of a province or the person is a non-profit corporation that is established by or under a law of Canada or of a province; and

(b) the program operates in Canada.

Contents of application

(2) The application must contain the information referred to in Schedule 9 and be accompanied by an attestation, signed by the person's authorized agent, that

(a) the emission-reduction funding program will distribute contributions made to the program to the projects referred to in subsection 115(1); and

(b) the person will make publicly available, no later than the December 31 following the end of the compliance period in respect of which those contributions are made, a report containing the information referred to in section 2 of Schedule 10.

Registration — conditions

115 (1) The Minister must not register an emission-reduction funding program under section 113 unless the Minister is satisfied that all contributions made to the program will be used to fund projects that support the deployment or commercialization of technologies or processes that will reduce CO_2e emissions by

(a) December 31, 2030, in the case of a contribution made on or before December 31, 2025; and

(b) the fifth anniversary of the day on which the contribution is made, in any other case.

Factors

(2) In deciding whether to register the emission-reduction funding program, the Minister must take into consideration

(a) the program's policies, criteria or procedures for the distribution of contributions, including its policy for avoiding conflicts of interest regarding the distribution of contributions;

(b) the quality of the program's financial and management control systems, information systems and management practices; and

(c) whether the person who administers the program has failed to make publicly available, no later than the December 31 that follows the end of the compliance period during which contributions are made to the program, the information referred to in section 2 of Schedule 10.

Cancelling registration

116 The Minister must cancel the registration of an emission-reduction funding program if any of the following occurs:

(a) the Minister, taking into consideration the factors set out in subsection 115(2), is no longer satisfied that contributions made to the program are being used in accordance with subsection 115(1);

(b) the person who administers the program fails to ensure that a financial audit of the program is conducted each year and, in the case of a program registered under paragraph 113(a), fails to ensure that such an audit is conducted by an independent body;

(c) the person who administers the program fails to submit to the Minister, no later than the December 31 following the end of the compliance period during which contributions are made to the program for the purposes of subsection 13(3) or 14(3), a report with respect to the operation of the program during each compliance period that contains the information referred to in Schedule 10;

(d) the person who administers the program fails to make publicly available, no later than the December 31 following the end of the compliance period in respect of which the contributions are made to the program, the information referred to in section 2 of Schedule 10;

(e) in the case of a program registered under paragraph 113(a), the program no longer meets the conditions set out in subsection 114(1);

(f) in the case of a program registered under paragraph 113(b), the provision of the Act of Parliament referred to in that paragraph that establishes the program is repealed or the program no longer operates in Canada.

List of programs

117 The Minister must make a list of all registered emission-reduction funding programs publicly available.

Contribution to funding program

118 (1) A registered primary supplier may create compliance credits for a compliance period by contributing to a registered emission-reduction funding program during

(a) the period beginning on the January 1 that follows the end of the compliance period and ending on the following July 31; or

(b) the period beginning on the October 31 that follows the end of the compliance period and ending on the following November 30.

Receipt

(2) A primary supplier who creates compliance credits by contributing to a emission-reduction funding program must provide to the Minister, with the report they submit under section 127 or 128, as the case may be, a receipt issued by the program that establishes that they made the contribution.

Compliance credits created

(3) The number of compliance credits that the primary supplier may create under subsection (1) for a compliance period is determined by the formula

$$\mathbf{C \div P}$$

where

C is the amount of the primary supplier's contribution to the registered emission-reduction funding program; and

P is $350.

Consumer Price Index

(4) On every January 1 that follows the end of a compliance period, the amount set out in subsection (3) for P is replaced by the result determined by the following formula, rounded to the nearest dollar or, if the result is halfway between two consecutive whole numbers, to the greater of those whole numbers:

$$\mathbf{\$350 \times (CPI_A \div CPI_B)}$$

where

CPI_A is the average Consumer Price Index for the calendar year to which the compliance period relates, as published by Statistics Canada under the *Statistics Act*; and

CPI_B is the average Consumer Price Index for the 12 months of the year 2022, as published by Statistics Canada under the *Statistics Act*.

Deposit into account

(5) The number of compliance credits created by a primary supplier under subsections (1) to (4) must be deposited into their account that was opened under paragraph 28(a).

No subsequent transfer

119 (1) A primary supplier must not transfer a compliance credit that they created under subsection 118(1).

Cancellation on December 1

(2) The Minister must cancel any compliance credit created under subsection 118(1) that has not been used on the December 1 that follows its creation.

Reporting

Annual credit-creation report

120 (1) A registered creator must submit to the Minister, no later than the April 30 of the calendar year that follows the end of a compliance period, a report respecting the creation of compliance credits during that compliance period under paragraph 19(1)(a), subparagraph 19(1)(d)(i), (ii), (iv) or (v) or paragraph 20(a).

Contents of report

(2) The credit-creation report must be signed by the authorized agent of the registered creator and contain the information referred to in Schedule 11 for the compliance period to which the report relates.

June 30, 2023

(3) Despite subsection (1), the registered creator must submit the credit-creation report for the compliance period that ends on December 31, 2022 no later than June 30, 2023.

April 30, 2024 — single report

(4) The registered creator must combine the credit-creation reports required under subsection (1) for the compliance period that ends on June 30, 2023 and the compliance period that ends on December 31, 2023 into a single report and submit that report no later than April 30, 2024.

Quarterly credit-creation reports

121 (1) A registered creator must submit to the Minister within the following time limits the following reports respecting the creation of compliance credits during a compliance period under paragraph 19(1)(b) or (c), subparagraph 19(1)(d)(iii) or paragraph 20(b) or (c):

(a) no later than the June 30 of the compliance period, a report respecting the creation of compliance credits between the January 1 and the March 31 of that compliance period;

(b) no later than the September 30 of the compliance period, a report respecting the creation of compliance credits between the April 1 and the June 30 of that compliance period;

(c) no later than the December 31 of the compliance period, a report respecting the creation of compliance credits between the July 1 and the September 30 of that compliance period; and

(d) no later than the March 31 of the calendar year that follows the end of the compliance period, a report respecting the creation of compliance credits between the October 1 and the December 31 of that compliance period.

Contents of report

(2) The credit-creation report for each three-month period referred to in subsection (1) must be signed by the authorized agent of the registered creator and must contain the information referred to in Schedule 12 for the period to which the report relates.

June 30, 2023 — single report

(3) The registered creator must combine the reports required under subsection (1) for the compliance period that ends on December 31, 2022 into a single report that contains the information referred to in Schedule 12 for each three-month period referred to in that subsection and submit that report no later than June 30, 2023.

Credit-adjustment report

122 (1) A registered creator who creates compliance credits during a compliance period under paragraph 19(1)(b) or (c), subparagraph 19(1)(d)(iii) or paragraph 20(b) or (c) that are the subject of a quarterly credit-creation report submitted under section 121 must submit to the Minister, no later than the June 30 of the year that follows the end of the compliance period, a report on any adjustment of the number of compliance credits that have been deposited into the registered creator's accounts under subsection 24(1) or (2).

Contents of report

(2) The credit-adjustment report must be signed by the authorized agent of the registered creator and include the information that is set out in Schedule 13.

Non-application

(3) Subsection (1) does not apply in respect of any compliance period that ends before January 1, 2023.

Carbon-intensity-pathway report

123 (1) A registered creator, carbon-intensity contributor or foreign supplier who obtains approval of the carbon intensity of a fuel, energy source or material input under subsection 85(1) must submit to the Minister, for the compliance period during which the approval is obtained and for each compliance period that follows, a carbon-intensity-pathway report no later than the April 30 that follows the end of the compliance period.

Contents of report

(2) The carbon-intensity-pathway report must contain the information referred to in Schedule 14 for the compliance period and must be signed by the authorized agent of the registered creator, carbon-intensity contributor or foreign supplier.

Non-application

(3) Subsection (1) does not apply in respect of any compliance period that ends before January 1, 2024.

2024 compliance period

(4) Despite subsection (1), a registered creator, carbon-intensity contributor or foreign supplier who has received approval of a carbon intensity of a fuel, energy source or material input under subsection 85(1) after July 1, 2024 may, for the compliance period that ends on December 31, 2024, submit the carbon-intensity-pathway report on or before April 30, 2025.

Material balance report

124 (1) A registered creator or foreign supplier must submit a material balance report to the Minister no later than the April 30 that follows the end of each compliance period in respect of any gaseous or liquid low-carbon-intensity fuel that has a carbon intensity referred to in subsection 45(2) and was produced using a quantity of an eligible feedstock referred to in paragraph 46(1)(b) or (c).

Contents of report

(2) The material balance report must contain the information referred to in Schedule 15 for the compliance period and must be signed by the authorized agent of the registered creator or foreign supplier.

Non-application

(3) Subsection (1) does not apply in respect of any compliance period that ends before January 1, 2024.

Compliance-credit revenue report

125 (1) A registered creator who is a charging-network operator must submit to the Minister, for each compliance period, a report respecting revenue received from the transfer of compliance credits that specifies

(a) the amount of revenue received during the compliance period from the transfer of compliance credits created under subsection 102(1), no later than the July 31 that follows the end of the compliance period; and

(b) the use that they made, during the compliance period and the following two compliance periods, of the revenue referred to in paragraph (a), no later than the July 31 that follows the end of the third compliance period.

Contents of report

(2) The compliance-credit revenue report required under subsection (1) must contain the information referred to in Schedule 16 and must be signed by the authorized agent of the registered creator.

Non-application

(3) Subsection (1) does not apply in respect of any compliance period that ends before January 1, 2023.

Compliance-credit balance report

126 (1) A registered creator or a primary supplier must submit to the Minister a compliance-credit balance report no later than the August 15 that follows the end of a compliance period.

Contents of report

(2) The compliance-credit balance report must contain the information referred to in Schedule 17 with respect to compliance credits in the registered creator's or primary supplier's accounts on the day on which the report is submitted and must be signed by the authorized agent of the registered creator or primary supplier, as the case may be.

Non-application

(3) Subsection (1) does not apply in respect of any compliance period that ends before January 1, 2023.

Compliance report

127 (1) A registered primary supplier must, no later than the July 31 that follows the end of each compliance period, submit a report to the Minister with respect to their compliance for the compliance period with the volumetric requirements set out in subsections 6(1) and 7(1) and the total reduction requirement.

Contents of report

(2) The compliance report must contain the information referred to in Schedule 18 for the compliance period and be signed by the authorized agent of the primary supplier.

Non-application

(3) Subsection (1) does not apply in respect of any compliance period that ends before July 1, 2023.

Complementary compliance report

128 (1) A registered primary supplier who, by the July 31 that follows the end of a compliance period, has not satisfied the total reduction requirement must submit to the Minister a complementary compliance report no later than the December 15 that follows the end of the compliance period.

Contents of report

(2) The complementary compliance report must contain the information referred to in Schedule 19 for the compliance period and must be signed by the authorized agent of the primary supplier.

Non-application

(3) Subsection (1) does not apply in respect of any compliance period that ends before July 1, 2023.

Verification

Obligation to Verify

Condition of eligibility — reports and applications

129 A report or application that is referred to in either section 130 or 131 is ineligible if it is not verified in accordance with the requirements set out in sections 132 to 154.

Verification of applications

130 (1) A person who makes either of the following applications must have the application verified by a verification body and must submit the verification report prepared by the body with that application:

(a) an application made under subsection 80(1) in respect of a carbon intensity determined in accordance with any of sections 76 to 79; or

(b) an application made under subsection 91(1) for the temporary approval of a carbon intensity.

Non-application

(2) Subsection (1) does not apply in respect of an application made before June 30, 2024.

Verification of reports

131 (1) A person who is required to submit a report under any of section 120, subsection 121(3) and sections 122 to 125 and 127 and 128 must have it verified by a verification body and obtain a verification report prepared by the body.

Exception

(2) However, a report is not required to be verified if,

(a) in the case of a report submitted under section 120, subsection 121(3) or section 122, no compliance credits were created during the compliance period to which the report relates; or

(b) in the case of a report submitted under section 125, no revenue was created from the transfer of compliance credits during the compliance period to which the report relates or the two preceding compliance periods.

Submission of verification report

(3) The person referred to in subsection (1) must submit the verification report to the Minister together with the report to which it relates.

Declarations

132 A person who is having either of the following reports verified must submit a copy of all the declarations referred to in paragraph 57(2)(a) to the verification body:

(a) a report submitted under section 120, 121 or 122 that indicates that compliance credits were created by the carrying out of a CO_2e-emission-reduction project described in paragraph 30(d) or under any of sections 94 to 96, 99, 100 and 104, as the case may be, by the production in Canada or import into Canada of a low-carbon-intensity fuel after December 31, 2022; or

(b) a report submitted under section 124.

Contents of verification report

133 The verification report must contain the information referred to in Schedule 20.

Management system and processes

134 The books and records related to a verification that must be retained in accordance with subsection 166(2) include any that

(a) support the information contained in the application or the report being verified and allow that information to be recreated;

(b) demonstrate that the application or the report being verified meets the requirements of these Regulations;

(c) contain information that relates to the functioning of the verification body's management system and processes and its compliance with that system and those processes during the period during which the verification was being conducted;

(d) contain information with respect to the members of the team that conducted the verification and the role that each member performed with respect to the verification; or

(e) describe the scope of the verification.

Submission of all reports

135 A person who makes an application or submits a report that is the subject of a verification report, including in the case where the verification results in the disclaimer that is referred to in paragraph 154(d), must submit to the Minister all verification reports that they have previously obtained with respect to the application or the report.

Monitoring plan

136 (1) A person who is having an application or a report verified must prepare a monitoring plan, keep it up to date and submit it with the application or the report to the verification body.

Contents of plan

(2) The monitoring plan must contain the information referred to in Schedule 21.

Requirements Respecting Verification Bodies

Accredited body

137 The verification of an application or a report must be conducted by an accredited verification body whose accreditation is neither suspended nor revoked.

Eligibility conditions for accreditation

138 (1) A person is eligible to be accredited as a verification body by the Standards Council of Canada, the ANSI National Accreditation Board or a designated accreditation body, if the person

(a) meets the requirements set out in International Standard ISO/IEC 17029, entitled *Conformity assessment — General principles and requirements for validation and verification bodies* and International Standard ISO 14065, entitled *General principles and requirements for bodies validating and verifying environmental information*, both of which are published by the International Organization for Standardization;

(b) meets any requirements set out in Part 1 of the Methods for Verification and Certification; and

(c) employs a verification team that meets the requirements set out in International Standard ISO 14066, entitled *Greenhouse gases — Competence requirements for greenhouse gas validation teams and verification teams*, published by the International Organization for Standardization.

Designation of accreditation body

(2) The Minister may designate an accreditation body as a designated accreditation body referred to in subsection (1) if it is a member of the International Accreditation Forum and meets the requirements set out in ISO/IEC Standard 17011.

Independent reviewer

139 For the purposes of subclause 9.6 of the Standards referred to in paragraph 138(1)(a), the person who conducts the review must be an independent reviewer who

(a) has, at a minimum, the same competencies as those of a team leader, as set out in subclause 7.3.9 of ISO Standard 14065 referred to in that paragraph; and

(b) is an employee of the verification body.

Technical accreditation

140 (1) A verification must be conducted by a verification body that is accredited, in accordance with section 138, as a verification body that is competent in any of the following areas that are applicable to the application or the report being verified:

(a) the production, import, distribution and delivery of fossil fuels, including hydrogen that is produced from such fuels;

(b) the production, import, distribution and delivery of low-carbon-intensity fuels, other than hydrogen;

(c) the production and distribution of electricity and any transactions related to electricity;

(d) the production, import, distribution and delivery of hydrogen from renewable sources.

Definition of *distribution*

(2) For the purposes of subsection (1), ***distribution*** includes distribution at a fuelling station.

Team leader

141 (1) Each verification must be conducted by a team that includes a team leader who is an employee of the verification body.

Mandatory team members

(2) Each verification must be conducted by a team that includes

(a) in the case of the verification of an application or report that relates to low-carbon-intensity fuel that is produced using an eligible feedstock referred to in paragraph 46(1)(c),

(i) a specialist in forestry or agriculture, as the case may be, who is recognized as a forestry engineer, professional forester, agricultural engineer or agrologist by

(A) a Canadian professional association, in the case of forestry or agriculture that occurs in Canada, or

(B) a relevant national authority of the country in which the forestry or agriculture occurs, in any other case, or

(ii) a specialist in biodiversity who holds a bachelor's degree in biology, natural sciences or environmental sciences granted by a Canadian university, or an equivalent degree granted by a university outside Canada;

(b) in the case of the verification of an application or report that relates to the sequestration of CO_2e emissions in geological land formations, whether or not those emissions are used to enhance oil recovery, a specialist in geological carbon storage who is recognized as a geologist by

(i) a relevant Canadian professional order of geologists, in the case of sequestration in Canada, or

(ii) a relevant national authority of the country in which the sequestration or use occurs, in any other case;

(c) in the case of the verification of an application referred to in section 130 or a carbon-intensity pathway report submitted under section 123, a specialist life-cycle assessment critical reviewer who

(i) has knowledge of the requirements set out in ISO Standard 14040 and ISO Standard 14044 with respect to life-cycle assessment and set out in Technical Specification ISO/TS 14071, entitled *Environmental management — Life cycle assessment — Critical review processes and reviewer competencies: Additional requirements and guidelines to ISO 14044:2006*, published by the International Organization for Standardization,

(ii) has knowledge of

(A) the Specifications for Fuel LCA Model CI Calculations and current practices with respect to the life-cycle assessment,

(B) the creation and review of life-cycle assessment data sets,

(C) the critical review of life-cycle assessments,

(D) all scientific disciplines relevant to life-cycle assessment,

(E) the relevant performance aspects of the product system that is being assessed, including environmental and technical performance aspects,

(iii) has conducted at least two life-cycle assessments, and

(iv) within the preceding 10 years, has conducted at least one critical review of a life-cycle assessment as an internal expert, or at least two critical reviews of a life-cycle assessment as an external expert; and

(d) in the case of the verification of a report submitted under section 125, 127 or 128, a specialist in financial accounting who

(i) has credentials that are recognized by a competent Canadian professional order of accountants, and

(ii) has knowledge of the accounting basis used for the entity that they are auditing and is proficient in the application of that accounting basis.

Definition of *specialist*

(3) For the purposes of paragraphs (2)(a) to (d), ***specialist*** means an individual with at least four years of work experience, acquired over the most recent 10 years, in the field of the specialization.

Subcontract — conditions

142 (1) Any activities that are conducted as part of the verification of an application or a report, other than those conducted by a team leader referred to in subsection 141(1) and by an independent reviewer referred to in section 139, may be subcontracted to another person if

(a) that other person has entered into a written contract with the verification body to conduct those activities;

(b) that other person has entered into a written confidentiality agreement with respect to information obtained during the conduct of those activities; and

(c) the verification body has put in place processes that permit it to evaluate the work of that other person.

Applicable requirements

(2) Subsections 141(2) and (3) and sections 145 to 153 apply in respect of any activities subcontracted to another person under subsection (1).

Outsourcing of verification — conditions

143 (1) Any activities that are carried out as part of the verification of an application or report, or any part of those activities, may be outsourced to any other verification body that is accredited in accordance with section 138 if

(a) the total number of hours of work performed by other verification bodies in carrying out the outsourced activities, in proportion to the total number of hours of work performed for the

purposes of the verification, does not exceed the percentage specified in the Methods for Verification and Certification;

(b) the verification body has entered into a written contract with any verification body to which those activities are outsourced;

(c) any verification body to which those activities are outsourced is accredited as competent in the areas referred to in subsection 140(1) that are applicable to the application or report being verified;

(d) the verification report is prepared in accordance with section 133 by the verification body that is outsourcing those activities; and

(e) the verification body that is outsourcing those activities remains responsible for ensuring that the verification is carried out in full, including any outsourced activities.

Applicable requirements

(2) Section 137, subsections 138(1) and (2), section 140, subsections 141(2) and (3) and sections 145 to 153 apply in respect of any activities that are outsourced to another verification body.

Other verification report

144 A verification report that was prepared by another verification body may be relied on for the purposes of a new verification if

(a) the number of hours of work performed by the other verification body, in proportion to the total number of hours of work performed for the purposes of the new verification, does not exceed the percentage specified in the Methods for Verification and Certification;

(b) the verification body that relies on the other verification body's verification report prepares the new verification report in accordance with section 133;

(c) the verification body that relies on the other verification body's verification report remains responsible for the entirety of the new verification report, including the opinion referred to in section 154; and

(d) the other verification body's verification was conducted in accordance with the applicable requirements of these Regulations.

Conflicts of interest

145 (1) A person who carries out any verification activities with respect to an application or report or who acts as an independent reviewer of a verification must be independent of

(a) the employees of the federal public administration who administer or implement these Regulations or carry out any related activities; and

(b) the person who is making the application or is required to submit the report.

Informing Minister of conflict

(2) Before a verification body begins the verification of an application or report, the person who is making the application or is required to submit the report must inform the Minister of whether a conflict of interest exists between them or any employee referred to in paragraph (1)(a) and any individual who will conduct the verification or act as the independent reviewer.

Discovery of conflict

(3) If the verification body discovers a conflict of interest, it must inform the Minister within five days after the day on which it discovers it.

Measures taken to manage conflict

(4) A person or verification body that informs the Minister of a conflict of interest under subsection (2) or (3) must provide a description of the conflict of interest and the measures that will be taken to manage it.

No work without decision by Minister

146 (1) If a conflict of interest has been discovered, the person who has the conflict of interest must not conduct any verification work and the verification must not be the subject of an independent review, unless the Minister decides that the measures taken under subsection 145(4) will effectively manage the conflict.

Decision within 20 days

(2) The Minister must inform the person who is making the application or is required to submit the report of the Minister's decision within 20 days after the day on which the Minister is informed of the conflict of interest.

Five consecutive verifications

147 (1) An individual who acts as an independent reviewer with respect to the verification of an application or a report or who carries out any verification activities for the person who is making the application or submitting the report must not act as an independent reviewer or carry out any verification activities for that same person with respect to the same type of application or report for more than five consecutive compliance periods.

Three compliance periods

(2) An individual who, for five consecutive compliance periods, has acted as an independent reviewer with respect to the verification of an application or a report or carried out verification activities for the person who made the application or submitted the report must not act as an independent reviewer or carry out verification activities for that

same person for three consecutive compliance periods beginning on the day on which the most recent verification report was submitted to the Minister.

Limitation — five compliance periods

(3) A person who has made an application or submitted a report must not act as an independent reviewer with respect to the verification of the same type of application or a report or carry out verification activities for the same type of application or report unless five compliance periods have elapsed between the day on which they made the application or submitted the report and the day on which the independent review or the verification, as the case may be, begins.

Employees of federal public administration

(4) An employee of the federal public administration who administers or implements these Regulations or carries out any related activities must not carry out any activity that is part of a verification of an application or report or an independent review of a verification, unless five compliance periods have elapsed between the day on which their employment ends and the day on which the independent review or the verification, as the case may be, begins.

Verification of reports related to applications

(5) An individual must not carry out verification activities for a report submitted under any of sections 120 to 123 or act as an independent reviewer with respect to the verification of such a report if, during the five preceding years, they carried out verification activities, or acted as the independent reviewer, with respect to an application made under subsection 80(1) or 91(1) for the approval of a carbon intensity that is referred to in the report.

Verification of certain reports

(6) An individual who carried out verification activities for a report that was submitted under section 123 or acted as an independent reviewer with respect to the verification of such a report must not, during the same compliance period, act as an independent reviewer or carry out verification activities with respect to a report that was submitted under section 120, 121 or 122 if the report was submitted by the same person who submitted the report under section 123 and it relates to the same carbon intensity.

Applicable Standards

Verification of application and report

148 (1) The verification of an application or report must be conducted by a verification body in accordance with

(a) ISO Standard 14064-3:2019, at a reasonable level of assurance; and

(b) the Methods for Verification and Certification.

Audit of financial information

(2) The verification of an application or a report that includes any financial information must include an audit of the information that is conducted in accordance with Canadian auditing standards, the primary source of which is the *CPA Canada Handbook – Assurance*, at a reasonable level of assurance.

Critical review

(3) The verification of an application referred to section 130 or report submitted under section 123 that includes any information relating to the life cycle of a fuel must include a critical review of the life-cycle assessment that is conducted in accordance with ISO Standard 14044.

Criteria

149 For the purposes of ISO Standard 14064-3:2019, a reference to "criteria" in subclause 3.6.10 of that Standard is to be read as

(a) in the case of an audit of financial information referred to in subsection 148(2), the *International Financial Reporting Standards*, published by the International Accounting Standards Board, or the *Accounting Standards for Private Enterprises*, published by the Accounting Standards Board;

(b) in the case of a critical review of a life-cycle assessment referred to in subsection 148(3), ISO Standard 14044; and

(c) in any other case, a reference to these Regulations and the applicable emission-reduction quantification method established under subsection 31(1) or 32(1).

Materiality quantitative threshold

150 For the purposes of subclause 5.1.7 of ISO Standard 14064-3:2019, the quantitative materiality thresholds are equal to,

(a) in the case of a carbon intensity,

(i) 1 gCO_2e/MJ, if the absolute value of the carbon intensity is less than 20 gCO_2e/MJ,

(ii) 5%, if the absolute value of the carbon intensity is between 20 and 100 gCO_2e/MJ, and

(iii) 5 gCO_2e/MJ, if the absolute value of the carbon intensity is greater than 100 gCO_2e/MJ; and

(b) in any other case, 5%.

Material qualitative misstatements

151 The verification body must assess any qualitative misstatements contained in an application or report to determine if they are material qualitative misstatements.

Site visits

152 (1) In addition to meeting the requirements set out in ISO Standard 14064-3:2019 in relation to site visits, the verification of an application or a report must include,

(a) in the case of a verification of an application or a report that relates to no more than five sites, a visit by the verification body to each site at least once every five years after the first site visit; and

(b) in the case of the verification of an application or report that relates to more than five sites, a visit by the verification body to each material site if there is a high risk of misreporting and the likely cause of any misreporting is at the site and if remote evidence-gathering activities would not reduce the risk to a reasonable level.

Interpretation of ISO Standard 14064-3:2019

(2) For the purposes of ISO Standard 14064-3:2019, a reference to a "site" in subclause 3.6.13 of that Standard is to be read as a reference to

(a) the facility at which a fuel, material input or energy source is produced;

(b) the location where a CO_2e-emission-reduction project described in section 30 is carried out;

(c) the location where a feedstock used to produce a low-carbon-intensity fuel is harvested;

(d) the point of import into Canada of a low-carbon-intensity fuel;

(e) a charging station or fuelling station; or

(f) the location of a centralized computer data management system that relates to an application or report.

Aggregate quantitative misstatements

153 (1) Any quantitative misstatements in an application or report, other than those that are negligible, must be aggregated to determine their overall effect on the information in the application or report.

Negligible quantitative misstatement

(2) For the purposes of subsection (1), a quantitative misstatement is considered negligible if its value is less than 5% of the applicable materiality quantitative threshold referred to in section 150.

Material quantitative misstatement

(3) The aggregate value of quantitative misstatements in an application or a report is considered to be material when the result determined by the following formula is greater than the applicable materiality quantitative threshold referred to in section 150:

$$(A \div B) \times 100$$

where

A is the aggregate value of the quantitative misstatements in the application or report; and

B is the absolute corrected value of quantitative misstatements, as determined by the verification body based on the data that, in the opinion of the verification body, should have been used to calculate those values in the application or report.

Opinion

154 The verification of an application or report must result in

(a) an unqualified opinion, if the verification body finds that the application or report does not contain any material misstatements and was prepared in accordance with these Regulations;

(b) a qualified opinion, if the verification body finds that the application or report contains one or more misstatements that are not material or finds that there is not sufficient evidence to

establish whether the misstatements are material but that their effect on the application or report is not material;

(c) an adverse opinion, if the verification body finds that the application or report does not present a true and fair view in all material aspects or does not meet the criteria referred to in section 149; or

(d) the disclaimer of the verification, if the verification body finds that it does not have sufficient information or evidence to reach a decision.

Excess Compliance Credits

Export — request for cancellation and report

155 (1) If compliance credits are created by the production in Canada or import into Canada of a low-carbon-intensity fuel that is subsequently exported, the following persons must request the cancellation of the compliance credits and report the export of the fuel to the Minister:

(a) in the case where the fuel is exported by a primary supplier or registered creator, the primary supplier or registered creator who exported the fuel;

(b) in the case where the compliance credits have been the subject of a transfer request referred to in section 108 and the fuel is exported by a person who is not a primary supplier or registered creator, the primary supplier or registered creator who received the fuel from the registered creator who created those compliance credits; or

(c) in any other case, the registered creator who created the compliance credits as provisional compliance credits.

Cancellation request in report

(2) The request for the cancellation of the compliance credits must be included in the following:

(a) if the cancellation request is made by a registered creator, the report that they submit under section 122; or

(b) if the cancellation request is made by a primary supplier who is not a registered creator, the report that they submit under section 127.

Credit-creation report

(3) In the annual credit-creation report that a registered creator submits under section 120 respecting the creation of provisional compliance credits during a compliance period, the registered creator must subtract the following from those credits:

(a) the compliance credits created from the production in Canada or import into Canada of a low-carbon-intensity fuel under section 19 or 20 that is subsequently exported; or

(b) the number of compliance credits determined in accordance with subsection 88(2) or 90(2).

Re-submission of report

156 A registered creator must, within 60 days after the day on which they learn of an error made in a report that they submitted under these Regulations, other than a report submitted under section 121, if the error exceeds the significance threshold provided in the Methods for Verification and Certification, submit to the Minister

(a) an updated report in which the error has been corrected; and

(b) an updated verification report that contains a verification statement with respect to the corrected version of the report.

Notice of error

157 A registered creator must, within five days after the day on which they learn of an error made in a report that they submitted under subsection 120(1) or 122(1) that resulted in the deposit of a number of compliance credits into one of their accounts opened under section 28 that is greater than the number that should have been deposited, send a notice of that error to the Minister that indicates

(a) the name of the report that contains the error and the date on which it was submitted;

(b) the provisions of Schedule 11 or 13 to which the error relates and the nature of the error;

(c) the difference between the number of compliance credits that were deposited and the number that should have been deposited; and

(d) whether the account into which the compliance credits were deposited is a liquid-fuel-compliance-credit account opened under paragraph 28(a) or a gaseous-fuel-compliance-credit account opened under paragraph 28(b).

Suspension of excess compliance credits

158 (1) Subject to subsection (2), if the Minister has reason to believe, following the submission of a report by a registered creator or primary supplier under section 120, subsection 121(3) or sections 122 or 127, or following the submission of the form referred to in section 171, that excess compliance credits have been created, the Minister may suspend the excess compliance credits that are in any of the accounts of the registered creator or primary supplier.

Export

(2) If the Minister has reason to believe, following the submission of a report by a registered creator under section 120 or 122 or a primary supplier under section 127, that excess compliance credits have been

created by the production in Canada or the import into Canada of a low-carbon-intensity fuel that is subsequently exported, the Minister may suspend the excess compliance credits that are in the account of

(a) the primary supplier or registered creator who exported the fuel, in the case where it was exported by a primary supplier or registered creator;

(b) the primary supplier or registered creator who acquired the fuel from the registered creator who created the compliance credits, in the case where it was the subject of a transfer request referred to in section 108 and was exported by a person who is not a primary supplier or registered creator; or

(c) the registered creator who created the compliance credits as provisional compliance credits, in any other case.

Suspension of equivalent compliance credits

(3) If any number of the excess compliance credits are not in the accounts referred to in subsections (1) and (2), the Minister may suspend the same number of equivalent compliance credits that are in the accounts or subsequently deposited into the accounts.

Notice of suspension

(4) When the Minister suspends, under subsection (1) or (2), excess compliance credits that are in an account or suspends, for the first time, equivalent compliance credits under subsection (3), the Minister must send a notice to the account holder.

Contents of notice

(5) The notice must include

(a) the report in which the Minister has reason to believe that an error exists;

(b) an indication of the provisions of Schedule 11, 12, 13 or 18, or the provisions of the form referred to in section 171, to which the error relates as well as the nature of the error;

(c) an indication of the account into which the excess compliance credits were deposited;

(d) an indication of the number of excess compliance credits that are to be cancelled;

(e) an indication of the number of compliance credits, if any, that are suspended under subsection (1) or (2);

(f) an indication of the number of equivalent compliance credits, if any, that are suspended under subsection (3) and the compliance period in which they were created;

(g) an indication of whether the suspended compliance credits are in a liquid-fuel-compliance-credit account opened under paragraph 28(a) or a gaseous-fuel-compliance-credit account opened under paragraph 28(b); and

(h) a statement that the Minister will suspend any additional equivalent compliance credits until the number of compliance credits that are suspended is equal to the number of excess compliance credits.

No use or transfer

(6) Beginning on the day on which the notice referred to in subsection (4) is received by the account holder and ending on the day on which the suspension is lifted, the account holder must not use suspended compliance credits to comply with the total reduction requirement or a volumetric requirement set out in subsection 6(1) or 7(1) and must not transfer suspended compliance credits under section 106 or 112.

Lifting of suspension

159 If an additional review by the Minister confirms that excess compliance credits were not created, the Minister must lift the suspension of the compliance credits.

Cancellation of excess credits

160 (1) In the following circumstances, the Minister must cancel the excess compliance credits, or the equivalent number of compliance credits, that are in an account referred to in subsection 158(1) or (2):

(a) a person makes a request referred to in subsection 155(1) for the cancellation of compliance credits;

(b) a registered creator sends a notice to the Minister in accordance with section 157; or

(c) after the Minister has suspended compliance credits under subsection 158(1) or (2), an additional review by the Minister confirms that excess compliance credits were created.

Insufficient number of equivalent credits

(2) If the number of excess compliance credits or equivalent compliance credits that are to be cancelled under subsection (1) is greater than the number of such compliance credits in the account, the Minister must send a notice to the account holder that indicates the number of compliance credits that are missing.

Obligation to balance credits

(3) The account holder must, no later than 90 days after the day on which they receive the notice,

(a) ensure that the number of equivalent compliance credits in the account is equal to the number of compliance credits that are missing; and

(b) request that the Minister cancel the equivalent compliance credits.

Cancellation of missing compliance credits

(4) On receipt of the request referred to in paragraph (3)(b), the Minister must cancel the equivalent compliance credits.

Measurement, Electronic Reporting and Records

Measurement

Requirements

161 (1) Subject to subsections (2) and (3), a person who is required by these Regulations to record any volume or quantity must determine that volume or quantity

(a) by using one or more measurement devices that meet the requirements of the *Weights and Measures Act* and the regulations made under that Act;

(b) in accordance with a measurement standard or method that is appropriate for the determination and cited in the *Manual of Petroleum Measurement Standards*, published by the American Petroleum Institute; or

(c) in accordance with any applicable emission-reduction quantification method established under subsection 31(1) or 32(1).

Non-application

(2) If there is no measurement device, standard or method referred to in subsection (1) that would allow the person to determine the volume or quantity in accordance with that subsection, the person must record the volume or quantity as accurately determined by another person who is independent of them and record the following information obtained from the other person:

(a) their name, civic address, postal address, telephone number and, if any, email address;

(b) the volume, expressed in cubic metres, or the quantity, expressed in kilograms for solids, in cubic metres for liquid, in cubic metres or kilograms for gas and in kilowatt-hours for electricity, and an indication of the fuel in question;

(c) the date on which and the location where the determination was made; and

(d) the measurement device, standard or method used to determine the volume or quantity.

Volumetric correction

(3) Unless otherwise specified by a provision of these Regulations, a person who determines a volume in accordance with subsection (1) must correct the volume to standard conditions. However, a person who imports into Canada a volume of fuel may correct its volume to a temperature of 15.6°C (59°F), if the person records the correction.

Biogas energy density

162 (1) A measurement of the energy density of biogas may be carried out in accordance with the fuel heat content monitoring requirements set out in section 2.D.3 of the document entitled *Canada's Greenhouse Gas Quantification Requirements / Greenhouse Gas Reporting Program*, published by the Minister, and must be corrected to standard conditions.

Minimum sampling

(2) A primary supplier must conduct the sampling of biogas at least once every month.

Determination of energy density

(3) The weighted average of the energy density of biogas for a compliance period must be determined based on the measurement of energy density weighted by the volume of biogas produced.

Rounding

163 (1) Unless otherwise specified by a provision of these Regulations, a person who performs a calculation or submits a report under these Regulations must round the result of the calculation or all values in the report, as the case may be, in accordance with the rounding procedures set out in International Standard ASTM E29-22, entitled *Standard Practice for Using Significant Digits in Test Data to Determine Conformance with Specifications*, published by ASTM International.

Tonnes of CO_2e

(2) A primary supplier must round the result of a calculation made under section 9 to the nearest whole tonne of CO_2e or, if the result is halfway between two consecutive whole numbers, to the greater of those whole numbers.

Approved carbon intensity

(3) A registered creator, carbon-intensity contributor or foreign supplier must round a carbon intensity approved by the Minister under subsection 85(1) to the nearest whole number or, if the result is halfway between two consecutive whole numbers, to the greater of those whole numbers.

Compliance credits

(4) A number of compliance credits created under a provision of these Regulations must be rounded to the nearest whole number or, if the result is halfway between two consecutive whole numbers, to the greater of those whole numbers.

Electronic Reporting

Electronic submission — report or notice

164 (1) A person who is required by these Regulations to submit a report or send a notice to the Minister must do so electronically in the form specified by the Minister and the report or notice must bear the

signature of the person's authorized agent.

Paper report or notice

(2) If the Minister has not specified an electronic form or it is impractical for the person to submit the report or send the notice electronically because of circumstances beyond their control, the person must submit or send a paper version of the report or notice, signed by their authorized agent, in the form specified by the Minister or, if no form has been specified, in any reasonable form.

Calculation of carbon intensity

(3) A person who submits a calculation of a carbon intensity to the Minister must submit it electronically in the form specified by the Minister or, if no form has been specified, in any reasonable form.

Recording and Retention of Information

When records are made

165 Except as otherwise provided in these Regulations, any person who is required to record information must record it within 30 days after the day on which it becomes available.

Retention of information

166 (1) A person who is required by these Regulations to record information or keep it up to date, submit a report or plan or send a notice must retain a record of the information or copy of the report, plan or notice, as the case may be, as well as any supporting documents, for a period of 10 years after the day on which the information is recorded or updated, the report or plan is submitted or the notice is sent, as the case may be.

Verification or certification body

(2) A verification body or certification body must, in accordance with the Methods for Verification and Certification, retain the books and records that they have verified or certified, or a copy of those books and records, for a period of 10 years after the day on which they are verified or certified.

Emission-reduction projects

(3) A person who is required to retain any information and documents, including reports, plans, notices and supporting documents, that relate to a CO_2e-emission-reduction project referred to in paragraph 19(1)(a) or 20(a) must retain the information and documents for a period of 10 years after the day on which the carrying out of the project ceases to create compliance credits.

Location of records

(4) A foreign supplier, primary supplier, carbon-intensity contributor or registered creator who is required under subsection (1) or (3) to retain any information or documents, including supporting documents, must keep the information and documents at their principal place of business in Canada or at another place in Canada where they may be inspected, in which case the foreign supplier, primary supplier, carbon-intensity contributor or registered creator must provide the Minister with the civic address of that other place.

Exception

(5) Despite subsection (4), a registered creator who carries out a CO_2e-emission-reduction project outside Canada or a foreign supplier or carbon-intensity contributor who is outside Canada may keep the information and documents referred to in that subsection at their principal place of business outside Canada, in which case they must provide the Minister with the civic address of that place.

Records related to compliance units

167 (1) A primary supplier who, on December 31, 2022, is required by section 38 of the *Renewable Fuels Regulations* to keep a record, a copy of a report or notice or a supporting document that is related to a gasoline compliance unit referred to in subsection 169(1) of these Regulations or a distillate compliance unit referred to in subsection 170(1) of these Regulations must keep those documents until March 31, 2033.

Other records

(2) A primary supplier who, on December 31, 2023, is required by section 38 of the *Renewable Fuels Regulations* to keep a record, a copy of a report or notice or a supporting document, other than one referred to in subsection (1), must keep those documents for 10 years after the day on which they make the record or submit or send the report or notice, as the case may be.

Location of records

(3) A primary supplier who is required under subsection (1) or (2) to keep any records, copies or supporting documents must keep them at their principal place of business in Canada, or at another place in Canada where they may be inspected, in which case the primary supplier must provide the Minister with the civic address of that other place.

Information requested by Minister

168 A person who is required to record any information must, on the Minister's request, provide a copy of the record to the Minister.

Transitional Provisions

Gasoline compliance units

169 (1) If, on April 30, 2024, a primary supplier owns gasoline compliance units under the *Renewable Fuels Regulations*, the number of compliance credits that is determined by the following formula must be deposited into their account that was opened under paragraph 28(a) of these Regulations:

$$\mathbf{CI_{diff} \times (GCU \times D) \times 10^{-9}}$$

where

CI_{diff} is the difference between 59 g/MJ and the reference carbon intensity for the liquid class, as set out in item 1, column 2, of Schedule 1 to these Regulations;

GCU is the number of gasoline compliance units that the primary supplier owned at the end of the trading period established by the *Renewable Fuels Regulations* for the 2022 compliance period; and

D is 23 419 MJ/m^3.

Volumetric requirement

(2) For the purposes of subsection 12(1), each compliance credit deposited under subsection (1) is deemed to have been created under paragraph 19(1)(b) or (c) by producing in Canada or importing into Canada an equivalent volume of low-carbon-intensity fuel that is ethanol.

Distillate compliance units

170 (1) If, on April 30, 2024, a primary supplier owns distillate compliance units under the *Renewable Fuels Regulations*, the number of compliance credits that is determined by the following formula must be deposited into their account that was opened under paragraph 28(a) of these Regulations:

$$\mathbf{CI_{diff} \times (DCU \times D) \times 10^{-9}}$$

where

CI_{diff} is the difference between 35 g/MJ and the reference carbon intensity for the liquid class, as set out in item 1, column 2, of Schedule 1 to these Regulations;

DCU is the number of distillate compliance units that the primary supplier owned at the end of the trading period established by the *Renewable Fuels Regulations* for the 2022 compliance period; and

D is 35 057 MJ/m^3.

Volumetric requirement

(2) For the purposes of subsection12(2), each compliance credit deposited under subsection (1) is deemed to have been created under paragraph 19(1)(b) or (c) by producing in Canada or importing into Canada an equivalent volume of a diesel replacement.

Request for deposit of credits

171 A primary supplier may request the deposit of compliance credits into their account in accordance with section 169 or 170 of these Regulations by providing a form to the Minister, no later than April 30, 2024, that is signed by their authorized agent and contains the following information:

(a) the number of gasoline compliance units that the primary supplier owned at the end of the trading period established by the *Renewable Fuels Regulations* for the 2022 compliance period;

(b) the number of distillate compliance units that the primary supplier owned at the end of the trading period established by the *Renewable Fuels Regulations* for the 2022 compliance period; and

(c) the number of compliance credits that will be deposited into their account that was opened under paragraph 28(a) of these Regulations.

Consequential Amendments

Renewable Fuels Regulations

172 [Amendments]

Environmental Violations Administrative Monetary Penalties Regulations

173 [Amendments]

174 [Amendments]

Repeal

Repeal

175 The *Renewable Fuels Regulations*[3] are repealed.

[3] SOR/2010-189

Coming into Force

Registration

176 (1) Subject to subsection (2), these Regulations come into force on the day on which they are registered.

September 30, 2024

(2) Sections 173 and 175 come into force on September 30, 2024.

SCHEDULE 1

(Subsections 1(1) and (2), 94(2), 95(4), 98(2), 99(3) and (4), 100(2), 101(2), 102(2), 104(2), 169(1) and 170(1))

Reference Carbon Intensity

	Column 1	Column 2							
		Reference Carbon Intensity (gCO_2e/MJ)							
Item	Fuel	2022	2023	2024	2025	2026	2027	2028	2029	2030 and after
1	Liquid class	89.2	89.2	87.9	86.6	85.3	84.0	82.7	81.4	80.1
2	Biogas, renewable natural gas or hydrogen	67.8	67.8	67.8	67.8	67.8	67.8	67.8	67.8	67.8
3	Renewable propane or co-processed low-carbon-intensity propane	75.4	75.4	75.4	75.4	75.4	75.4	75.4	75.4	75.4

SCHEDULE 2

(Section 9 and subsections 94(2), 95(3) and (4), 96(2), 98(2), 99(3) and (4), 100(2) and 104(2) and Schedules 11, 12 and 13)

Energy Density of Fuels

	Column 1	Column 2	Column 3
Item	Fuel or Energy Source	Energy Density	Measurement Unit
1	Biogas	18.57	MJ/m^3
2	Renewable natural gas	38	MJ/m^3
3	Compressed natural gas	38	MJ/m^3
4	Hydrogen	141.8	MJ/kg
5	Ethanol	23 419	MJ/m^3
6	Liquefied natural gas	55.21	MJ/kg
7	Renewable propane (in the liquid state)	25 310	MJ/m^3
8	Propane (in the liquid state)	25 310	MJ/m^3
9	Gasoline	34 690	MJ/m^3

	Column 1	Column 2	Column 3
Item	Fuel or Energy Source	Energy Density	Measurement Unit
10	Hydrogenation-derived renewable diesel	34 921	MJ/m^3
11	Biodiesel	35 183	MJ/m^3
12	Low-carbon-intensity fuel suitable for use in aviation	37 400	MJ/m^3
13	Diesel	38 650	MJ/m^3

SCHEDULE 3

(Paragraph 1(4)(o) and subsections 10(1) and (3) and 25(1) and section 26)

Contents of Registration Report

1 The following information with respect to the primary supplier or registered creator, as the case may be:

(a) their name, civic address, postal address, telephone number and, if any, email address;

(b) their business number, if any;

(c) the name, title, civic address, postal address, telephone number and, if any, email address of their authorized agent; and

(d) the name, title, civic address, postal address, telephone number and, if any, email address of a contact person, unless the contact person is the authorized agent.

2 The following information with respect to each facility at which the primary supplier produces gasoline or diesel:

(a) the name, GPS coordinates to the fifth decimal place and, if any, civic address of the facility; and

(b) whether it is gasoline or diesel that is produced at the facility.

3 The following information with respect to each province into which the primary supplier imports gasoline or diesel into Canada from outside Canada:

(a) the name of the province; and

(b) whether it is gasoline or diesel that is imported into the province by the primary supplier.

4 If the registered creator intends to create compliance credits by carrying out a CO_2e-emission-reduction project referred to in section 30 of these Regulations, the following information:

(a) the name, GPS coordinates to the fifth decimal place and, if any, civic address of the facility where the project is carried out or, if the project is carried out at a location other than a facility, the name, GPS coordinates to the fifth decimal place and, if any, civic address of the equipment that is used to carry out the project;

(b) the type of any fuel, material input or energy source that is used to carry out the project if an application for the approval of the carbon intensity of that fuel, material input or energy source is required by the applicable emission-reduction quantification method established under subsection 31(1) or 32(1) of these Regulations; and

(c) if the project is one described in paragraph 30(d) of these Regulations, for each co-processed low-carbon intensity fuel that is imported into Canada for use as a fuel in Canada, whether as a neat fuel or as part of a blend, its type and the name of the province into which the co-processed low carbon intensity fuel is imported.

5 If the registered creator intends to create compliance credits by importing into Canada a low-carbon-intensity fuel for use in Canada as a fuel, whether as neat fuel or as part of a blend, the following

information for each province into which the registered creator intends to import fuel:

(a) the name of the province; and

(b) the type of fuel that will be imported.

6 If the registered creator intends to create compliance credits by producing a low-carbon-intensity fuel for use in Canada as a fuel, whether as neat fuel or as part of a blend, the following information with respect to each facility at which the fuel will be produced:

(a) the name, GPS coordinates to the fifth decimal place and, if any, civic address of the facility; and

(b) the type of fuel produced at the facility.

7 If the registered creator intends to create compliance credits by producing biogas for use in equipment to produce electricity, the following information:

(a) the name, GPS coordinates to the fifth decimal place and, if any, civic address of each facility at which the biogas will be produced; and

(b) the name, GPS coordinates to the fifth decimal place and, if any, civic address of each facility at which the electricity will be produced.

8 If the registered creator intends to create compliance credits by displacing the use in Canada of a quantity of fuel in the liquid class as a fuel for a vehicle with the use in Canada of a quantity of propane, renewable propane, co-processed low-carbon-intensity propane, compressed natural gas, compressed renewable natural gas, liquefied natural gas or liquefied renewable natural gas as a fuel for a vehicle, the following information with respect to each fuelling station that supplied the fuel that displaces the fuel in the liquid class:

(a) the name, GPS coordinates to the fifth decimal place and, if any, civic address of the fuelling station; and

(b) the type of each fuel that will be supplied at the fuelling station for which the registered creator intends to create compliance credits.

9 If the registered creator is a charging-network operator and intends to create compliance credits by displacing the use in Canada of a quantity of fuel in the liquid class as a fuel for a vehicle with the use in Canada of electricity as an energy source supplied to an electric vehicle by a charging station that is intended primarily for use by the occupants of a private dwelling-place, with respect to each charging station at which the electricity will be supplied, the name of the province in which it is located.

10 If the registered creator is a charging-network operator and intends to create compliance credits by displacing the use in Canada of a quantity of fuel in the liquid class as a fuel for a vehicle with the use in Canada of electricity as an energy source supplied to an electric vehicle by a charging station that is intended primarily for use by the public, with respect to each charging station at which the electricity will be supplied, the name of the province in which it is located.

11 If the registered creator is a charging-site host and intends to create compliance credits by displacing the use in Canada of a quantity of fuel in the liquid class as a fuel for a vehicle with the use in Canada of electricity as an energy source supplied to an electric vehicle by a charging station other than a charging station described in sections 9 and 10 of this Schedule, with respect to each charging station at which the electricity will be supplied, the name of the province in which it is located.

12 If the registered creator intends to create compliance credits by displacing the use in Canada of a quantity of fuel in the liquid class as fuel for a vehicle with the use in Canada of a quantity of hydrogen as an energy source for a hydrogen fuel cell vehicle, the name, GPS coordinates to the fifth decimal place and, if any, civic address of each hydrogen fuelling station at which the hydrogen will be supplied.

SCHEDULE 4
(Paragraphs 34(2)(a), 37(2)(a) and (c), 38(2)(a) and 40(2)(a) and (c))

Contents of Application for Recognition of CO_2e-Emission-Reduction Project

1 The following information with respect to the applicant:

(a) their name, civic address, postal address, telephone number and, if any, email address;

(b) the name, title, civic address, postal address, telephone number and, if any, email address of the authorized agent; and

(c) the name, title, civic address, postal address, telephone number and, if any, email address of a contact person, unless the contact person is the authorized agent.

2 A description of the project that includes

(a) the name, GPS coordinates to the fifth decimal place and, if any, civic address of any facility at which the project is to be carried out;

(b) the name, serial number, GPS coordinates to the fifth decimal place and, if any, civic address of any equipment with which the project is to be carried out;

(c) the duration of the project and the anticipated start- and end dates for carrying out the project;

(d) the information required by the emission-reduction quantification method established under subsection 31(1) or 32(1), whichever is applicable to the project, including an explanation of how the project is anticipated to lower the carbon intensity of a fuel in the liquid or gaseous class and any supporting documents;

(e) in the case of an application for the recognition of a CO_2e-emission-reduction project using a generic emission-reduction quantification method established under subsection 31(1) of these Regulations,

(i) the specified activities that would have been carried out if not for the implementation of the project and the CO_2e emissions that would have resulted from those activities, as well as the greenhouse gas sources and sinks that have been selected by the applicant to determine those CO_2e emissions and a rationale for the selection of those greenhouse gas sources and sinks;

(ii) the greenhouse gas sources and sinks that have been selected by the applicant and are relevant to the project and a rationale for the selection of those greenhouse gas sources and sinks;

(f) the annual reduction in the quantity of CO_2e that is anticipated to result from the project, expressed in tonnes of CO_2e, including any relevant data and calculations and any technical documents that are used in support of those calculations; and

(g) an indication of the regulatory regime and the federal or provincial laws under which the project operates and any federal or provincial laws and programs under which it receives funding.

SCHEDULE 5

(Paragraphs 62(2)(c) and (d))

Contents of Certification Scheme Operation Report

1 The following information with respect to the person who is the scheme owner:

(a) their name, civic address, postal address, telephone number and, if any, email address;

(b) the name, title, civic address, postal address, telephone number and, if any, email address of the authorized agent; and

(c) the name, title, civic address, postal address, telephone number and, if any, email address of a contact person, unless the contact person is the authorized agent.

2 The following information regarding the members of the certification scheme:

(a) the number of current members;

(b) the number of new members;

(c) the number of suspended members; and

(d) the number of members whose participation in the scheme has been terminated, as well as the reasons for the termination.

3 The following information regarding the operation of the certification scheme:

(a) the number of years remaining in the approval period of the scheme;

(b) the changes made to the scope of the scheme;

(c) the quantity of certified feedstock, by type and country of origin;

(d) the number of audits conducted, by members of the scheme and by type of feedstock;

(e) the number of situations of non-conformity detected, by members of the scheme;

(f) the number of situations of non-conformity detected, by type and degree of severity; and

(g) the number of cases of fraud or irregularities detected.

4 The following information regarding the design and operation of the management system of the certification scheme:

(a) a description of stakeholder involvement during the drafting and reviewing of the scheme as well as the responses given to any contributions by stakeholders;

(b) the criteria for the recognition and accreditation of certification bodies;

(c) the qualification requirements for auditors, according to their role;

(d) the impartiality requirements for certification bodies and auditors;

(e) the procedures for detecting and addressing non-conformity;

(f) the procedures for monitoring the certification bodies;

(g) the procedures for preventing fraud, including detection and resolution, and follow-up procedures for suspected fraud and other irregularities;

(h) a description of any complaints lodged against the certification scheme and the manner in which they were resolved; and

(i) an analysis of the scheme's requirements, compared to industry's actual best practices.

5 A description of the procedures that permit an assessment of the availability of the following documents:

(a) a translation of the certification scheme's requirements and procedures in the common language of the country or region from which any certified feedstock originates;

(b) a list of certified feedstock producers and their corresponding certificates; and

(c) any auditor reports.

6 A description of any improvements made by the scheme owner to the certification scheme and, if the scheme owner has any recommendations regarding any matter related to the regulatory regime, those recommendations.

SCHEDULE 6
(Paragraphs 75(1)(a) and (b), (6)(a) and (7)(a) and 96(4)(a))

Default Carbon Intensity

1 The default carbon intensity is

(a) 80 gCO_2e/MJ for the years 2022 and 2023;

(b) 79 gCO_2e/MJ for the year 2024;

(c) 78 gCO_2e/MJ for the year 2025;

(d) 77 gCO_2e/MJ for the year 2026;

(e) 76 gCO_2e/MJ for the year 2027;

(f) 74 gCO_2e/MJ for the year 2028;

(g) 73 gCO_2e/MJ for the year 2029; and

(h) 72 gCO_2e/MJ for the year 2030 and the following years.

2 The quantity of CO_2e that is associated with the extraction or production, as the case may be, of a feedstock is

(a) 0 gCO_2e/MJ for a fuel or material input produced from a feedstock that is derived from one of the following:

(i) forest biomass derived from fire prevention and protection activities or from clearing activities that are not related to harvesting, such as infrastructure installation, pest and disease control and road maintenance,

(ii) crop residues or damaged crops,

(iii) secondary forest residues that are by-products of industrial wood-processing operations,

(iv) used or inedible organics from a residential area, a retail store, a restaurant, a caterer or a food processing plant,

(v) used fat and used vegetable oils,

(vi) used animal litter,

(vii) animal materials, including manure,

(viii) industrial effluents,

(iv) municipal wastewater, and

(x) used construction materials and demolition materials,

(xi) residues that are directly generated by agriculture, aquaculture and fisheries, but not residues from related industries or from processing,

(xii) water,

(xiii) waste from a waste processing facility that produces biogas, and

(xiv) carbon dioxide that has been captured from the atmosphere;

(b) 15 gCO_2e/MJ for a fuel or material input produced from a feedstock derived from crops grown solely for energy production and that are not traditionally grown for food and feed purposes;

(c) 20 gCO_2e/MJ for a fuel or material input produced from a feedstock that is an oil extracted from oilseed crops; and

(d) 35 gCO_2e/MJ for a fuel or material input produced from any other feedstock.

3 The quantity of CO_2e that is released during the production of the fuel or material input from the feedstock, the transportation of the feedstock and intermediary products used to produce the fuel or material input and the distribution of the fuel or material input to end users is

(a) 13 gCO_2e/MJ for a fuel or material input that is produced at a facility that

(i) uses thermal energy and electricity where more than 50% of that energy is from non-fossil sources, electricity with a carbon intensity of less than 100 gCO_2e/MJ, hydrogen from renewable sources, hydrogen from natural gas with carbon capture and storage or a mix of those sources, and

(ii) does not use liquid or solid fossil fuels in stationary applications;

(b) 30 gCO_2e/MJ for a fuel or material input that is produced at a facility, other than one described in subparagraph (a)(i), that does not use liquid or solid fossil fuels in stationary application; and

(c) 65 gCO_2e/MJ for a fuel or material input that is produced at any other fuel production facility.

4 The quantity of CO_2e t that is released during the compression or liquefaction process of the fuel material input is

(a) 12 gCO_2e/MJ for compressed hydrogen that is supplied by a hydrogen fuelling station;

(b) 60 gCO_2e/MJ for liquefied hydrogen that is supplied by a hydrogen fuelling station; and

(c) 0 gCO_2e/MJ for all other fuels, including hydrogen referred to in section 95 of these Regulations that is supplied for use as a fuel.

5 The quantity of CO_2e that is associated with the production of electricity used during the production of the fuel or material input is

(a) 25 gCO_2e/MJ for hydrogen produced from electrolysis using electricity with a carbon intensity of 50 g/MJ or less;

(b) 150 gCO_2e/MJ for any other hydrogen produced from electrolysis; and

(c) 0 gCO_2e/MJ for any other fuel.

6 The quantity of CO_2e that is released during the transportation of the feedstock and intermediary products used to produce the fuel or material input and the distribution of the fuel or material input to end users, in the case of a total transportation distance of no less than 1500 km, is

(a) 0 gCO_2e/MJ for a fuel or material input for which the sum of the distance between the site where the feedstock was extracted, harvested or produced and the facility where the fuel or material input was produced and the distance between that facility and the location of final distribution to end users is less than 1500 km; and

(b) 4 gCO_2e/MJ for any other fuel or material input.

7 The quantity of CO_2e that is released during the combustion of the fuel or the use of the material input, per megajoule of energy produced, is

(a) 0 gCO_2e/MJ for hydrogen or carbon dioxide derived from atmospheric carbon dioxide;

(b) 1 gCO_2e/MJ for biogas or renewable natural gas;

(c) 2 gCO_2e/MJ for ethanol or a fuel derived from biomass other than biodiesel;

(d) 3 gCO_2e/MJ for biodiesel; and

(e) 72 gCO_2e/MJ for any other fuel.

8 The carbon intensity of fossil fuels and energy sources is equal to

(a) 110 gCO_2e/MJ for compressed hydrogen;

(b) 150 gCO_2e/MJ for liquefied hydrogen;

(c) 76 gCO_2e/MJ for propane;

(d) 68 gCO_2e/MJ for natural gas;

(e) 113 gCO_2e/MJ for liquefied natural gas; and

(f) 72 gCO_2e/MJ for compressed natural gas.

9 The carbon intensity of electricity for a province is

(a) 14 gCO_2e/MJ in Ontario;

(b) 5 gCO_2e/MJ in Quebec;

(c) 224 gCO_2e/MJ in Nova Scotia;

(d) 89 gCO_2e/MJ in New Brunswick;

(e) 7 gCO_2e/MJ in Manitoba;

(f) 11 gCO_2e/MJ in British Columbia;

(g) 2 gCO_2e/MJ in Prince Edward Island;

(h) 237 gCO_2e/MJ in Saskatchewan;

(i) 218 gCO_2e/MJ in Alberta;

(j) 16 gCO_2e/MJ in Newfoundland and Labrador;

(k) 30 gCO_2e/MJ in Yukon;

(l) 71 gCO_2e/MJ in the Northwest Territories; and

(m) 313 gCO_2e/MJ in Nunavut.

SCHEDULE 7
(Subsection 81(2))

Contents of Application for Approval of New Pathway

1 The following information with respect to the applicant:

(a) their name, civic address, postal address, telephone number and, if any, email address;

(b) the name, title, civic address, postal address, telephone number and, if any, email address of the authorized agent; and

(c) the name, title, civic address, postal address, telephone number and, if any, email address of a contact person, unless the contact person is the authorized agent.

2 The name, GPS coordinates to the fifth decimal place and, if any, civic address of the facility where the fuel, energy source or material input was produced.

3 The type of fuel, type of energy source or type of material input that is renewable natural gas, biogas, renewable propane or hydrogen for which the determination was made.

4 The type of feedstock used to produce the fuel or material input and the region where the feedstock was extracted, harvested or produced, as the case may be.

5 The rationale for the application and a demonstration that one of the criteria set out in the Specifications for Fuel LCA Model CI Calculations is met.

6 The type of carbon intensity that will be determined by the new pathway, either “cradle-to-gate” or “cradle-to-grave” as defined in the Specifications for Fuel LCA Model CI Calculations.

7 A description of any change made to unit processes, modelling parameters or background data sets from the Fuel LCA Model and the rationale for the change that is consistent with ISO Standard 14040 and ISO Standard 14044 and the Specifications for Fuel LCA Model CI Calculations.

8 A description of the new pathway that is consistent with ISO Standard 14040 and ISO Standard 14044 and the Specifications for Fuel LCA Model CI Calculations.

9 A description of the data sources and the methods used to collect and determine the data that are entered into a data workbook.

10 A description of any calculations performed on the data in the data workbook, including the addition of background data used in the calculations.

11 A copy of the data workbook, including any calculations performed on the data, that is consistent with the Specifications for Fuel LCA Model CI Calculations and used to determine the data that are inputted into the Fuel LCA Model.

12 Any supporting documentation required by the Specifications for Fuel LCA Model CI Calculations.

13 A copy of the new pathway from the Fuel LCA Model with or without input data.

14 The information listed in any applicable emission-reduction quantification method established under subsection 31(1) or 32(1) of these Regulations.

15 If the new pathway includes a carbon intensity transferred from a carbon-intensity contributor, foreign supplier or registered creator, the following information:

(a) the name, civic address, postal address, telephone number and, if any, email address of the carbon-intensity contributor, foreign supplier or registered creator;

(b) the type of low-carbon-intensity fuel, material input or energy source provided by the carbon-intensity contributor, foreign supplier or registered creator; and

(c) if the carbon intensity of the low-carbon-intensity fuel, material input or energy source referred to in paragraph (b) was determined using a carbon intensity approved by the Minister, the approved carbon intensity and any alphanumeric identifier assigned to it under subsection 85(2) of these Regulations.

SCHEDULE 8
(Sections 82 to 84)

Contents of Application for Approval of Carbon Intensity

1 The following information, if the application relates to a low-carbon-intensity fuel or material input:

(a) the name, civic address, postal address, telephone number and, if any, email address of the applicant;

(b) the name, title, civic address, postal address, telephone number and, if any, email address of the applicant's authorized agent;

(c) the name, title, civic address, postal address, telephone number and, if any, email address of the applicant's contact person, unless the contact person is the authorized agent;

(d) the name, GPS coordinates to the fifth decimal place and, if any, civic address of the facility where the fuel or material input was produced;

(e) the type of fuel or material input for which the determination was made;

(f) the carbon intensity determined for the fuel or material input, rounded to the nearest hundredth of a gram of CO_2e per megajoule;

(g) if an additional value referred to in subsection 80(2) of these Regulations has been added to the carbon intensity referred to in paragraph (f), the additional value and the sum of the additional value and the carbon intensity value, rounded to the nearest hundredth of a gram of CO_2e per megajoule;

(h) the type of feedstock used to produce the fuel or material input;

(i) if the feedstock was extracted, harvested or produced, the region where the feedstock was extracted, harvested or produced, as the case may be; and

(j) a diagram that shows the process flow used to produce the fuel or material input.

2 In the case of a carbon intensity determined in accordance with paragraph 75(1)(b) of these Regulations, the following information:

(a) the type of thermal energy and the source of electricity that is used at the production facility;

(b) if the application indicates that the variable CI_p that is referred to in paragraph 75(1)(b) of these Regulations has a value of 13 g/MJ, the percentage of the electrical and thermal energy used at the production facility that is from non-fossil sources, electricity with a carbon intensity of less than 100 g/MJ, hydrogen from renewable sources, hydrogen from natural gas with carbon capture and storage or a mix of those sources, and the estimated quantity of thermal energy and electricity from each source; and

(c) if the application indicates that the variable CI_{td} that is referred to in paragraph 75(1)(b) of these Regulations has a value of 0 g/MJ, the distance between the site where the feedstock was extracted, harvested or produced and the production facility where the fuel or material input was produced and the distance between that facility and the final location where the fuel is distributed to end users.

3 In the case of a carbon intensity determined in accordance with section 76 or 77 of these Regulations, the following information:

(a) an indication of whether the pathway from the Fuel LCA Model used for that determination is an existing pathway, or a new pathway;

(b) if the pathway from the Fuel LCA Model used for that determination is a new pathway, the alphanumeric identifier assigned to the approved pathway under subsection 81(4) of these Regulations;

(c) a copy of the pathway from the Fuel LCA Model that was used for that determination, including all data that are input into the Fuel LCA Model and all results that are obtained from it;

(d) the type of carbon intensity that will be determined, either “cradle-to-gate” or “cradle-to-grave” as defined in the Specifications for Fuel LCA Model CI Calculations;

(e) a description of the data sources and the methods used to collect and determine the data that are entered into a data workbook;

(f) a copy of the data workbook, including any calculations performed on the data, that is consistent with the Specifications for Fuel LCA Model CI Calculations and used to determine the data that are inputted into the Fuel LCA Model;

(g) any supporting documentation required by the Specifications for Fuel LCA Model CI Calculations; and

(h) the information listed in any applicable emissions- reduction quantification method established under subsection 31(1) or 32(1) of these Regulations.

4 In the case of a carbon intensity determined in accordance with section 78 of these Regulations, the following information:

(a) the name, civic address, postal address, telephone number and, if any, email address of the applicant;

(b) the name, title, civic address, postal address, telephone number and, if any, email address of the applicant's authorized agent;

(c) the name, title, civic address, postal address, telephone number and, if any, email address of the applicant's contact person, unless the contact person is the authorized agent;

(d) the GPS coordinates to the fifth decimal place and, if any, civic address of each fuelling station that supplies the fuel;

(e) the GPS coordinates to the fifth decimal place and, if any, civic address of any location, other than a fuelling station, where propane, renewable propane, co-processed low-carbon-intensity propane, natural gas, renewable natural gas or hydrogen is liquefied or compressed for use in a fuelling station;

(f) the type of any fossil fuel supplied to vehicles at the fuelling stations referred to in paragraph (d);

(g) the type of any low-carbon-intensity fuel that is supplied to vehicles at the fuelling stations referred to in paragraph (d);

(h) the carbon intensity determined for the fuel, rounded to the nearest hundredth of a gram of CO_2e per megajoule;

(i) if an additional value referred to in subsection 80(2) of these Regulations has been added to the carbon intensity referred to in paragraph (h), the additional value and the sum of the additional value and the carbon intensity value, rounded to the nearest hundredth of a gram of CO_2e per megajoule;

(j) a diagram of each compression or liquefaction process;

(k) an indication of the option used for the determination of the carbon intensity of the fuel referred to in paragraph (e) in relation to the pathway from the Fuel LCA Model, whether it is an existing pathway or a new pathway and, in the case of a new pathway, the alphanumeric identifier assigned to it under subsection 81(4) of these Regulations;

(l) a copy of the pathway from the Fuel LCA Model that was used for the determination of the carbon intensity, including all data that are input into the Fuel LCA Model and all results that are obtained from it;

(m) a description of the data sources and the methods used to collect and determine the data that are entered into a data workbook;

(n) a copy of the data workbook, including any calculations performed on the data, that is consistent with the Specifications for Fuel LCA Model CI Calculations and used to determine the data that are inputted into the Fuel LCA Model;

(o) any supporting documentation required by the Specifications for Fuel LCA Model CI Calculations; and

(p) the information listed in any applicable emission-reduction quantification method established under subsection 31(1) or 32(1) of these Regulations.

5 In the case of a carbon intensity determined in accordance with section 79 of these Regulations, the following information:

(a) the name, civic address, postal address, telephone number and, if any, email address of the applicant;

(b) the name, title, civic address, postal address, telephone number and, if any, the email address of the applicant's authorized agent;

(c) the name, title, civic address, postal address, telephone number and, if any, email address of the applicant's contact person, unless the contact person is the authorized agent;

(d) the name, GPS coordinates to the fifth decimal place and, if any, civic address of each facility or location where there is one or more charging stations or fuelling stations to which the electricity was supplied;

(e) the GPS coordinates to the fifth decimal place and, if any, civic address of each site where the electricity was produced if that site is different from the facility or location referred to in paragraph (d);

(f) the carbon intensity determined for the electricity, rounded to the nearest hundredth of a gram of CO_2e per megajoule;

(g) if an additional value referred to in subsection 80(2) of these Regulations has been added to the carbon intensity referred to in paragraph (f), the additional value and the sum of the additional value and the carbon intensity value, rounded to the nearest hundredth of a gram of CO_2e per megajoule;

(h) the source of electricity supplied to charging stations, facilities or fuelling stations;

(i) an indication of whether the pathway from the Fuel LCA Model used for the determination of the carbon intensity is an existing pathway or a new pathway and, in the case of a new pathway, the alphanumeric identifier assigned to it under subsection 81(4) of these Regulations;

(j) a copy of the pathway from the Fuel LCA Model that was used for that determination, including all data that are input into the Fuel LCA Model and all results that are obtained from it;

(k) a description of the data sources and the methods used to collect and determine the data that are entered into a data workbook;

(l) a copy of the data workbook, including any calculations performed on the data, that is consistent with the Specifications for Fuel LCA Model CI Calculations and used to determine the data that are inputted into the Fuel LCA Model;

(m) any supporting documentation required by the Specifications for Fuel LCA Model CI Calculations; and

(n) the information listed in any applicable emission-reduction quantification method established under subsection 31(1) or 32(1) of these Regulations.

6 If the determination of the carbon intensity includes a carbon intensity that was transferred from a carbon-intensity contributor, foreign supplier or registered creator and that was approved under subsection 85(1) of these Regulations, the following information:

(a) the name, civic address, postal address, telephone number and, if any, email address, of the carbon-intensity contributor, foreign supplier or registered creator;

(b) the type of low-carbon-intensity fuel, material input or energy source provided by the carbon-intensity contributor, foreign supplier or registered creator; and

(c) the approved carbon intensity of the low-carbon-intensity fuel, material input or energy source referred to in paragraph (b) and the alphanumeric identifier assigned to it under section 85(2) of these Regulations.

SCHEDULE 9
(Subsection 114(2))

Contents of Application for Registration of emission-reduction Funding Program

1 The following information with respect to the person who administers the emission-reduction funding program:

(a) their name, civic address, postal address, telephone number and, if any, email address;

(b) the name, title, civic address, postal address, telephone number and, if any, email address of their authorized agent;

(c) the name, title, civic address, postal address, telephone number and, if any, email address of a contact person, unless the contact person is the authorized agent;

(d) their business number, if any;

(e) the Internet address of their website;

(f) their constituting documents, including any articles of incorporation, articles of amendments, partnership agreements or declaration of trust;

(g) their organizational chart;

(h) the names and titles of the members of their Board of Directors, if any;

(i) the details of their financial and management control system;

(j) the details of their management practices; and

(k) the details of their information system.

2 The following information with respect to the emission-reduction funding program:

(a) its description;

(b) a list of the types of projects that are eligible to be funded by the program;

(c) the estimated duration of the projects that will be funded;

(d) the policies, criteria, procedures or project-specific milestones according to which the projects will be funded;

(e) the policy on conflicts of interest;

(f) if the emission-reduction funding program has been operational for three or more years, the last three financial audits; and

(g) if the emission-reduction funding program has been operational for less than three years, information on the financial stability and resources required for its operations.

SCHEDULE 10

(Paragraphs 114(2)(b), 115(2)(c) and 116(c) and (d))

Contents of Emission-Reduction Funding Program Report

1 The following information with respect to the person who administers the emission-reduction funding program:

(a) their name, civic address, postal address, telephone number and, if any, email address;

(b) the name, title, civic address, postal address, telephone number and, if any, email address of their authorized agent; and

(c) the name, title, civic address, postal address, telephone number and, if any, email address of a contact person, unless the contact person is the authorized agent.

2 The following information with respect to each project funded by the registered emission-reduction funding program:

(a) its name;

(b) its description;

(c) the amount of funding it received;

(d) its location;

(e) the status of its milestones and its estimated completion dates;

(f) the actual or anticipated reduction in the quantity of CO_2e from the project and the date on which the reduction was achieved or is estimated to be achieved; and

(g) a description of the methodology used to calculate the reduction that was achieved and any documentation that provides evidence for the inputs used in that calculation.

3 A copy of the financial audit referred to in paragraph 116(b) of these Regulations.

SCHEDULE 11

(Subsection 120(2) and paragraphs 157(b) and 158(5)(b))

Contents of Annual Credit-Creation Report

1 The following information with respect to the registered creator:

(a) their name, civic address, postal address, telephone number and, if any, email address;

(b) the name, title, civic address, postal address, telephone number and, if any, email address of their authorized agent; and

(c) the name, title, civic address, postal address, telephone number and, if any, email address of a contact person, unless the contact person is the authorized agent.

2 The following information with respect to each CO_2e-emission-reduction project carried out by the registered creator or a person with whom they have entered into an agreement under section 21 of these Regulations:

(a) the name, GPS coordinates to the fifth decimal place and, if any, civic address of the facility where the project is carried out or, if the project is carried out at a location other than a facility, the name, GPS coordinates to the fifth decimal place and, if any, civic address of the equipment that is used to carry out the project, as specified by the emission-reduction quantification method established under subsection 31(1) or 32(1) of these Regulations that is applicable to the project;

(b) the alphanumeric identifier assigned to the project;

(c) the number of provisional compliance credits created in respect of the liquid class during the compliance period;

(d) an indication of whether compliance credits have been determined using a generic emission-reduction quantification method established under subsection 31(1) of these Regulations that is applicable to the project;

(e) the information required by the emission-reduction quantification method established under subsection 31(1) or 32(1) of these Regulations;

(f) if there are any changes in the information contained in the application referred to in subsection 34(2), 37(2), 38(2), 40(2) or 42(2) of these Regulations, the updated information, other than

(i) any information referred to in paragraph 34(2)(c), 37(2)(b), 38(2)(c) or 40(2)(b) of these Regulations, and

(ii) any information that is specified in the applicable emission-reduction quantification method as information that cannot be changed; and

(g) if the project is one referred to in paragraph 30(d) of these Regulations, for each co-processed low-carbon-intensity fuel,

(i) the type of each co-processed low-carbon-intensity fuel that is produced,

(ii) an indication of whether the fuel is a gasoline replacement or diesel replacement,

(iii) the carbon intensity of the fuel, whether it is the default carbon intensity determined in accordance with the emission-reduction quantification method that is applicable to the project or the carbon intensity that approved under subsection 85(1) of these Regulations and any alphanumeric identifier assigned to the carbon intensity under subsection 85(2) of these Regulations,

(iv) the number of provisional compliance credits that have been created by the production of the fuel in accordance with the emission-reduction quantification method that is applicable to the project, and

(v) an indication of whether the compliance credits have been created in respect of the liquid or gaseous class.

3 If the registered creator, or a person with whom they have entered into an agreement under section 21 of these Regulations, is the owner or operator of a fuelling station referred to in subsection 98(1) of these Regulations, the following information with respect to each propane, compressed natural gas or liquefied natural gas that is supplied at that fuelling station:

(a) the name, GPS coordinates to the fifth decimal place and, if any, civic address of each fuelling station where fuel was supplied to vehicles;

(b) for each fuelling station referred to in paragraph (a),

(i) the type of fuel for which the compliance credits are created,

(ii) the quantity of the fuel referred to in subparagraph (i),

(iii) the total quantity of fuel that contains the fuel referred to in subparagraph (i) that is supplied to vehicles at that fuelling station, as measured by a meter and expressed in cubic metres of fuel in the liquid state, in cubic metres or in kilograms, as the case may be,

(iv) the total quantity of renewable propane, co-processed low-carbon-intensity propane or renewable natural gas supplied to vehicles, determined from the supporting documents referred to in subsection 99(2) of these Regulations and expressed in cubic metres of fuel in the liquid state, in cubic metres or in kilograms, as the case may be;

(c) for each fuel type referred to in subparagraph (b)(i),

(i) the carbon intensity of propane, compressed natural gas or liquefied natural gas that is determined in accordance with subsection 75(6) of these Regulations, that is approved under subsection 85(1) of these Regulations or that is the actual carbon

intensity specified in the carbon-intensity-pathway report referred to in subsection 123(1) of these Regulations, as the case may be, and

(ii) the energy density of the propane or compressed natural gas, expressed in megajoules per cubic metre, or the energy density of liquefied natural gas, expressed in megajoules per kilogram, as the case may be, as set out in column 2 of Schedule 2 or as set out in the Specifications for Fuel LCA Model CI Calculations, at the election of the registered creator; and

(d) the number of provisional compliance credits created by the supply of fuel under subsection 98(1) of these Regulations.

4 If the registered creator, or a person with whom they have entered into an agreement under section 21 of these Regulations, is the owner or operator of a fuelling station referred to in subsection 99(1) of these Regulations, the following information with respect to each renewable propane, co-processed low-carbon intensity propane, compressed renewable natural gas or liquefied renewable natural gas that is supplied at that fuelling station:

(a) the name, GPS coordinates to the fifth decimal place and, if any, civic address of each fuelling station where fuel was supplied to vehicles;

(b) for each fuelling station referred to in paragraph (a), the types of fuel that are supplied to vehicles and that are used to create compliance credits;

(c) for each type of fuel referred to in paragraph (b),

(i) the carbon intensity of compressed natural gas, liquefied natural gas or propane that is determined in accordance with subsection 75(6) of these Regulations, that is approved under subsection 85(1) of these Regulations or that is the actual carbon

intensity specified in the carbon-intensity pathway-report referred to in subsection 123(1) of these Regulations, as the case may be, and any alphanumeric identifier assigned to it under subsection 85(2) of these Regulations,

(ii) its energy density, expressed in megajoules per cubic metre or megajoules per kilogram, as the case may be, as set out in column 2 of Schedule 2 or as set out in the Specifications for Fuel LCA Model CI Calculations, at the election of the registered creator,

(iii) the quantity that is supplied to vehicles at each fuelling station, expressed in cubic metres of fuel in the liquid state in the case of renewable propane or co-processed low-carbon-intensity propane, expressed in cubic metres in the case of compressed renewable natural gas and expressed in kilograms in the case of liquefied renewable natural gas, and

(iv) the name of the person from whom that type of fuel was purchased; and

(d) the number of provisional compliance credits created under subsection 99(1) of these Regulations for renewable propane, co-processed low-carbon-intensity propane, compressed renewable natural gas or liquefied renewable natural gas, as the case may be.

5 If the registered creator, or a person with whom they have entered into an agreement under section 21 of these Regulations, is a charging-site host referred to in subsection 101(1) of these Regulations, the following information with respect to the electricity that is supplied to electric vehicles:

(a) for each province where the electricity is supplied to electric vehicles,

(i) the carbon intensity of the electricity that is determined in accordance with subsection 75(7) of these Regulations, that is approved under subsection 85(1) of these Regulations or that is the actual carbon intensity specified in the carbon-intensity-pathway report referred to in subsection 123(1) of these Regulations, as the case may be, and

(ii) the serial number and the name or identifier of each charging station in the province;

(b) for each charging station referred to in subparagraph (a)(ii) that is not accessible to marine vessels,

(i) its GPS coordinates to the fifth decimal place and, if any, its civic address,

(ii) the energy efficiency ratio for light-duty electric vehicles on the January 1 of the compliance period, as set out in the Specifications for Fuel LCA Model CI Calculations, or an energy efficiency ratio of 2.5, at the election of the registered creator,

(iii) the energy efficiency ratio for electric vehicles, other than those referred to in subparagraph (ii), on the January 1 of the compliance period, as set out in the Specifications for Fuel LCA Model CI Calculations, or an energy efficiency ratio of 2.5, at the election of the registered creator, and

(iv) the quantities of electricity that are supplied to the electric vehicles referred to in subparagraphs (ii) and (iii);

(c) for each charging station referred to in subparagraph (a)(ii) that is accessible to marine vessels,

(i) its GPS coordinates to the fifth decimal place and, if any, its civic address,

(ii) the energy efficiency ratio for electric marine vessels t on the January 1 of the compliance period, as set out in the Specifications for Fuel LCA Model CI Calculations, or an energy efficiency ratio of 2.5, at the election of the registered creator, and

(iii) the quantity of electricity that is supplied to electric marine vessels; and

(d) the number of provisional compliance credits created under subsection 101(1) of these Regulations for the supply of electricity to electric vehicles.

6 If the registered creator, or a person with whom they have entered into an agreement under section 21 of these Regulations, is the operator of a charging network referred to in subsection 102(1) of these Regulations, the following information with respect to the electricity that is supplied to electric vehicles:

(a) for each province in which the electricity is supplied to electric vehicles,

(i) the carbon intensity of the electricity that is determined in accordance with subsection 75(7) of these Regulations, that is approved under subsection 85(1) of these Regulations or that is the actual carbon intensity specified in the carbon-intensity-pathway report referred to in subsection 123(1) of these Regulations, as the case may be, and

(ii) the total quantity of electricity of a specified carbon intensity that is supplied to electric vehicles in the province, expressed in kilowatt hours;

(b) the energy efficiency ratio for light-duty electric vehicles on the January 1 of the compliance period, as set out in the Specifications for Fuel LCA Model CI Calculations, or an energy efficiency ratio of

2.5, at the election of the registered creator;

(c) for each charging station that is intended primarily for use by the occupants of a private dwelling-place,

(i) the province in which it is located and its serial number, and

(ii) the quantity of electricity of a specified carbon intensity that is supplied to electric vehicles by that charging station, expressed in kilowatt hours;

(d) for each charging station that is intended primarily for use by the public,

(i) the province in which it is located, its GPS coordinates to the fifth decimal place and, if any, its name or identifier, civic address and serial number, and

(ii) the quantity of electricity of a specified carbon intensity that is supplied to electric vehicles by that charging station, expressed in kilowatt hours; and

(e) the number of provisional compliance credits created under subsection 102(1) of these Regulations by the supply of electricity to electric vehicles.

7 If the registered creator, or a person with whom they have entered into an agreement under section 21 of these Regulations, is the owner or operator of a hydrogen fuelling station, the following information with respect to the hydrogen supplied by those stations for use in Canada as an energy source for hydrogen fuel cell vehicles in accordance with paragraph 104(1)(a) of these Regulations:

(a) for each hydrogen fuelling station,

(i) its name, GPS coordinates to the fifth decimal place and, if any, its civic address, and

(ii) the quantity of hydrogen, expressed in kilograms, that is supplied to each class of hydrogen fuel cell vehicles listed in the Specifications for Fuel LCA Model CI Calculations;

(b) the carbon intensity of the hydrogen supplied to the vehicles referred to in subparagraph (a)(ii) that is the default carbon intensity referred to in paragraph 75(1)(a) of these Regulations or determined in accordance with paragraph 75(1)(b) or subsection 75(6) of these Regulations, that is approved under subsection 85(1) of these Regulations or that is the actual carbon intensity specified in the carbon-intensity-pathway report referred to in subsection 123(1) of these Regulations, as the case may be, and any alphanumeric identifier assigned to the carbon intensity;

(c) if feedstock is used to produce the hydrogen, the type of that feedstock and the region where it was extracted, harvested or produced;

(d) if eligible feedstock is used to produce the hydrogen, the maximum quantity of hydrogen, determined in accordance with subsection 45(1) of these Regulations, expressed in cubic metres, that is produced using the eligible feedstock in order to create compliance credits under paragraph 104(1)(a) of these Regulations and that is supplied to vehicles at each fuelling station; and

(e) the number of provisional compliance credits created under paragraph 104(1)(a) of these Regulations.

8 If the registered creator, or a person with whom they have entered into an agreement under section 21 of these Regulations, is the owner or operator of a hydrogen fuelling station, the following information with respect to the hydrogen supplied by those stations for use in Canada as a fuel for vehicles other than hydrogen fuel cell vehicles in accordance with paragraph 104(1)(b) of these Regulations:

(a) for each hydrogen fuelling station,

(i) its name, GPS coordinates to the fifth decimal place and, if any, its civic address, and

(ii) the quantity of hydrogen, expressed in kilograms, that is supplied to each class of hydrogen fuel cell vehicles listed in the Specifications for Fuel LCA Model CI Calculations;

(b) the carbon intensity of the hydrogen supplied to the vehicles referred to in subparagraph (a)(ii) that is the default carbon intensity referred to in paragraph 75(1)(a) of these Regulations or determined in accordance with paragraph 75(1)(b) or subsection 75(6) of these Regulations, that is approved under subsection 85(1) of these Regulations or that is the actual carbon intensity specified in the carbon-intensity-pathway report referred to in subsection 123(1) of these Regulations, as the case may be, and any alphanumeric identifier assigned to the carbon intensity;

(c) if feedstock is used to produce the hydrogen, the type of that feedstock and the region where it was extracted, harvested or produced;

(d) if eligible feedstock is used to produce the hydrogen, the maximum quantity of hydrogen, determined in accordance with subsection 45(1) of these Regulations, expressed in cubic metres, that is produced using the eligible feedstock in order to create compliance credits under paragraph 104(1)(b) of these Regulations and that is supplied to vehicles at each fuelling station; and

(e) the number of provisional compliance credits created under paragraph 104(1)(b) of these Regulations.

9 The following information with respect to each liquid low-carbon-intensity fuel that is produced or imported into Canada in order to create compliance credits and that the registered creator has either exported or sold for export during the compliance period or that is acquired in accordance with a transfer request referred to in section

108 of these Regulations and, during the compliance period, a person, other than a primary supplier or a registered creator, has exported or sold it for export:

(a) its quantity, expressed in cubic metres;

(b) its carbon intensity and any alphanumeric identifier assigned to it; and

(c) the number of compliance credits to be canceled and the account of the registered creator opened under section 28 of these Regulations into which the credits have been deposited.

10 The following information with respect to each gaseous low-carbon-intensity fuel that is produced or imported into Canada in order to create compliance credits and that the registered creator has either exported or sold for export during the compliance period or that is acquired in accordance with a transfer request referred to in section 108 of these Regulations and, during the compliance period, a person, other than a primary supplier or a registered creator, has exported or sold it for export:

(a) its quantity, expressed in cubic metres or kilograms;

(b) its carbon intensity and any alphanumeric identifier assigned to it; and

(c) the number of compliance credits to be canceled and the account of the registered creator opened under section 28 of these Regulations into which the credits have been deposited.

11 The following information with respect to any fuel or energy source for which compliance credits are created by the registered creator in accordance with section 88 of these Regulations:

(a) its carbon intensity and any alphanumeric identifier assigned to it under subsection 85(2) of these Regulations;

(b) in the case where its carbon intensity has been the subject of an application for temporary approval under subsection 91(1) of these Regulations,

(i) the carbon intensity that has been temporarily approved under subsection 91(4) of these Regulations and any alphanumeric identifier assigned to it under subsection 91(5) of these Regulations,

(ii) the period during which the temporarily approved carbon intensity was used to create compliance credits,

(iii) the quantity of fuel supplied during the period referred to in subparagraph (ii),

(iv) the energy density of the fuel or energy source, and

(v) the number of compliance credits created during the period referred to in subparagraph (ii) in respect of which a credit adjustment has been requested;

(c) in the case where its carbon intensity that was used to create compliance credits is the carbon intensity referred to in paragraph 75(1)(a) or (b) of these Regulations,

(i) its carbon intensity,

(ii) the period during which the carbon intensity was used to create compliance credits,

(iii) the quantity supplied during the period referred to in subparagraph (ii),

(iv) the energy density of the fuel or energy source, and

(v) the number of compliance credits created during the period referred to in subparagraph (ii) in respect of which a credit adjustment has been requested; and

(d) the total number of compliance credits referred to in subparagraphs (b)(v) and (c)(v) in respect of which a credit adjustment has been requested.

12 The following information with respect to any fuel or energy source for which compliance credits are created by the registered creator after June 30, 2024:

(a) if its carbon intensity is approved after June 30, 2024, that carbon intensity and any alphanumeric identifier assigned to it under subsection 85(2) of these Regulations;

(b) if its carbon intensity is approved on or before June 30, 2024, that carbon intensity and any alphanumeric identifier assigned to it under subsection 85(2) of these Regulations, as well as

(i) the period during which the carbon intensity was used to create compliance credits,

(ii) the quantity supplied during the period referred to in subparagraph (i), and

(iii) the energy density of the fuel or energy source;

(c) in the case where its carbon intensity was used to create compliance credits before June 30, 2024 and that carbon intensity has been temporarily approved under subsection 91(4) of these Regulations or has been determined in accordance with section 75 of these Regulations, that carbon intensity and any alphanumeric identifier assigned to it, as well as

(i) the period during which the carbon intensity was used to create compliance credits,

(ii) the quantity supplied during the period referred to in subparagraph (i), and

(iii) the energy density of the fuel; and

(d) the total number of compliance credits in respect of which a credit adjustment has been requested.

13 The total number of compliance credits referred to in sections 8 to 12 in respect of which a credit adjustment has been requested that are in any account of the registered creator opened under section 28 of these Regulations.

SCHEDULE 12
(Subsections 121(2) and (3), paragraph 158(5)(b) and Schedule 13)

Contents of Quarterly Credit-Creation Report

1 The following information with respect to the registered creator:

(a) their name, civic address, postal address, telephone number and, if any, email address;

(b) the name, title, civic address, postal address, telephone number and, if any, email address of their authorized agent; and

(c) the name, title, civic address, postal address, telephone number and, if any, email address of a contact person, unless the contact person is the authorized agent.

2 The following information with respect to each liquid low-carbon-intensity fuel referred to in section 94 of these Regulations that is produced in Canada by the registered creator or the person with whom the registered creator has entered into an agreement under section 21 of these Regulations during the period to which the report relates:

(a) its type;

(b) the name, GPS coordinates to the fifth decimal place and, if any, the civic address of each facility at which the fuel is produced;

(c) its carbon intensity that is the default carbon intensity referred to in paragraph 75(1)(a) of these Regulations or that is approved under subsection 85(1) of these Regulations, as the case may be, and any alphanumeric identifier assigned to the carbon intensity under subsection 85(2) of these Regulations;

(d) the type of feedstock that was used to produce the fuel;

(e) the region where the feedstock was extracted, harvested or produced;

(f) its energy density, expressed in megajoules per cubic metre, as set out in column 2 of Schedule 2 or as set out in the Specifications for Fuel LCA Model CI Calculations, at the election of the registered creator;

(g) its quantity determined in accordance with subsection 45(1) of these Regulations, expressed in cubic metres, that is produced using an eligible feedstock in order to create compliance credits in accordance with section 94 of these Regulations, and that is used in Canada;

(h) an indication of whether the fuel is a gasoline replacement or a diesel replacement; and

(i) the number of provisional compliance credits created under subsection 94(2) of these Regulations by the production of the fuel.

3 The following information with respect to each gaseous low-carbon-intensity fuel referred to in section 95 or 100 of these Regulations that is produced in Canada by the registered creator, or the person with whom the registered creator has entered into an agreement under section 21 of these Regulations, during of the period to which the report relates:

(a) its type;

(b) the name, GPS coordinates to the fifth decimal place and, if any, the civic address of each facility at which the fuel is produced;

(c) its carbon intensity that is the default carbon intensity referred to in paragraph 75(1)(a) of these Regulations or that is approved under subsection 85(1) of these Regulations, as the case may be, and any alphanumeric identifier assigned to the carbon intensity under subsection 85(2) of these Regulations;

(d) the type of feedstock that was used to produce the fuel;

(e) the region where the feedstock was extracted, harvested or produced;

(f) its energy density, as set out in column 2 of Schedule 2, as set out in the Specifications for Fuel LCA Model CI Calculations or as measured in accordance with section 162 of these Regulations, at the election of the registered creator;

(g) in the case where the fuel is biogas, renewable natural gas, renewable propane or hydrogen in respect of which compliance credits are created in respect of the gaseous class,

> **(i)** its quantity determined in accordance with subsection 45(1) of these Regulations, expressed in cubic metres, that is produced using an eligible feedstock in order to create compliance credits in accordance with section 95 of these Regulations, and that is used in Canada, and
>
> **(ii)** the number of provisional compliance credits created under subsection 95(1) of these Regulations by the production of the fuel;

(h) in the case where the fuel is renewable natural gas or renewable propane in respect of which compliance credits are created in respect of the liquid class,

(i) the name of the owner or operator of each fuelling station to which the fuel has been supplied,

(ii) the name, GPS coordinates to the fifth decimal place and, if any, civic address of each fuelling station to which the fuel has been supplied,

(iii) its quantity determined in accordance with subsection 45(1) of these Regulations, expressed in cubic metres, that is produced using an eligible feedstock in order to create compliance credits in accordance with section 100 of these Regulations, and that is supplied to vehicles at each fuelling station, and

(iv) the number of provisional compliance credits created under subsection 100(1) of these Regulations by the production of the fuel; and

(i) in the case where the fuel is biogas that is used in an equipment that produces electricity, the amount determined under subsection 95(3) of these Regulations and the value of

(i) the total quantity of electricity that is produced by the equipment, expressed in megajoules,

(ii) the heat energy that is produced by the equipment and used or sold, expressed in megajoules,

(iii) the quantity of that biogas that is used in the equipment, expressed in cubic metres, and

(iv) the energy density of the biogas as set out in item 1, column 2, of Schedule 2, as set out in the Specifications for Fuel LCA Model CI Calculations or as measured in accordance with section 162 of these Regulations, at the election of the registered creator.

4 The following information for each liquid low-carbon-intensity fuel referred to in section 94 of these Regulations that is imported into Canada by the registered creator during the period to which the report relates:

(a) its type;

(b) the province into which the fuel is imported;

(c) the name of each foreign supplier who supplied a quantity of the fuel, as well as the GPS coordinates to the fifth decimal place and, if any, the civic address of each facility at which the fuel was produced;

(d) its carbon intensity that is the default carbon intensity referred to in paragraph 75(1)(a) of these Regulations or that is approved under subsection 85(1) of these Regulations, as the case may be, and any alphanumeric identifier assigned to the carbon intensity under subsection 85(2) of these Regulations;

(e) the type of feedstock that was used to produce the fuel;

(f) the region where the feedstock was extracted, harvested or produced;

(g) its energy density, expressed in megajoules per cubic metre, as set out in column 2 of Schedule 2 or as set out in the Specifications for Fuel LCA Model CI Calculations, at the election of the registered creator;

(h) its quantity determined in accordance with subsection 45(1) of these Regulations, expressed in cubic metres, that is produced using an eligible feedstock and that is imported in order to create compliance credits in accordance with section 94 of these Regulations;

(i) an indication of whether the fuel is a gasoline replacement or a diesel replacement; and

(j) the number of provisional compliance credits created under subsection 94(2) of these Regulations by the import of the fuel.

5 The following information for each gaseous low-carbon-intensity fuel referred to in section 95 or 100 of these Regulations that is imported into Canada by the registered creator during the period to which the report relates:

(a) its type;

(b) the name of each foreign supplier who supplied a quantity of the fuel, as well as the GPS coordinates to the fifth decimal place and, if any, the civic address of each facility at which the fuel was produced;

(c) its carbon intensity that is the default carbon intensity referred to in paragraph 75(1)(a) of these Regulations or that is approved under subsection 85(1) of these Regulations and any alphanumeric identifier assigned to the carbon intensity under subsection 85(2) of these Regulations;

(d) the type of feedstock that was used to produce the fuel;

(e) the region where the feedstock was extracted, harvested or produced;

(f) its energy density, as set out in column 2 of Schedule 2, as set out in the Specifications for Fuel LCA Model CI Calculations or as measured in accordance with section 162 of these Regulations, at the election of the registered creator;

(g) in the case where the fuel is biogas, renewable natural gas, renewable propane or hydrogen in respect of which compliance are created in respect of the gaseous class,

(i) the province into which the fuel is imported,

(ii) its quantity determined in accordance with subsection 45(1) of these Regulations, expressed in cubic metres, that is produced using an eligible feedstock and that is imported in order to create compliance credits in accordance with section 95 of these Regulations, and

(iii) the number of provisional compliance credits created under subsection 95(4) of these Regulations by the import of the fuel;

(h) in the case where the fuel is renewable natural gas or renewable propane in respect of which compliance credits are created in respect of the liquid class,

(i) the name of the owner or operator of each fuelling station to which the fuel has been supplied,

(ii) the name, GPS coordinates to the fifth decimal place and, if any, civic address of each fuelling station to which the fuel has been supplied,

(iii) its quantity determined in accordance with subsection 45(1) of these Regulations, expressed in cubic metres, that is produced using an eligible feedstock that is imported in order to create compliance credits in accordance with section 100 of these Regulations, and that is supplied to vehicles at each fuelling station, and

(iv) the number of provisional compliance credits that are created under subsection 100(2) of these Regulations by the import of the fuel; and

(i) in the case where the fuel is biogas that is used in an equipment that produces electricity, the amount determined under subsection 95(3) of these Regulations and the value of

(i) the total quantity of electricity produced by the equipment, expressed in megajoules,

(ii) the heat energy produced by the equipment and used or sold, expressed in megajoules,

(iii) the quantity of that biogas used in the equipment, expressed in cubic metres, and

(iv) the energy density of the biogas as set out in item 1, column 2, of Schedule 2, as set out in the Specifications for Fuel LCA Model CI Calculations or as measured in accordance with section 162 of these Regulations, at the election of the registered creator.

6 If compliance credits that are created for a low-carbon-intensity fuel referred to in any of sections 2 to 5 are transferred by the registered creator to another participant in accordance with subsection 108(1) of these Regulations, the following information:

(a) the name of each participant to whom compliance credits are transferred;

(b) the quantity of low-carbon-intensity fuel that is sold to each participant, expressed in cubic metres;

(c) for each fuel that is sold to each participant, the carbon intensity that is the default carbon intensity referred to in paragraph 75(1)(a) of these Regulations or that is approved under subsection 85(1) of these Regulations and any alphanumeric identifier assigned to the carbon intensity under subsection 85(2) of these Regulations; and

(d) the number of compliance credits that are transferred to each participant for each fuel.

7 The following information for each quantity of electricity produced using biogas in respect of which provisional compliance credits have been created in accordance with subsection 96(3) of these Regulations during the period to which the report relates:

(a) the name, GPS coordinates to the fifth decimal place and, if any, the civic address of each facility at which the biogas is produced;

(b) the name, GPS coordinates to the fifth decimal place and, if any, civic address of each facility at which electricity is produced;

(c) the carbon intensity of the biogas that is the default carbon intensity referred to in paragraph 75(1)(a) of these Regulations or that is approved under subsection 85(1) of these Regulations and any alphanumeric identifier assigned to the carbon intensity under subsection 85(2) of these Regulations;

(d) the type of feedstock that was used to produce the fuel;

(e) the region where the feedstock was extracted, harvested or produced;

(f) the energy density of the biogas, expressed in megajoules per cubic metre, as set out in item 1, column 2, of Schedule 2, as set out in the Specifications for Fuel LCA Model CI Calculations or as measured in accordance with section 162 of these Regulations, at the election of the registered creator;

(g) the quantity of the biogas, expressed in cubic metres, produced using an eligible feedstock and determined in accordance with subsection 45(1) of these Regulations that is used in Canada in equipment for the production of electricity;

(h) the carbon intensity of the electricity that is produced using the biogas and determined in accordance with subsection 96(2) of these Regulations;

(i) the total quantity of electricity that is produced by the equipment using the biogas at each facility and used in the determination of the carbon intensity of the electricity;

(j) the quantity of electricity that is produced using the biogas at each facility and used to create provisional compliance credits; and

(i) the number of provisional compliance credits that are created under subsection 96(3) of these Regulations by the production of electricity.

SCHEDULE 13

(Subsection 122(2) and paragraphs 157(b) and 158(5)(b))

Contents of Credit-Adjustment Report

1 The following information with respect to the registered creator:

(a) their name, civic address, postal address, telephone number and, if any, email address;

(b) the name, title, civic address, postal address, telephone number and, if any, email address of their authorized agent; and

(c) the name, title, civic address, postal address, telephone number and, if any, email address of a contact person, unless the contact person is the authorized agent.

2 For each three-month period during the compliance period, the following information with respect to each liquid low-carbon-intensity fuel with a particular carbon intensity whose production in Canada during that compliance period results in compliance credits being deposited into the account of their registered creator:

(a) its type;

(b) the name, GPS coordinates to the fifth decimal place and, if any, the civic address of each facility at which the fuel is produced;

(c) the carbon intensity of the fuel and any alphanumeric identifier assigned under subsection 85(2) of these Regulation, as set out in the report submitted under subsection 121(1) of these Regulations for the same three-month period;

(d) the carbon intensity of the fuel as set out in any carbon-intensity-pathway report submitted under subsection 123(1) of these Regulations for the same compliance period;

(e) the type of feedstock that was used to produce the fuel;

(f) the region where the feedstock was extracted, harvested or produced;

(g) the energy density of the fuel, expressed in megajoules per cubic metre, as set out in column 2 of Schedule 2 or as set out in the Specifications for Fuel LCA Model CI Calculations, at the election of the registered creator;

(h) an indication of whether the fuel is a gasoline replacement or a diesel replacement;

(i) the quantity of the fuel, expressed in cubic metres, determined in accordance with subsection 45(1) of these Regulations, that is produced using an eligible feedstock in order to create compliance credits during the same three-month period and that is used in Canada;

(j) the difference between the quantity referred to in paragraph (i) and the quantity set out in the report submitted under subsection 121(1) of these Regulations for the same three-month period;

(k) the quantity of low-carbon-intensity fuel that was exported or sold for export during the period to which the report submitted under subsection 121(1) of these Regulations relates;

(l) the total number of compliance credits to be deposited into any account of the registered creator opened under section 28 of these Regulations and a description of the change or error, if any, which requires the adjustment of credits;

(m) the total number of compliance credits to be canceled from any account of the registered creator opened under section 28 of these Regulations, and a description of the change or error, if any, which requires the cancellation of credits; and

(n) the number of compliance credits, if any, that have been transferred to each participant under subsection 108(1) of these Regulations.

3 For each three-month period during the compliance period, the following information with respect to each gaseous low-carbon-intensity fuel with a particular carbon intensity referred to in section 95 or 100 of these Regulations whose production in Canada during that compliance period results in compliance credits being deposited into the account of the registered creator:

(a) its type;

(b) the name, GPS coordinates to the fifth decimal place and, if any, the civic address of each facility at which the fuel is produced;

(c) the type of feedstock that was used to produce the fuel;

(d) the region where the feedstock was extracted, harvested or produced;

(e) the energy density of the fuel, expressed in megajoules per cubic metre or per kilogram, as set out in column 2 of Schedule 2, as set out in the Specifications for Fuel LCA Model CI Calculations or as measured in accordance with section 162 of these Regulations, at the election of the registered creator;

(f) in the case where the fuel is biogas, renewable natural gas, renewable propane or hydrogen in respect of which compliance credits are created in respect of the gaseous class,

(i) the carbon intensity of the fuel and any alphanumeric identifier assigned under subsection 85(2) of these Regulation, as set out in the report submitted under subsection 121(1) of these Regulations for the same three-month period,

(ii) the carbon intensity set out in any report submitted under subsection 123(1) of these Regulations for the same compliance period,

(iii) the quantity of the fuel, expressed in cubic metres or kilograms, as applicable, determined in accordance with subsection 45(1) of these Regulations that is produced using an eligible feedstock in order to create compliance credits under subsection 95(1) of these Regulations during the same three-month period and that is used in Canada, and

(iv) the difference between the quantity referred to in subparagraph (iii) and the quantity set out in the report submitted under subsection 121(1) of these Regulations for the same three-month period;

(g) in the case where the fuel is renewable natural gas or renewable propane in respect of which compliance credits are created in respect of the liquid class,

(i) the name of the owner or operator of each fuelling station to which the fuel has been supplied,

(ii) the name, GPS coordinates to the fifth decimal place and, if any, civic address of each fuelling station to which the fuel has been supplied,

(iii) the carbon intensity of the fuel and any alphanumeric identifier assigned under subsection 85(2) of these Regulation, as set out in the report submitted under subsection 121(1) of these Regulations for the same three-month period,

(iv) the carbon-intensity of the fuel as set out in any report submitted under subsection 123(1) of these Regulations for the same compliance period,

(v) the quantity of the fuel determined in accordance with subsection 45(1) of these Regulations, expressed in cubic metres, that is produced using an eligible feedstock in order to create compliance credits during the same three-month period in accordance with section 100 of these Regulations, and that is supplied to vehicles at each fuelling station, and

(vi) the difference between the quantity referred to in subparagraph (v) and the quantity set out in the report submitted under subsection 121(1) of these Regulations for the same three-month period;

(h) the quantity of low-carbon-intensity fuel that was exported or sold for export during the period to which the report submitted under subsection 121(1) of these Regulations relates;

(i) in the case where the production of the low-carbon-intensity fuel results in the creation of compliance credits under subsection 95(1) of these Regulations,

(i) the total number of compliance credits to be deposited into any account of the registered creator opened under paragraph 28(b) of these Regulations and a description of the change or error, if any, which requires the adjustment of credits, and

(ii) the total number of compliance credits to be canceled from any account of the registered creator opened under paragraph 28(b) of these Regulations, and a description of the change or error, if any, which requires the cancellation of credits;

(j) in the case where the production of the low-carbon-intensity fuel results in the creation of compliance credits under subsection 100(1) of these Regulations,

(i) the total number of compliance credits to be deposited into any account of the registered creator opened under paragraph 28(a) of these Regulations and a description of the change or error, if any, which requires the adjustment of credits, and

(ii) the total number of compliance credits to be canceled from any account of the registered creator opened under paragraph 28(a) of these Regulations, and a description of the change or error, if any, which requires the cancellation of credits; and

(k) the number of compliance credits, if any, that are transferred to each participant under subsection 108(1) of these Regulations and the name of that participant.

4 For each three-month period during the compliance period, the following information with respect to each liquid low-carbon-intensity fuel with a particular carbon intensity whose import into Canada during that compliance period results in compliance credits being deposited into the account of their registered creator:

(a) its type;

(b) the province into which the fuel is imported;

(c) the name of each foreign supplier who supplied a quantity of the fuel, as well as the GPS coordinates to the fifth decimal place and, if any, the civic address of each facility at which the fuel was produced;

(d) the carbon intensity of the fuel and any alphanumeric identifier assigned under subsection 85(2) of these Regulations, as set out in the report submitted under subsection 121(1) of these Regulations for the same three-month period;

(e) the carbon intensity of the fuel as set out in any report submitted under subsection 123(1) of these Regulations for the same compliance period;

(f) the type of feedstock that was used to produce the fuel;

(g) the region where the feedstock was extracted, harvested or produced;

(h) the energy density of the fuel, expressed in megajoules per cubic metre, as set out in column 2 of Schedule 2 or as set out in the Specifications for Fuel LCA Model CI Calculations, at the election of the registered creator;

(i) the quantity of the fuel, expressed in cubic metres, determined in accordance with subsection 45(1) of these Regulations, that is produced using an eligible feedstock and that is imported in order to create compliance credits during the same three-month period and that is used in Canada;

(j) the difference between the quantity referred to in paragraph (i) and the quantity set out in the report submitted under subsection 121(1) of these Regulations for the same three-month period;

(k) the quantity of low-carbon-intensity fuel that was exported or sold for export during the period to which the report submitted under subsection 121(1) of these Regulations relates;

(l) the total number of compliance credits to be deposited into any account of the registered creator opened under section 28 of these Regulations and a description of the change or error, if any, which requires the adjustment of credits;

(m) the total number of compliance credits to be canceled from any account of the registered creator opened under section 28 of these Regulations, and a description of the change or error, if any, which requires the cancellation of credits; and

(n) the number of compliance credits, if any, that have been transferred to each participant under subsection 108(1) of these Regulations.

5 For each three-month period during the compliance period, the following information with respect to each gaseous low-carbon-intensity fuel with a particular carbon intensity referred to in section 95 or 100 of these Regulations whose import into Canada during that compliance period results in compliance credits being deposited into the account of their registered creator:

(a) its type;

(b) the province into which the fuel is imported;

(c) the name of each foreign supplier who supplied a quantity of the fuel, as well as the GPS coordinates to the fifth decimal place and, if any, the civic address of each facility at which the fuel was produced;

(d) the type of feedstock that was used to produce the fuel;

(e) the region where the feedstock was extracted, harvested or produced;

(f) its carbon intensity set out in the report submitted under subsection 121(1) of these Regulations for the same three-month period and any report submitted under subsection 123(1) of these Regulations for the same compliance period, and any alphanumeric identifier assigned under subsection 85(2) of these Regulations;

(g) the energy density of the fuel, expressed in megajoules per cubic metre or per kilogram, as set out in column 2 of Schedule 2, as set out in the Specifications for Fuel LCA Model CI Calculations or as measured in accordance with section 162 of these Regulations, at the election of the registered creator;

(h) in the case where the fuel is biogas, renewable natural gas, renewable propane or hydrogen in respect of which compliance credits are created in respect of the gaseous class,

(i) the carbon intensity of the fuel and any alphanumeric identifier assigned under subsection 85(2) of these Regulation, as set out in the report submitted under subsection 121(1) of these Regulations for the same three-month period,

(ii) the carbon intensity set out in any report submitted under subsection 123(1) of these Regulations for the same compliance period,

(iii) the quantity of the fuel, expressed in cubic metres or kilograms, as applicable, determined in accordance with subsection 45(1) of these Regulations that is produced using an eligible feedstock in order to create compliance credits under subsection 95(1) of these Regulations during the same three-month period and that is used in Canada, and

(iv) the difference between the quantity referred to in subparagraph (iii) and the quantity set out in the report submitted under subsection 121(1) of these Regulations for the same three-month period;

(i) in the case where the fuel is renewable natural gas or renewable propane in respect of which compliance credits are created in respect of the liquid class,

(i) the name of the owner or operator of each fuelling station to which the fuel has been supplied,

(ii) the name, GPS coordinates to the fifth decimal place and, if any, civic address of each fuelling station to which the fuel has been supplied,

(iii) the carbon intensity of the fuel and any alphanumeric identifier assigned under subsection 85(2) of these Regulation, as set out in the report submitted under subsection 121(1) of these Regulations for the same three-month period,

(iv) the carbon-intensity of the fuel as set out in any report submitted under subsection 123(1) of these Regulations for the same compliance period,

(v) the quantity of the fuel determined in accordance with subsection 45(1) of these Regulations, expressed in cubic metres, that is produced using an eligible feedstock that is imported in order to create compliance credits during the same three-month period in accordance with section 100 of these Regulations, and

(vi) the difference between the quantity referred to in subparagraph (v) and the quantity set out in the report submitted under subsection 121(1) of these Regulations for the same three-month period;

(j) the quantity of low-carbon-intensity fuel that was exported or sold for export during the period to which the report submitted under subsection 121(1) of these Regulations relates;

(k) in the case where the import of the low-carbon-intensity fuel results in the creation of compliance credits under subsection 95(1) of these Regulations,

(i) the total number of compliance credits to be deposited into any account of the registered creator opened under paragraph 28(b) of these Regulations and a description of the change or error, if any, which requires the adjustment of credits, and

(ii) the total number of compliance credits to be canceled from any account of the registered creator opened under paragraph 28(b) of these Regulations, and a description of the change or error, if any, which requires the cancellation of credits;

(l) in the case where the import of the low-carbon-intensity fuel results in the creation of compliance credits under subsection 100(1) of these Regulations,

(i) the total number of compliance credits to be deposited into any account of the registered creator opened under paragraph 28(a) of these Regulations and a description of the change or error, if any, which requires the adjustment of credits, and

(ii) the total number of compliance credits to be canceled from any account of the registered creator opened under paragraph 28(a) of these Regulations, and a description of the change or error, if any, which requires the cancellation of credits; and

(m) the number of compliance credits, if any, that have been transferred to each participant under subsection 108(1) of these Regulations.

6 The following information with respect to each low-carbon-intensity fuel, other than those referred to in sections 2 to 5, for which compliance credits have been created:

(a) the quantity of the fuel that was exported or sold for export during the period to which the report relates;

(b) its carbon intensity and any alphanumeric identifier assigned to it under subsection 85(2) of these Regulations; and

(c) the total number of compliance credits to be canceled from any account of the registered creator opened under section 28 of these Regulations.

7 For each three-month period during the compliance period, the following information for each quantity of electricity produced using biogas with a particular carbon intensity whose production in Canada during that compliance period resulted in the deposit of provisional compliance credits into the account of the registered creator:

(a) the name, GPS coordinates to the fifth decimal place and, if any, the civic address of each facility at which the biogas is produced;

(b) the name, GPS coordinates to the fifth decimal place and, if any, civic address of each facility at which electricity is produced;

(c) the carbon intensity of the biogas and any alphanumeric identifier assigned to the biogas under subsection 85(2) of these Regulations, as set out in the report submitted under subsection 121(1) of these Regulations;

(d) the carbon intensity of the biogas as set out in any report submitted under subsection 123(1) of these Regulations for the same compliance period;

(e) the type of feedstock that was used to produce the fuel;

(f) the region where the feedstock was extracted, harvested or produced;

(g) the carbon intensity of the electricity that is produced using the biogas as set out in the report submitted under subsection 121(1) of these Regulations for the same three-month period;

(h) the carbon intensity of the electricity that is produced using the biogas, as determined in accordance with subsection 96(2) of these Regulations;

(i) the energy density of the biogas, expressed in megajoules per cubic metre or per kilogram, as set out in item 1, column 2, of Schedule 2, as set out in the Specifications for Fuel LCA Model CI

Calculations or as measured in accordance with section 162 of these Regulations, at the election of the registered creator;

(j) the quantity of the biogas, expressed in cubic metres, determined in accordance with subsection 45(1) of these Regulations that is produced using an eligible feedstock and that is used in equipment for the production of electricity in Canada in order to create compliance credits during the same three-month period;

(k) the difference between the quantity referred to in subparagraph (j) and the quantity set out in the report submitted under subsection 121(1) of these Regulations for the same three-month period;

(l) the total quantity of electricity that is produced by the equipment using the biogas at each facility during the same three-month period and that is used in the determination of the carbon intensity of the electricity;

(m) the difference between the total referred to in paragraph (l) and the total set out in the report submitted under subsection 121(1) of these Regulations for the same three-month period;

(n) the quantity of electricity that is produced using the biogas and used to create compliance credits during the same three-month period; and

(o) the difference between the quantity referred to in paragraph (n) and the quantity set out in the report submitted under subsection 121(1) of these Regulations for the same three-month period;

(p) for the biogas used in the production of the electricity, the total number of compliance credits to be deposited into any account of the registered creator opened under section 28 of these

Regulations and a description of the change or error, if any, which requires the adjustment of credits; and

(q) for the biogas used in the production of the electricity, the total number of compliance credits to be canceled from any account of the registered creator opened under section 28 of these Regulations, and a description of the change or error, if any, which requires the cancellation of credits.

8 The following information with respect to each low-carbon-intensity fuel for which the registered creator has requested the creation of compliance credits under sections 88 and 89 of these Regulations:

(a) the carbon intensity of the fuel and the alphanumeric identifier assigned to it under subsection 85(2) of these Regulations;

(b) in the case where its carbon intensity has been the subject of an application for temporary approval under subsection 91(1) of these Regulations,

(i) any carbon intensity that has been temporarily approved under subsection 91(4) of these Regulations and any alphanumeric identifier assigned to it under subsection 91(5) of these Regulations,

(ii) the period during which the temporarily approved carbon intensity was used to create compliance credits,

(iii) the quantity of fuel that is determined in accordance with subsection 45(1) of these Regulations, expressed in cubic metres or kilograms, that is produced using an eligible feedstock and supplied during the period referred to in subparagraph (ii),

(iv) the energy density of the fuel, expressed in megajoules per cubic metre or per kilogram, as set out in column 2 of Schedule 2, as set out in the Specifications for Fuel LCA Model CI

Calculations or as measured in accordance with section 162 of these Regulations, at the election of the registered creator,

(v) the number of compliance credits to be deposited into any account of the registered creator opened under section 28 of these Regulations, for the period referred to in subparagraph (ii), and

(vi) the number of compliance credits to be canceled from any account of the registered creator opened under section 28 of these Regulations for the period referred to in subparagraph (ii);

(c) in the case where its carbon intensity that was used to create compliance credits is the carbon intensity referred to in paragraph 75(1)(a) of these Regulations,

(i) its carbon intensity,

(ii) the period during which the carbon intensity was used to create compliance credits,

(iii) the quantity of fuel that is determined in accordance with subsection 45(1) of these Regulations, expressed in cubic metres or kilograms, that is produced using an eligible feedstock and supplied during the period referred to in subparagraph (ii),

(iv) its energy density, expressed in megajoules per cubic metre or per kilogram, as set out in column 2 of Schedule 2, as set out in the Specifications for Fuel LCA Model CI Calculations or as measured in accordance with section 162 of these Regulations, at the election of the registered creator,

(v) the number of compliance credits to be deposited into any account of the registered creator opened under section 28 of these Regulations, for the period referred to in subparagraph (ii), and

(vi) the number of compliance credits to be canceled from any account of the registered creator opened under section 28 of these Regulations for the period referred to in subparagraph (ii);

(d) in the case where its carbon intensity is determined in accordance with paragraph 75(1)(b) of these Regulations,

(i) its carbon intensity and any alphanumeric identifier assigned to it under subsection 85(2) of these Regulations,

(ii) the period during which the carbon intensity was used to create compliance credits,

(iii) the quantity of fuel that is determined in accordance with subsection 45(1) of these Regulations, expressed in cubic metres or kilograms, that is produced using an eligible feedstock and supplied during the period referred to in subparagraph (ii),

(iv) its energy density, expressed in megajoules per cubic metre or per kilogram, as set out in column 2 of Schedule 2, as set out in the Specifications for Fuel LCA Model CI Calculations or as measured in accordance with section 162 of these Regulations, at the election of the registered creator,

(v) the number of compliance credits to be deposited into any account of the registered creator opened under paragraph 28(a) of these Regulations, for the period referred to in subparagraph (ii), and

(vi) the number of compliance credits to be canceled from any account of the registered creator opened under paragraph 28(a) of these Regulations for the period referred to in subparagraph (ii).

9 The following information with respect to each low-carbon-intensity fuel for which the registered creator has requested the creation of compliance credits after July 1, 2024:

(a) the carbon intensity of the fuel that is approved after July 1, 2024 and the alphanumeric identifier assigned to it under subsection 85(2) of these Regulations;

(b) the carbon intensity that is set out in any report submitted under subsection 123(1) of these Regulations for the same compliance period;

(c) in the case where the carbon intensity of the fuel has been approved before June 30, 2024, that carbon intensity and the alphanumeric identifier assigned to it under subsection 85(2) of these Regulations, as well as

(i) the period during which the approved carbon intensity was used to create compliance credits,

(ii) the quantity of fuel, expressed in cubic metres or kilograms, determined in accordance with subsection 45(1) of these Regulations that is produced using an eligible feedstock that was supplied during the period referred to in subparagraph (i), and

(iii) the energy density of the fuel, expressed in megajoules per cubic metre or per kilogram, as set out in column 2 of Schedule 2 or as set out in the Specifications for Fuel LCA Model CI Calculations, at the election of the registered creator;

(d) in the case where the carbon intensity has been temporarily approved under subsection 91(4) of these Regulations or has been determined in accordance with paragraph 75(1)(b) of these Regulations and used to create compliance credits before June 30, 2024, that carbon intensity and any alphanumeric identifier assigned to it under subsection 85(2) of these Regulations, as well as

(i) the period during which the carbon intensity was used to create compliance credits,

(ii) the quantity of fuel expressed in cubic metres or kilograms, determined in accordance with subsection 45(1) of these Regulations that is produced using an eligible feedstock that was supplied during the period referred to in subparagraph (i), and

(iii) the energy density of the fuel, expressed in megajoules per cubic metre or per kilogram, as set out in column 2 of Schedule 2 or as set out in the Specifications for Fuel LCA Model CI Calculations, at the election of the registered creator; and

(e) the total number of compliance credits to be deposited into any account of the registered creator opened under section 28 of these Regulations.

10 The following information with respect to any modification or error, other than any that are referred to in sections 2 to 9:

(a) the nature of the modification or error;

(b) the provision of Schedule 12 to which it relates;

(c) the number of compliance credits to be deposited into any account of the registered creator opened under section 28 of these Regulations; and

(d) the number of compliance credits to be canceled from any account of the registered creator opened under section 28 of these Regulations.

11 The total number of compliance credits that are referred to in sections 2 to 9 and that are in any account of the registered creator opened under section 28 of these Regulations that should be canceled.

12 The total number of compliance credits that are referred to in sections 2 to 9 that should be created and deposited in an account of the registered creator opened under section 28 of these Regulations.

13 The net total number of compliance credits that are in any account of the registered creator opened under section 28 of these Regulations in respect of which a credit adjustment has been requested.

SCHEDULE 14
(Paragraph 1(4)(p) and subsection 123(2))

Contents of Carbon-Intensity-Pathway Report

1 The following information with respect to the registered creator, carbon-intensity contributor or foreign supplier:

(a) their name, civic address, postal address, telephone number and, if any, email address;

(b) the name, title, civic address, postal address, telephone number and, if any, email address of their authorized agent; and

(c) the name, title, civic address, postal address, telephone number and, if any, email address of a contact person, unless the contact person is the authorized agent.

2 In the case of a fuel or material input with an approved carbon intensity determined in accordance with paragraph 75(1)(b) or section 76 or 77 of these Regulations, the following information:

(a) the name, GPS coordinates to the fifth decimal place and, if any, civic address of the production facility where the low-carbon-intensity fuel or material input was produced;

(b) the type of low-carbon-intensity fuel or material input for which the determination was made;

(c) if the approved carbon intensity was determined in accordance with paragraph 75(1)(b) of these Regulations,

(i) the type of feedstock that was used to produce the fuel or material input,

(ii) if a feedstock was extracted, harvested or produced, the region where it was extracted , harvested or produced, as the case may be,

(iii) the carbon intensity of the fuel or material input that was approved under subsection 85(1) of these Regulations and any alphanumeric identifier that was assigned to that carbon intensity,

(iv) the type of thermal energy and the source of electricity used at the production facility,

(v) if the application for the approval of the carbon intensity indicated that the variable CI_p of the formula that is referred to in paragraph 75(1)(b) of these Regulations has a value of 13 g/MJ, the percentage of the electrical and thermal energy used at the production facility that is from non-fossil sources, electricity with a carbon intensity of less than 100 g/MJ, hydrogen from renewable sources, hydrogen from natural gas with carbon capture and storage or a mix of those sources and the estimated quantity of thermal energy and electricity from each source, and

(vi) if the application for the approval of the carbon intensity indicated that the variable CI_{td} of the formula that is referred to in paragraph 75(1)(b) of these Regulations has a value of 0 g/MJ, the distance between the site where the feedstock was extracted, harvested or produced and the production facility where the fuel or material input was produced and the distance between that facility and the final location where the fuel or material input is distributed to end users; and

(d) if the approved carbon intensity was determined in accordance with section 76 or 77 of these Regulations,

(i) a copy of the pathway from the Fuel LCA Model, including all data that are input into the Fuel LCA Model and all results that are obtained from it using input data for the compliance period and the preceding compliance period,

(ii) the carbon intensity of the fuel or material input, rounded to the nearest hundredth of a gram of CO_2e per megajoule,

(iii) if an additional value referred to in subsection 80(2) of these Regulations has been added to the carbon intensity referred to in subparagraph (ii), the additional value and the sum of the additional value and the carbon intensity value, rounded to the nearest hundredth of a gram of CO_2e per megajoule,

(iv) if the pathway from the Fuel LCA Model that was used for the determination of the carbon intensity is a new pathway, any alphanumeric identifier assigned to the new pathway under subsection 81(4) of these Regulations,

(v) a description of the data sources and the methods used to collect and determine the data that are entered into a data workbook,

(vi) a copy of the data workbook, including any calculations performed on the data, that is consistent with the Specifications for Fuel LCA Model CI Calculations and used to determine the data that are inputted into the Fuel LCA Model,

(vii) any supporting documentation required by the Specifications for Fuel LCA Model CI Calculations, and

(viii) the information listed in any applicable emission-reduction quantification method established under subsection 31(1) or 32(1) of these Regulations.

3 In the case of a carbon intensity determined in accordance with section 78 of these Regulations, the following information:

(a) the name, GPS coordinates to the fifth decimal place and, if any, civic address of each location where a fuelling station supplied the fuel;

(b) the GPS coordinates to the fifth decimal place and, if any, civic address of each location, other than a fuelling station, where propane, renewable propane, co-processed low-carbon-intensity propane, natural gas, renewable natural gas or hydrogen is liquefied or compressed for use in the fuelling station;

(c) the type of fossil fuel supplied, if any, to each fuelling station referred to in paragraph (a);

(d) the type of low-carbon-intensity fuel supplied, if any, to vehicles at each fuelling station referred to in paragraph (a);

(e) a copy of the pathway from the Fuel LCA Model, including all data that are inputted into the Fuel LCA Model and all results that are obtained from it, using input data for the compliance period and the preceding compliance period;

(f) the carbon intensity of the fuel determined in accordance with the Fuel LCA Model, rounded to the nearest hundredth of a gram of CO_2e per megajoule;

(g) if an additional value referred to in subsection 80(2) of these Regulations has been added to the carbon intensity referred to in paragraph (f), the additional value and the sum of the additional value and the carbon intensity value, rounded to the nearest hundredth of a gram of CO_2e per megajoule;

(h) in the case of a new pathway, any alphanumeric identifier assigned to the new pathway under subsection 81(4) of these Regulations;

(i) a description of the data sources and the methods used to collect and determine the data that are entered into a data workbook;

(j) a copy of the data workbook, including any calculations performed on the data, that is consistent with the Specifications for Fuel LCA Model CI Calculations and used to determine the data that are inputted into the Fuel LCA Model;

(k) any supporting documentation required by the Specifications for Fuel LCA Model CI Calculations; and

(l) the information listed in any applicable emission-reduction quantification method established under subsection 31(1) or 32(1) of these Regulations.

4 In the case of a carbon intensity determined in accordance with section 79 of these Regulations, the following information:

(a) the name, GPS coordinates to the fifth decimal place and, if any, civic address of each facility or location where there is one or more charging stations or fuelling stations to which any electricity was supplied;

(b) the GPS coordinates to the fifth decimal place and, if any, civic address of each site where any electricity was produced, other than a facility or location referred to in paragraph (a);

(c) a copy of the pathway from the Fuel LCA Model, including all data that are inputted into the Fuel LCA Model and all results that are obtained from it, using input data for the compliance period and the preceding compliance period;

(d) the carbon intensity of the electricity determined in accordance with the Fuel LCA Model, rounded to the nearest hundredth of a gram of CO_2e per megajoule;

(e) if an additional value referred to in subsection 80(2) of these Regulations has been added to the carbon intensity value referred to in paragraph (d), the additional value and the sum of the additional value and the carbon intensity value, rounded to the nearest hundredth of a gram of CO_2e per megajoule;

(f) in the case of a new pathway, any alphanumeric identifier assigned to the new pathway under subsection 81(4) of these Regulations;

(g) a description of the data sources and the methods used to collect and determine the data that are entered into a data workbook;

(h) a copy of the data workbook, including any calculations performed on the data, that is consistent with the Specifications for Fuel LCA Model CI Calculations and used to determine the data that are inputted into the Fuel LCA Model;

(i) any supporting documentation required by the Specifications for Fuel LCA Model CI Calculations; and

(j) the information listed in any applicable emission-reduction quantification method established under subsection 31(1) or 32(1) of these Regulations.

5 If the determination of the carbon intensity includes a carbon intensity that was approved under subsection 85(1) of these Regulations and transferred from a carbon-intensity contributor, foreign supplier or registered creator, the following information:

(a) the name, civic address, postal address, telephone number and, if any, email address, of the carbon-intensity contributor, foreign supplier or registered creator;

(b) the type of low-carbon-intensity fuel, material input or energy source that they provided; and

(c) the approved carbon intensity of the low-carbon-intensity fuel, material input or energy source referred to in paragraph (b) and the alphanumeric identifier assigned to it under section 85(2) of these Regulations.

6 If the actual carbon intensity specified in the report is different than the carbon intensity that was approved under subsection 85(1) of these Regulations, information that explains the difference.

SCHEDULE 15
(Paragraph 1(4)(q) and subsection 124(2))

Contents of Material Balance Report

1 The following information with respect to the registered creator or foreign supplier:

(a) their name, civic address, postal address, telephone number and, if any, email address; and

(b) the name, title, civic address, postal address, telephone number and, if any, email address of their authorized agent.

2 An indication of whether the feedstock that was used to produce the low-carbon-intensity fuel is a feedstock referred to in paragraph 46(1)(b) or (c) of these Regulations.

3 The type of feedstock that was used to produce the low-carbon-intensity fuel for which compliance credits may be created by carrying out a CO_2e-emission-reduction project described in paragraph 30(d) of these Regulations or under any of sections 94 to 96, 99, 100 and 104 of these Regulations.

4 The type of low-carbon-intensity fuel that was produced.

5 The alphanumeric identifier assigned to the carbon intensity of the fuel under subsection 72(2) of these Regulations or the default carbon intensity that is referred to in paragraph 75(1)(a), whichever is

applicable.

6 The energy density of the low-carbon-intensity fuel, expressed in megajoules per cubic metre.

7 The following information in respect of each period set out in subsection 45(3):

(a) the total quantity of low-carbon-intensity fuel referred to in subsection 45(1) of these Regulations;

(b) the quantity of the low-carbon-intensity fuel produced, which must be equal to or less than the quantity referred to in subsection 45(1) of these Regulations, using eligible feedstock for the purpose of creating compliance credits or to be imported into Canada for the purpose of creating compliance credits;

(c) the quantity of eligible feedstock used to produce the low-carbon-intensity fuel referred to in subsection 45(1) of these Regulations, expressed in kilograms or cubic metres, as applicable;

(d) the quantity of the feedstock, other than the quantity of an eligible feedstock, that was used to produce the low-carbon-intensity fuel referred to in subsection 45(1) of these Regulations, expressed in kilograms or cubic metres, as applicable;

(e) the quantity of eligible feedstock referred to in subsection 47(2) of these Regulations that was used to produce the low-carbon-intensity fuel in each of the facilities at the start of the period, expressed in kilograms or cubic metres, as applicable; and

(f) the quantity of eligible feedstock referred to in subsection 47(2) of these Regulations that was used to produce the low-carbon-intensity fuel and that was brought to the facility during the period , expressed in kilograms or in cubic metres, as applicable.

8 If the foreign supplier supplies low-carbon-intensity fuel to any person who imports that fuel into Canada, the following information:

(a) the name, civic address, postal address, telephone number and, if any, email address of the person who imported the low-carbon-intensity fuel;

(b) the unique identifier used by the foreign supplier for their internal accounting purposes for each declaration referred to in subsection 58(3) of these Regulations that was provided by the foreign supplier to the person who imports the fuel into Canada; and

(c) the total quantity of the low-carbon-intensity fuel, expressed in kilograms or cubic metres, that was produced using eligible feedstock and supplied to the person who imports the fuel into Canada for the purpose of creating compliance credits.

SCHEDULE 16
(Subsection 125(2))

Contents of Compliance-Credit Revenue Report

1 The following information with respect to the registered creator:

(a) their name, civic address, postal address, telephone number and, if any, email address;

(b) the name, title, civic address, postal address, telephone number and, if any, email address of their authorized agent; and

(c) the name, title, civic address, postal address, telephone number and, if any, email address of a contact person, unless the contact person is the authorized agent.

2 The number of compliance credits that the registered creator transferred during the compliance period referred to in paragraph 125(1)(a) of these Regulations.

3 The total revenue from the transfer of the compliance credits referred to in section 2.

4 The amount that the registered creator spent during each compliance period referred to in paragraph 125(1)(b) of these Regulations in respect of the following activities:

(a) expanding electric vehicle charging infrastructure, including charging stations and electricity distribution infrastructure that supports electric vehicle charging, whether intended primarily for use by the occupants of a private dwelling-place or by the public; and

(b) reducing the cost of electric vehicle ownership through financial incentives to purchase or operate an electric vehicle.

5 A description of each of the activities referred to in section 4 that the registered creator carried out.

6 For each compliance period referred to in paragraph 125(1)(b) of these Regulations, the amount of revenue that is derived from the transferring of compliance credits during that compliance period that must be used in accordance with subsection 103(1) of these Regulations but has not yet been used.

7 The amount of revenue, if any, derived from the transferring of compliance credits during any compliance period preceding the compliance period referred to in section 6 that has not yet been used.

SCHEDULE 17
(Subsection 126(2))

Contents of Compliance-Credit Balance Report

1 The following information with respect to the registered creator or primary supplier:

(a) their name, civic address, postal address, telephone number and, if any, email address;

(b) the name, title, civic address, postal address, telephone number and, if any, email address of their authorized agent; and

(c) the name, title, civic address, postal address, telephone number and, if any, email address of a contact person, unless the contact person is the authorized agent.

2 With respect to each of the specific types of compliance credits that are referred to in subsection 106(3), the following information:

(a) the number of those compliance credits that the registered creator created as provisional compliance credits during the compliance period;

(b) the number of those compliance credits that the registered creator or primary supplier transferred s in accordance with subsection 106(5) of these Regulations during the compliance period;

(c) the number of those compliance credits that were deposited in the registered creator's or primary supplier's accounts in accordance with subsection 106(5) of these Regulations during the compliance period;

(d) the number of those compliance credits that were transferred from the registered creator's accounts in accordance with subsection 108(1) of these Regulations during the compliance period;

(e) the number of those compliance credits that were deposited in the registered creator's or primary supplier's accounts in accordance with subsection 108(1) of these Regulations during the compliance period;

(f) the number of those compliance credits that were transferred from the registered creator's or primary supplier's accounts in accordance with section 109 of these Regulations during the

compliance period;

(g) the number of those compliance credits that were created as provisional compliance credits during the compliance period or any preceding compliance period and that were in the registered creator's or primary supplier's accounts on the July 31 that follows the end of the compliance period;

(h) the number of those compliance credits that the registered creator or primary supplier offers to transfer through the compliance-credit clearance mechanism in accordance with subsection 110(1) of these Regulations; and

(i) the number of those compliance credits that were transferred from the registered creator's or primary supplier's accounts during the compliance period preceding the current compliance period in accordance with subsection 112(1) of these Regulations.

SCHEDULE 18
(Subsection 127(2 and 158(5)(b)))

Contents of Compliance Report

1 The following information with respect to the primary supplier:

(a) their name, civic address, postal address, telephone number and, if any, email address;

(b) the name, title, civic address, postal address, telephone number and, if any, email address of their authorized agent; and

(c) the name, title, civic address, postal address, telephone number and, if any, email address of a contact person, unless the contact person is the authorized agent.

2 The following information with respect to each type of liquid fuel that is described in paragraph 8(1)(a) or (b) of these Regulations:

(a) its type;

(b) in the case where the fuel is produced in Canada,

(i) the name, GPS coordinates to the fifth decimal place and, if any, civic address of each facility at which the fuel was produced, and

(ii) the quantity of fuel produced in each facility referred to in subparagraph (i), expressed in cubic metres, other than any fuel that is referred to in paragraphs 4(2)(a) to (d) of these Regulations;

(c) in the case where the fuel was imported into Canada,

(i) the quantity of the fuel imported into each province, expressed in cubic metres, other than any fuel that is referred to in paragraphs 4(2)(a) to (d) of these Regulations, and its point of entry into that province,

(ii) the method used to transport the fuel, and

(iii) if the fuel is part of a blend, the components of that blend and the proportion of that blend that is a fossil fuel;

(d) in the case of gasoline, the volume that is referred to in subsection 6(2) of these Regulations;

(e) in the case of diesel, the volumes that are referred to in subsection 7(2) of these Regulations;

(f) for each of the primary supplier's fuel production facilities referred to in subparagraph (b)(i), the quantity of each fuel referred to in paragraphs 8(2)(a) to (e) of these Regulations that is produced at that fuel production facility and that the primary supplier is subtracting from their pool, expressed in cubic metres;

(g) for each province, the quantity of each fuel referred to in paragraphs 8(2)(a) to (e) of these Regulations that is imported into Canada by the primary supplier and that the primary supplier is subtracting from their pool, expressed in cubic metres;

(h) the volume of each fuel that is subject to the volumetric requirements set out in subsections 6(1) and 7(1) of these Regulations;

(i) the volume of each fuel that is subject to the reduction requirement;

(j) the primary supplier's reduction requirement with respect to the fuel; and

(k) the primary supplier's total reduction requirement.

3 The quantity of each fuel referred to in paragraphs 4(2)(a) to (d) of these Regulations that the primary supplier produced in Canada or imported into Canada, expressed in cubic metres.

4 If the primary supplier made a contribution to a registered emission-reduction funding program in accordance with paragraph 118(1)(a) of these Regulations,

(a) the name of the registered emission-reduction funding program;

(b) the amount of the contribution;

(c) the number of compliance credits created by making the contribution; and

(d) the receipt referred to in subsection 118(2) of these Regulations.

5 The following information with respect to the compliance credits that the primary supplier will use to satisfy the reduction requirement and the volumetric requirements set out in subsections 6(1) and 7(1) of

these Regulations in respect of their pool of gasoline or diesel in accordance with sections 11 and 12 of these Regulations:

(a) the number of compliance credits referred to in paragraph 4(c) that they will use to reduce the reduction requirement;

(b) the number of each of the specific types of compliance credits that are referred to in subsection 106(3) of these Regulations that they will use to reduce the reduction requirement and satisfy the volumetric requirements set out in subsections 6(1) and 7(1) of these Regulations;

(c) the number of each of the specific types of compliance credits referred to in subsection 106(3) of these Regulations that were created with respect to a gasoline replacement and, for each such compliance credit, the volume of the fuel that is associated with it as well as the carbon intensity and any alphanumeric identifier to it;

(d) the number of each of the specific types of compliance credits referred to in subsection 106(3) of these Regulations that were created with respect to a diesel replacement and, for each such compliance credit, the volume of the fuel that is associated with it as well as the carbon intensity and any alphanumeric identifier to it; and

(e) the total number of compliance credits from each of the primary supplier's accounts that they will use to reduce the reduction requirement.

6 If the primary supplier has, in accordance with subsection 16(1) of these Regulations, deferred satisfaction of their reduction requirements in respect of a pool of gasoline or diesel for one of the five compliance periods that immediately precede the compliance period to which the report relates, the following information:

(a) the number of compliance credits that they must use in accordance with subsection 18(1) of these Regulations in order to satisfy the deferred portion of their reduction requirements in accordance with subsection 16(3) of these Regulations; and

(b) the number of each of the specific types of compliance credits that are referred to in subsection 106(3) of these Regulations that they must use in accordance with subsection 18(1) of these Regulations; and

(c) the number of compliance credits referred to in paragraph 4(c) that they must use in order to reduce the deferred portion of the reduction requirements.

7 Unless the information is otherwise provided by the primary supplier in a report they submit under section 120 or 122 of these Regulations, the quantity and carbon intensity of each liquid or gaseous low-carbon-intensity fuel that was produced in Canada or imported into Canada and was used to create compliance credits, if

(a) during the compliance period, the primary supplier exported the fuel or sold the fuel for export; or

(b) the primary supplier acquired the fuel in accordance with a transfer request referred to in section 108 of these Regulations and, during the compliance period, the fuel was exported or sold for export by a person who is not a primary supplier nor a registered creator.

8 With respect to each low-carbon-intensity fuel referred to in section 7, the number of compliance credits that should be cancelled and the specific accounts in which they are located.

SCHEDULE 19

(Subsection 128(2))

Contents of Complementary Compliance Report

1 The following information with respect to the primary supplier:

(a) their name, civic address, postal address, telephone number and, if any, email address;

(b) the name, title, civic address, postal address, telephone number and, if any, email address of their authorized agent; and

(c) the name, title, civic address, postal address, telephone number and, if any, email address of a contact person, unless the contact person is the authorized agent.

2 If the primary supplier has not satisfied the reduction requirement for a compliance period in respect of gasoline or diesel on the July 31 that follows the expiry of the compliance period, the following information:

(a) the value of the reduction requirement that has not been satisfied in respect of gasoline or diesel, expressed in tonnes of CO_2e; and

(b) the value of the volumetric requirement that is determined under, in the case of gasoline, subsection 6(1) of these Regulations or, in the case of diesel, subsection 7(1) of these Regulations and that has not been satisfied, expressed in cubic metres.

3 With respect to each of the specific types of compliance credits that are referred to in subsection 106(3) of these Regulations, the number of those compliance credits that were transferred to the primary supplier through the credit clearance mechanism in accordance with section 112 of these Regulations.

4 The number of compliance credits referred to in section 3 that were created with respect to a gasoline replacement or diesel replacement and, for each compliance credit, the volume of the fuel that is

associated with it as well as the carbon intensity and any alphanumeric identifier to it.

5 If the primary supplier made a contribution to a registered emission-reduction funding program in accordance with paragraph 118(1)(b) of these Regulations,

(a) the name of the registered emission-reduction funding program;

(b) the amount of the contribution;

(c) the number of compliance credits created by making the contribution; and

(d) the receipt referred to in subsection 118(2) of these Regulations.

6 If the primary supplier will defer satisfaction of the reduction requirement with respect to gasoline or diesel, for the compliance period in accordance with subsection 16(1) of these Regulations, the value of the reduction requirement that has been deferred and the types of fuel to which the deferral applies.

7 If the primary supplier has, in accordance with subsection 16(1) of these Regulations, deferred satisfaction of their reduction requirements in respect of gasoline or diesel for one of the five compliance periods that immediately precede the compliance period to which the report relates, the following information:

(a) the number of compliance credits that they must use in accordance with subsection 18(1) of these Regulations in order to satisfy the deferred portion of the reduction requirements for each previous compliance period in accordance with subsection 16(3) of these Regulations;

(b) the number of each of the specific types of compliance credits that are referred to in subsection 106(3) of these Regulations that they must use in accordance with subsection 18(1) of these

Regulations; and

(c) the number of compliance credits referred to in paragraph 5(c) that they must use in order to reduce the deferred portion of the reduction requirements.

SCHEDULE 20
(Section 133)

Contents of Verification Report

1 The verification statement, which consists of the following information:

(a) with respect to the application or report that is being verified,

(i) the name of the application or report,

(ii) the date on which the application is made and the date of the compliance period related to the report,

(iii) a summary of the application or report,

(iv) the name of the person who is making the application or submitting the report, as well as the name of any facility referred to in the application or report, and

(v) the name of any individual who is responsible for the preparation or submission of the application or report;

(b) with respect to the activities conducted as part of a verification,

(i) the verification body's declarations of its responsibilities and the basis of its opinion,

(ii) a description of the materiality thresholds used by the verification body,

(iii) the verification body's declaration that the verification team and the independent reviewer, as well as any verifiers to whom verification activities have been outsourced, are all independent of the person who is making the application or submitting the report and independent of any employees of the federal public administration who administer or implement these Regulations or carry out any related activities,

(iv) the verification body's declaration that it has performed the verification of the application or report in accordance with ISO Standard 14064-3:2019 and an indication of which requirements of these Regulations were verified using Canadian auditing standards or ISO Standard 14044, as the case may be,

(v) a description of the activities conducted as part of the verification, including any sites where the site visits referred to in section 152 of these Regulations were carried out, the National Pollutant Release Inventory identification number, if any, assigned to the site for the purposes of section 48 of the Act, and, in the case of production facilities, the date of the most recent site visit to that facility,

(vi) for each member of the verification team, their name, the position held by the member at the time of the verification activities and a statement specifying whether the member is an employee of the verification body or a person to whom any verification activities have been subcontracted or outsourced by the verification body, and

(vii) the name of the person who acted as the independent reviewer for the verification in accordance with section 139 of these Regulations, and

(viii) with respect to any outsourced verification work, the scope of the verification, including any gaps in the lifecycle and the percentage of the verification that is outsourced;

(c) with respect to the result of the verification of the application or report,

(i) the opinion of the verification body referred to in paragraph 154(a), (b) or (c) of these Regulations or the disclaimer referred to in paragraph 154(d) of these Regulations, including the level of assurance applied and the criteria used, and

(ii) in the case where the verification has resulted in the qualified opinion referred to in paragraph 154(b) of these Regulations, a description of the qualifications and limitations and their possible effects on the application or report;

(d) the address of the office of the Department of the Environment to which the verification report is sent, as well as the name and title of the recipient; and

(e) the signature and location of the verification body as well as the date of the opinion or disclaimer, as the case may be.

2 Any other information that is, in the opinion of the verification body, relevant to the verification.

SCHEDULE 21
(Subsection 136(2))

Contents of Monitoring Plan

1 A list of other systems of tradeable units in which the participant participates and other third-party audit programs with which they comply.

2 A description of the operations to be verified, including a description of

(a) the activities and processes of the operations;

(b) the geographical boundaries within which the operations occur; and

(c) the technologies, facilities and infrastructure that are used to perform the operations.

3 A simplified block diagram of the operations to be verified, including

(a) the feedstock and the fuel, thermal energy or electricity sources that are used in the operations;

(b) the intermediate products and final products that the operations produce;

(c) the mechanical equipment that is used to perform the operations;

(d) the process control instrumentation, including sensors and measurement devices, that are used to monitor the operations;

(e) the sampling locations that are used to monitor the operations; and

(f) a designation for each element of the block diagram.

4 A description of each source of the data to which the application or report relates that includes, if applicable to the source,

(a) its accuracy;

(b) its sampling characteristics; and

(c) the frequency with which data is collected.

5 A description of the data management system that is used to manage the data to which the application or report relates, including

(a) the policies and procedures that ensure data quality, including those that relate to

(i) data collection and measurement,

(ii) the emission-reduction quantification methods that were used,

(iii) reporting,

(iv) maintenance, inspection and repair of continuous monitoring systems, flow meters, laboratory equipment and other instrumentation used to collect the data, including procedures for deferring their maintenance and inspection,

(v) contingency plans in the event of a failure of a measurement device or a component of a continuous monitoring system,

(vi) the keeping of records, including the logbook of measurement device and laboratory equipment repair, calibration and replacement,

(vii) the training of key personnel responsible for the data management;

(viii) the frequency of sampling,

(ix) the laboratory procedures and methods of analysis, and

(x) the quality control program that is used by the laboratories;

(b) the roles and responsibilities of personnel with respect to the data management system;

(c) its design, including the information technology infrastructure and applications used to manage the data;

(d) its data management controls, including their location, purpose, frequency and type;

(e) the procedures with respect to missing data;

(f) the procedures with respect to non-representative data such as data generated during plant shutdowns or emergencies;

(g) the subcontractors or the software that are used to manage the data;

(h) the security methods that are used to ensure data integrity; and

(i) data back-up procedures.

6 The following information with respect to each measurement device that is used to measure data to which the application or report relates:

(a) its description;

(b) its make, model and serial number;

(c) its location, installation method and approximate date of installation;

(d) its measurement characteristics, including the units of measure, accuracy and lower detection limits;

(e) its maintenance, including the calibration method and calibration frequency;

(f) any postponements in calibration and any supporting documents; and

(g) the frequency with which it provides measurements.

7 Information with respect to the calculations and use of data to which the application or report relates, including

(a) the equations used to

(i) calculate flows in mass, volume or energy units of measurement,

(ii) convert units,

(iii) estimate non-measured parameters,

(iv) aggregate data, and

(v) estimate, interpolate or extrapolate data;

(b) any software used to transform the data; and

(c) any statistical methods or techniques applied to transform the data.

8 If the verification is in respect of an application made under section 80 of these Regulations or a report submitted under section 123 of these Regulations, the following information:

(a) an explanation of the processes and methods followed to collect the data used in the application or report, including any supporting documents;

(b) a description of the steps taken, and calculations made, to aggregate the data;

(c) the methodology used to assign volumes, in respect of a fuel, source of electricity or feedstock, for each carbon intensity value; and

(d) the methodology used to monitor and calculate the weighted average of the transportion distance, in respect of a fuel, source of electricity or feedstock, for each transport mode, including any supporting documents.

9 An explanation of the process and methodology that was used to calculate the maximum quantity of a low-carbon-intensity fuel in accordance with subsection 45(1), including any supporting documents and data.

10 If the verification is in respect of a credit-creation report submitted under section 120 of these Regulations, a credit-adjustment report submitted under section 122 of these Regulations or a compliance report submitted under section 127 of these Regulations, a reference

to the documents that relate to the quantity of any fuel or energy source that was produced and the sale, purchase or transport of any fuel or energy source.

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